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THE INVESTMENT TRUST OF INDIA

ANTIQUE

16 January 2026

ANTIQUE'S MORNING PRESENTATION

FROM THE RESEARCH DESK

QUARTERLY RESULTS REVIEW

HDFC Life Insurance Company

The worst seems behind; reiterate as one of our top picks

Union Bank of India

Beat led by better margins and lower credit costs

HDFC Asset Management Company

Sustained flows and steady yields drive strong show

L&T Technology Services

Portfolio reset drags 3Q; guidance lowered

COMPANY UPDATE

Prestige Estates Projects

Robust 9MFY26; momentum to sustain in 4Q

Zen Technologies

Spurt in order inflows aiding revenue visibility

SECTOR UPDATE

FMCG

Offtake improvement to sustain

Indian IT Services

ISG Index Call 4QCY25: Managed Services soft; As-a-Service remains resilient

Automobiles

India electric two-wheeler industry (CY21-CY25): From disruption to consolidation

Global News

- The Dow advanced 292.81 points or 0.6 percent to 49,442.44, the Nasdaq climbed 58.27 points or 0.3 percent to 23,530.02 and the S&P 500 rose 17.87 points or 0.3 percent to 6,944.47.
- The Nikkei 225 Index rose 1.48% to close at 54,341 and the broader Topix Index added 1.26% to 3,644 on Wednesday, with both benchmarks pushing to fresh record highs as speculation of a snap election next month fueled expectations of more aggressive fiscal stimulus. Prime Minister Sanae Takaichi is seen leveraging strong public approval to advance expansionary policies, bolstering the medium-term growth outlook. Local stocks also benefitted from a weakening yen, which boosts the profit outlook for Japan's export-heavy industries. Additionally, investors weighed private data showing manufacturing activity is losing momentum amid trade frictions, while the services sector faces tourism-related headwinds, limiting the Bank of Japan's scope to tighten policy. Technology stocks led the rally, with Advantest up 4.9%, Disco Corp gaining 4.5% and Lasertec rising 5.2%. Other heavyweights including Mitsubishi UFJ, JX Advanced and Fast Retailing also moved higher.

Market Snapshot

Global Indices	Closing	% Chg	% YTD
Dow Jones	49,442	0.6	2.9
NASDAQ	23,530	0.2	1.2
FTSE	10,239	0.5	3.1
CAC	8,313	(0.2)	2.0
DAX	25,352	0.3	3.5
Bovespa	1,65,568	0.3	2.8
Hang Seng	26,924	(0.3)	5.0
Shanghai Composite	4,113	(0.3)	3.6

Indian Indices	Closing	% Chg	% YTD
Sensex	83,383	(0.3)	(2.2)
Nifty	25,666	(0.3)	(1.8)
MSCI India	1,035	-	(1.9)
CNX Midcap	59,771	0.3	(1.2)
BSE Smallcap	49,927	0.3	(3.1)

Flows (USD mn)	Prev. Day	MTD
FII	(345)	(48)

Provisional flows	(USD mn)
FIIs	(529)
Locals	578

Volumes	USD bn	% Chg
Cash (NSE + BSE)	13.1	8.4
F&O (net)	1,394.6	-

FII F&O	Stock Fut	Index Fut
Net ($ mn)	1,424	-
Open Int (%)	-	1.6

ADR/GDR Gainers	Last	% Chg
Reliance	65.7	1.1

ADR/GDR Losers	Last	% Chg
Infosys	18.8	(2.7)
Wipro	3.0	(2.0)
Dr Reddy	13.1	(1.6)
HDFC	32.5	(1.2)
ICICI Bank	30.8	(0.8)

Sectoral indices

	Closing	% Chg	% MTD	% YTD
BSE Auto	61,586	(0.6)	(1.6)	(1.6)
BSE Bank	67,184	0.4	0.6	0.6
BSE Cap Goods	64,746	0.2	(3.5)	(3.5)
BSE Cons dur	60,854	(1.0)	1.4	1.4
BSE FMCG	19,134	(0.5)	(6.0)	(6.0)
BSE IT	36,534	(1.0)	(0.5)	(0.5)
BSE Health	43,363	(0.1)	(1.0)	(1.0)
BSE Metal	38,459	2.7	4.5	4.5
BSE Oil	27,632	0.6	(3.8)	(3.8)
BSE Power	6,357	0.7	(2.3)	(2.3)
BSE PSU	20,987	1.1	2.0	2.0
BSE Realty	6,627	(1.0)	(2.6)	(2.6)
BSE TECK	18,285	(0.5)	(1.2)	(1.2)

Nifty Outperformers

	Price	% Chg	% MTD	% YTD
Tata Steel Ltd	189	3.7	5.1	5.1
Ntpc Ltd	349	3.3	5.9	5.9
Axis Bank Ltd	1,299	2.9	2.3	2.3
Hindalco Industries Ltd	955	2.0	7.7	7.7
Oil & Natural Gas Corp Ltd	248	1.8	3.3	3.3
Eternal Ltd	299	1.6	7.6	7.6

Nifty Underperformers

	Price	% Chg	% MTD	% YTD
Asian Paints Ltd	2,814	(2.5)	1.6	1.6
Tata Consultancy Svcs Ltd	3,193	(2.3)	(0.4)	(0.4)
Maruti Suzuki India Ltd	16,152	(1.7)	(3.3)	(3.3)
Tech Mahindra Ltd	1,589	(1.6)	(0.2)	(0.2)
Sun Pharmaceutical Indus	1,701	(1.6)	(1.1)	(1.1)
Tata Consumer Products Ltd	1,171	(1.5)	(1.7)	(1.7)
Hindustan Unilever Ltd	2,354	(1.5)	1.6	1.6

Delivery Spike

Company	Volume	Spike (%)	Chg (%)
Hindustan Petroleum Corp Ltd	55,06,237	633%	-1.94%
NTPC Ltd	1,43,70,543	333%	3.31%
LIC Housing Finance Ltd	21,41,992	264%	2.73%
Union Bank of India Ltd	2,35,91,797	250%	7.87%
Bank of India	77,76,551	240%	3.60%
GAIL India Ltd	1,49,89,041	235%	-0.05%
Divi's Laboratories Ltd	3,70,484	212%	-1.26%
Hindustan Zinc Ltd	66,56,137	195%	3.87%
Tata Steel Ltd	2,30,62,985	188%	3.66%
Bank of Baroda	60,24,768	169%	1.94%

Derivatives Update

Long Build Up

Company	Last	% Chg	% Chg OI	OI (in 000)
UNIONBANK	179.80	7.88	14.97	76,348
BANKINDIA	153.34	3.60	10.23	57,044
BAJAJHLDNG	10,781.00	0.15	10.14	234
INDIANB	848.60	3.37	8.45	10,075
OIL	459.00	2.79	7.63	15,030

Short Build Up

Company	Last	% Chg	% Chg OI	OI (in 000)
KOTAKBANK	421.30	(80.27)	395.17	1,94,652
TATATECH	646.70	(2.45)	8.24	12,919
TCS	3,142.30	(2.41)	7.96	19,811
DIXON	11,123.00	(1.41)	7.35	3,233
HINDPETRO	441.65	(1.74)	6.71	39,754

Short Covering

Company	Last	% Chg	% Chg OI	OI (in 000)
INDUSINDBK	943.65	3.54	(5.66)	40,257
MCX	2,424.00	5.62	(4.77)	14,098
MAXHEALTH	1,036.70	0.71	(3.34)	20,665
ETERNAL	299.40	1.58	(2.82)	2,82,088
NUVAMA	1,438.40	1.01	(2.75)	2,208

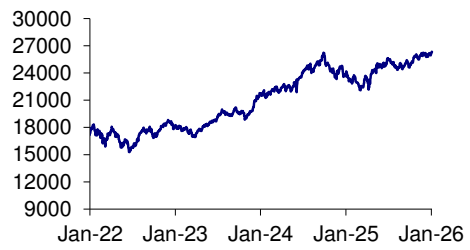
Long Unwinding

Company	Last	% Chg	% Chg OI	OI (in 000)
TECHM	1,590.00	-1.67	(3.52)	18,521
PERSISTENT	6,296.00	-0.87	(2.51)	2,156
BOSCHLTD	37,530.00	-1.04	(2.38)	204
HCLTECH	1,658.70	-0.04	(2.23)	17,309
ALKEM	5,840.00	-0.47	(2.15)	1,404

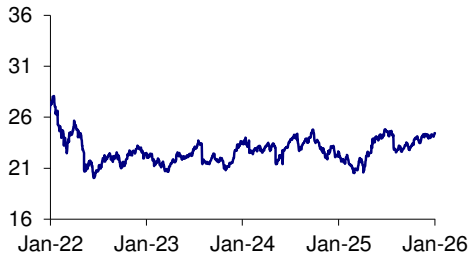
Bulk Dealss

Security Name	Client Name	Buy/Sell	Qty	Price	Value (mn)
Polycab India Limited	Motilal Oswal Mutual Fund	Sell	7,61,086	7,350.02	5,594
Aavas Financiers Limited	Small Cap World Fund Inc	Sell	19,64,024	1,440.00	2,828
Jupiter Wagons Limited	Jump Trading Financial India Private Limited	Buy	22,27,815	326.51	727
Balaji Amines Limited	HRTI Private Limited	Sell	2,65,315	1,276.09	339
Puravankara Limited	NK Securities Research Private Limited	Sell	11,88,158	255.11	303
Tourism Finance Corp	Ashapura Commodities	Buy	44,10,000	65.44	289

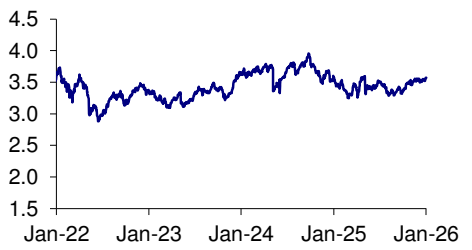
Nifty



Nifty P/E

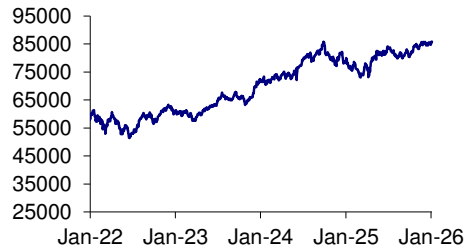


Nifty P/B

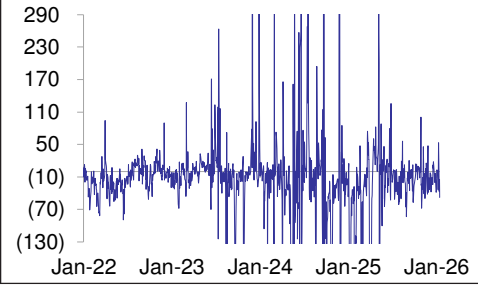


Source: Bloomberg

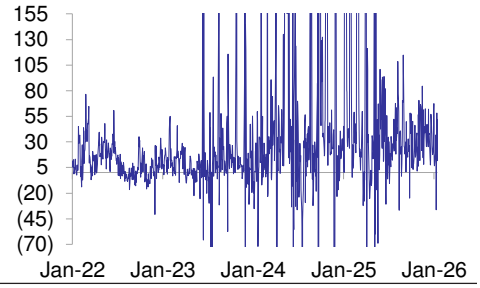
Sensex



FII Provisional Flows (INR bn)



DII Provisional Flows (INR bn)



Source: Bloomberg

Economy, Money & Banking

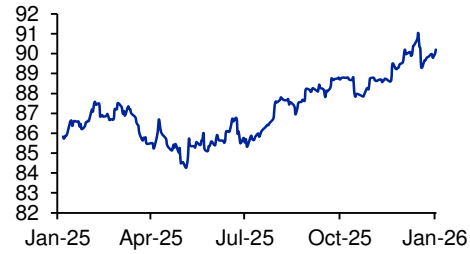
Forex Rate	Last	% Chg	% MTD	% YTD
INR~USD	90.3	(0.1)	(0.5)	(0.5)
INR~EUR	105.2	0.1	0.3	0.3
INR~GBP	121.3	0.1	(0.4)	(0.4)

Bond Market	Last	Chg (bps)	MTD (bps)	YTD (bps)
10 Year Bond	6.7	2	6	6
Interbank call	4.9	(53)	(55)	(55)

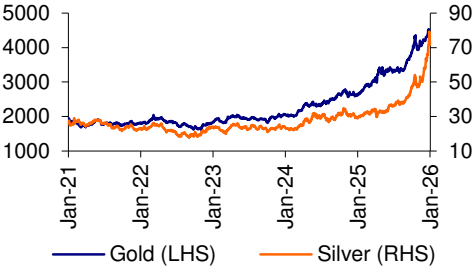
Commodities Update

Commodities	Last	% Chg	% MTD	% YTD
Gold ($/Ounce)	4,602	(0.3)	6.6	6.6
Crude Oil ($/Bl)	59	0.2	3.2	3.2
Aluminium ($/t)	3,169	(1.1)	6.8	6.8
Copper ($/t)	13,144	(0.7)	5.5	5.5
Zinc ($/t)	3,287	0.8	6.7	6.7
Lead ($/t)	2,056	1.0	4.5	4.5
Nickel ($/t)	18,381	(0.6)	11.4	11.4

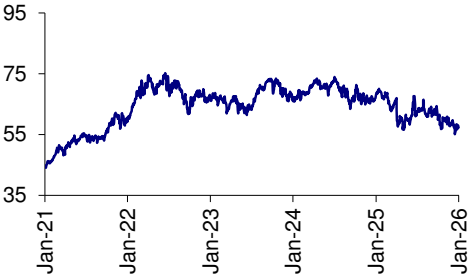
INR/USD



Gold and silver prices (USD/Tr.Oz)

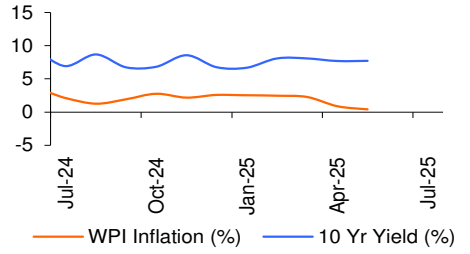


Crude prices (USD/barrel)

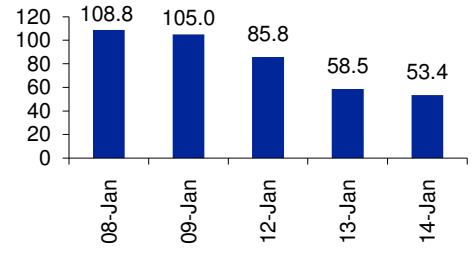


Source: Bloomberg

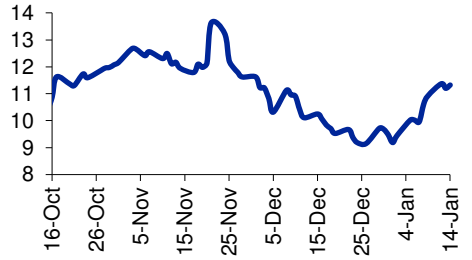
Inflation vs 10 year yield



Nifty premium/discount



NSE volatility index (%)



Source: Bloomberg

CMP	: INR 743
Reco	: BUY ↔
Target Price	: INR 890 ↑
Target Price Change	: 2%
Target 1HFY28e VNB (x)	: 20
VNB Change FY26/ 27/ 28	: 0%/ -1% -1%

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Market data

Sensex	:	83,383
Sector	:	Life Insurance
Market Cap (INR bn)	:	1,603.5
Market Cap (USD bn)	:	17.759
O/S Shares (mn)	:	2,157.6
52-wk HI/LO (INR)	:	821/584
Avg. Daily Vol ('000)	:	2,435
Bloomberg	:	HDFCLIF

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
P/VNB (x) - Implied	22.2	17.1	12.8
P/EV (x)	2.5	2.2	1.9
P/EVOP	19.7	16.4	14.2
P/B	9.3	8.5	7.7
P/E	80.4	70.6	60.5

Source: Bloomberg

Returns (%)

	1m	3m	6m	12m
Absolute	(4)	(0)	(3)	24
Relative	(2)	(2)	(4)	14

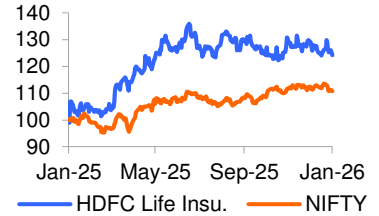
Source: Bloomberg

Shareholding pattern

Promoters	:	50%
Public	:	50%
Others	:	0%

Source: Bloomberg

Price performance *vs* Nifty



Source: Bloomberg Indexed to 100

3QFY26 RESULT REVIEW

HDFC Life Insurance Company

The worst seems behind; reiterate as one of our top picks

HDFC Life Insurance Company's (HDFCLIFE) 3QFY26 performance was largely in-line with consensus with 11% YoY APE growth and 200 bps YoY decline in VNB margin to 24% led by GST input tax credit (ITC) disallowance and product mix changes, partly offset by improvement in inherent product margins. For 9MFY26, VNB rose 7.2% YoY with 77 bps decline in margin to 24.4%. APE grew 10.6% YoY largely impacted by lower 2% YoY growth in banca channel owing to higher competitive intensity. Management indicated that the growth momentum seen in 3QFY26 is expected to sustain/ improve in 4QFY26, with volumes continuing to drive performance while profitability may improve QoQ as GST mitigation actions taken in 3Q flows through coupled with an increase in non-par/ protection mix. Management expects to accelerate the growth momentum in FY27 with better performance in banca channel, while improved product mix may drive the margin at par/ higher than FY25 levels of 25.5%. We have marginally tweaked our FY26–28E APE/ VNB estimates by 1%-2% and revised our DCF-based target price to INR 890 (INR 870 earlier) implying 2.3x FY28E P/EV. Maintain BUY. We believe the worst in terms of growth/ profitability seems behind for HDFCLIFE and reiterate it as our top pick.

Product mix shift evident; ULIP and protection drive growth

Product mix continued to evolve in line with management's stated strategy. In 9MFY26, ULIPs accounted for 43% (vs. 37% in 9MFY25), reflecting sustained customer preference for market-linked products amid favorable equity sentiment. Protection mix improved to 7% (vs. 6%), with management highlighting sharp acceleration post-GST exemption, particularly in retail protection and higher sum-assured policies. Participating products increased to 27% (vs. 18%), driven by demand for low-risk savings, while non-par savings declined to 19% (vs. 35%), however they have picked up from 2QFY26 (17%) as indicated by management. Annuity remained stable at 4%. Retail protection delivered outsized growth, supported by new launches such as *Click 2 Protect Supreme*, higher rider attachment, and strong traction from first-time buyers, reinforcing long-term franchise quality.

Margins: GST and labor code impact; normalization expected over the next few quarters

VNB margin was impacted by the unavailability of GST ITC (annualized gross impact earlier estimated at ~300 bps) and a one-time labor code charge (~INR 980 mn) booked during the period. Management noted that mitigation measures—repricing, distributor commission rationalization, vendor renegotiation, and cost optimization—were implemented during the quarter, resulting in the GST impact being contained to <200 bps in 3QFY26. The residual impact is expected to be progressively neutralized over the next 2–3 quarters, with management guiding for a largely "clean slate" margin profile entering FY27. Importantly, improvement in inherent product margins and protection mix provides a structural offset to regulatory pressures.

Distribution: Banca calibrated; proprietary channels deliver quality growth

Distribution performance reflected calibrated execution amid heightened competitive intensity. Bancassurance growth lagged company growth in 3QFY26, impacted by aggressive pricing by select peers and HDFCLIFE's deliberate non-participation in uneconomic non-par savings business. Management characterized this as cyclical and reiterated confidence in banca performance on two-year CAGR basis. Proprietary channels continued to outperform, with the agency channel delivering strong double-digit growth, supported by robust gross agent additions (~80,000 in 9MFY26), network expansion beyond 700 branches, and improving productivity. Non-bank alliances and partnership channels scaled steadily, reinforcing the strategy of diversified and profitable growth.

Embedded value growth healthy; capital position comfortable

Embedded Value (EV) grew 16% YoY to INR 615.65 bn in 9MFY26, supported by steady VNB accretion. Operating RoEV stood at 15.6% in 9MFY26. Solvency ratio remained comfortable at ~180%, aided by subordinated debt issuance during the period, providing adequate headroom for growth. Management indicated no immediate need for additional capital to support organic expansion.

Investment Summary

Valuation at 2.3x FY27E P/EV and 17.8x P/VNB remains attractive. HDFCLIFE continues to demonstrate steady growth, improving product mix, and resilient EV compounding, despite near-term margin headwinds from GST and labor code changes. We estimate FY25–28E APE/ VNB/ EV CAGR of 14%/ 14%/ 15%. Maintain BUY.

Conference Call Takeaways

- **GST impact moderating:** GST ITC impact contained to <200 bps in 3QFY26 vs. initial ~300 bps estimate; management expects near-complete neutralization over the next 2–3 quarters.
- **Labor code impact one-off:** ~INR 980 mn EV impact booked; no material ongoing impact expected.
- **Protection momentum structural:** Retail protection growth accelerated sharply post-GST, driven by affordability, first-time buyers, and higher sum assured; management expects protection to grow faster than the company average.
- **Non-par calibrated, not abandoned:** Early signs of recovery visible, but management remains disciplined on pricing and risk management amid competitive intensity.
- **Banca slowdown cyclical:** Competitive pricing pressures impacted banca growth; two-year CAGR remains healthy and normalization expected.
- **Persistency mixed; cohort-specific pressure, back book remains strong**
- Persistency trends were mixed during the quarter. The 13th-month persistency declined ~200 bps YoY to ~85%, driven by lower ticket-size policies and specific cohorts written in the last 2–3 months of the previous year. Management stressed that this pressure is cohort-specific rather than structural and has already been factored into actuarial assumptions, resulting in negative operating variance in the quarter. In contrast, 61st-month persistency improved ~200 bps YoY to ~63%, reflecting the strength of the back book and validating long-term profit emergence assumptions. Corrective actions have been initiated, and management does not see a deterioration in overall portfolio quality.

Quarterly performance

Table 1: Actual vs. estimated performance

(INR bn)	Actual	Estimated	% Variance
APE	39.7	41.5	(4.2)
VNB	9.6	10.1	(5.5)
VNB margin (%)	**24.0**	**24.6**	**-54bps**

Source: Company, Antique

Table 2: Quarterly financials

(INRmn)	3QFY26	3QFY25	YoY%	2QFY26	QoQ%	9MFY26	9MFY25	YoY (%)
Policyholders' account								
Gross written premium	**1,88,034**	**1,73,070**	**8.6**	**1,92,865**	**2.6**	**5,29,650**	**4,70,133**	**12.7**
Net earned premium	**1,82,424**	**1,67,713**	**8.8**	**1,87,773**	**2.9**	**5,14,858**	**4,58,506**	**12.3**
Investment income	1,06,507	1,921	5,444.7	14,101	-86.8	2,66,558	2,59,273	2.8
Other income	1,449	-493	-394.0	1,945	34.3	4,132	2,839	45.5
Total revenue	2,90,380	1,69,141	71.7	2,03,819	-29.8	7,85,548	7,20,618	9.0
Commission expense	22,717	19,325	17.6	23,209	2.2	63,418	52,539	20.7
Operating expenses	22,611	15,533	45.6	17,800	-21.3	55,509	45,019	23.3
Benefits cost	2,45,176	1,36,218	80.0	1,63,867	-33.2	6,67,632	6,14,264	8.7
Total expense	2,90,504	1,71,076	69.8	2,04,875	-29.5	7,86,559	7,11,822	10.5
Surplus/Deficit	**-124**	**-1,935**	**-93.6**	**-1,056**	**754.4**	**-1,011**	**8,796**	**-111.5**
ShareholdeINR' account								
Transfer from policyholdeINR' account	1,409	982	43.4	2,152	52.7	7,225	7,501	-3.7
Investment income	4,187	2,718	54.0	3,609	-13.8	10,998	7,977	37.9
Other income	1	0		0	-100.0	1	1	NA
Expenses	1,169	-747	-256.4	1,107	-5.3	3,535	1,681	110.3
Profit before tax	4,428	4,448	-0.5	4,654	5.1	14,688	13,799	6.4
Tax expense	220	299	-26.2	183	-17.2	545	543	NA
Profit after tax	**4,207**	**4,149**	**1.4**	**4,472**	**6.3**	**14,143**	**13,256**	**6.7**

Source: Company, Antique

Table 3: Change in estimates

	FY26E			FY27E			FY28E		
INR bn	**Old**	**New**	**% Chg**	**Old**	**New**	**% Chg**	**Old**	**New**	**% Chg**
APE	176.5	173.4	(1.8)	204.7	199.4	(2.6)	235.4	229.3	(2.6)
VNB	43.2	43.1	(0.2)	51.0	50.4	(1.2)	59.4	58.8	(1.0)
VNB margin (%)	**24.5**	**24.8**	**38bps**	**24.9**	**25.3**	**37bps**	**25.2**	**25.6**	**41bps**

Source: Company, Antique

Table 4: Key assumptions

INR bn	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
NBP	242	291	296	334	374	430	494
APE	98	133	133	155	173	199	229
VNB	27	37	35	40	43	50	59
EV	300	395	475	554	640	736	847
EVOP	44	65	69	79	83	100	115
ROEV	16.6%	21.6%	17.5%	16.7%	15.0%	15.7%	15.7%
VNB Margin	27.4%	27.5%	26.3%	25.6%	24.8%	25.3%	25.6%

YoY growth (%)	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
NBP	20	20	2	13	12	15	15
APE	17	37	0	16	12	15	15
VNB	22	37	-5	13	9	17	17
EV	13	32	20	17	15	15	15
EVOP	15	47	7	14	5	20	15

Source: Company, Antique

Table 5: Maintain BUY with a revised TP of INR 890 (INR 870) using Appraisal Value framework

Particular	INR bn
FY28E VNB	59
Target VNB multiple (x)	**20**
Structural Value	1,175
FY27E EV	736
Appraisal value	1,911
Share count (bn)	2.15
Appraisal value per share (INR)	**890**

Source: Company, Antique

Table 6: Reverse DCF to deduce VNB growth assumptions over 15 years

Parameter (INR bn)	Value
FY25E-40E APE CAGR	10.9%
FY25E-40E VNB CAGR	10.9%
Terminal growth rate	6.2%
Cost of Equity	11.8%
FY27E EV	736
Present value of future VNB	1,172
Appraisal Value	1,908
Share count (mn)	2,149
Appraisal value per share (INR.)	888
Price target (INR.)	**890**

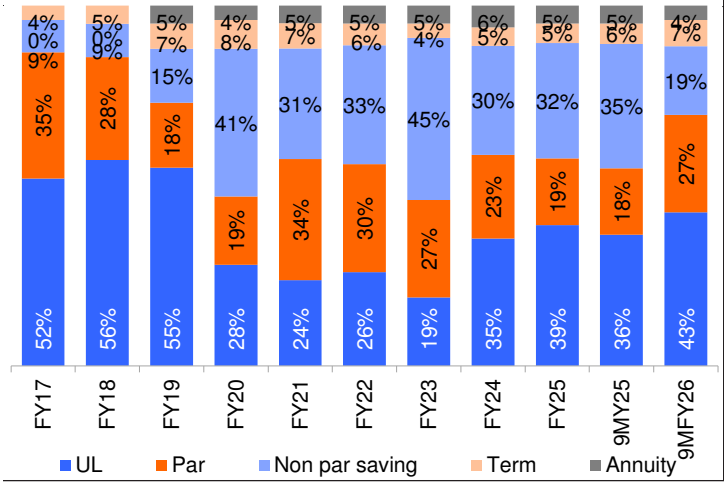
Source: Company, Antique

Table 7: Arriving at implied P/EV

Implied target multiple on FY28E	**890**
P/EV	2.3x
RoEV (%)	15.7
P/EVOP	18.7x
Implied FY28E VNB multiple	20x

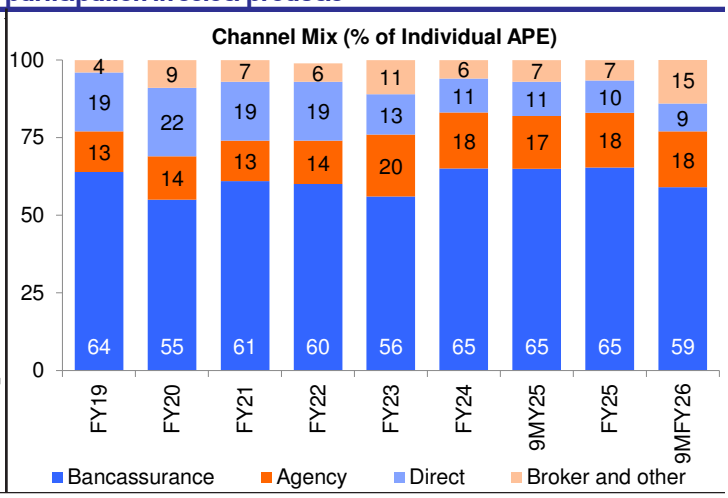
Source: Company, Antique

Exhibit 1: Share of ULIP increased to 43% owing to buoyant equity markets and shift in high-ticket customers from non-par



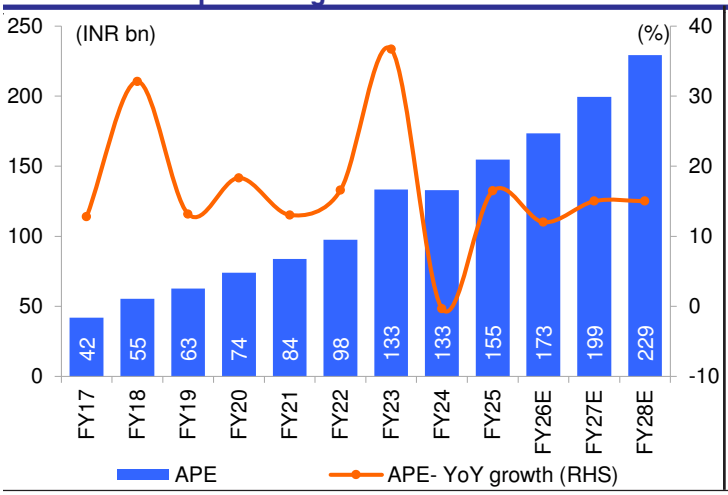
Source: Company, Antique

Exhibit 2: Bancassurance relatively softer growth amid heightened competitive intensity and calibrated participation in select products



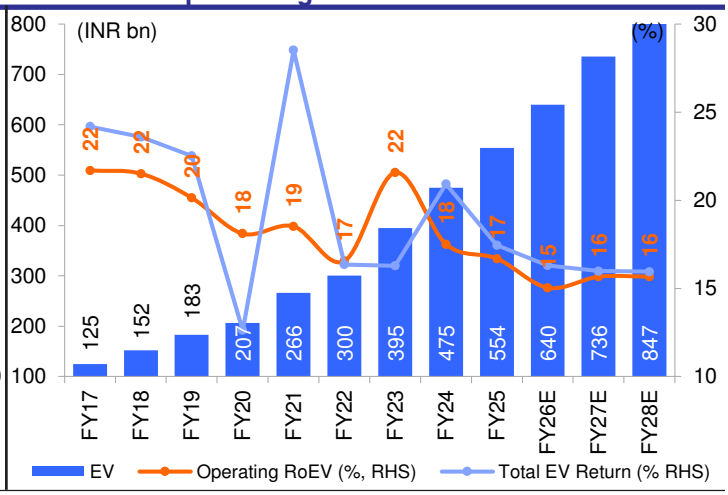
Source: Company, Antique

Exhibit 3: APE expected to grow at 14% CAGR over FY25-28E



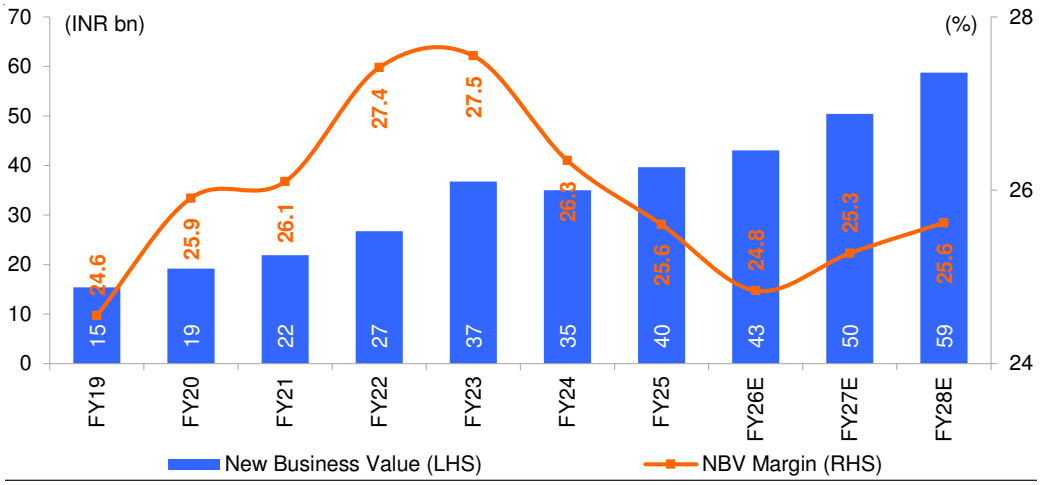
Source: Company, Antique

Exhibit 4: EV expected to grow at 15% CAGR over FY25-28E



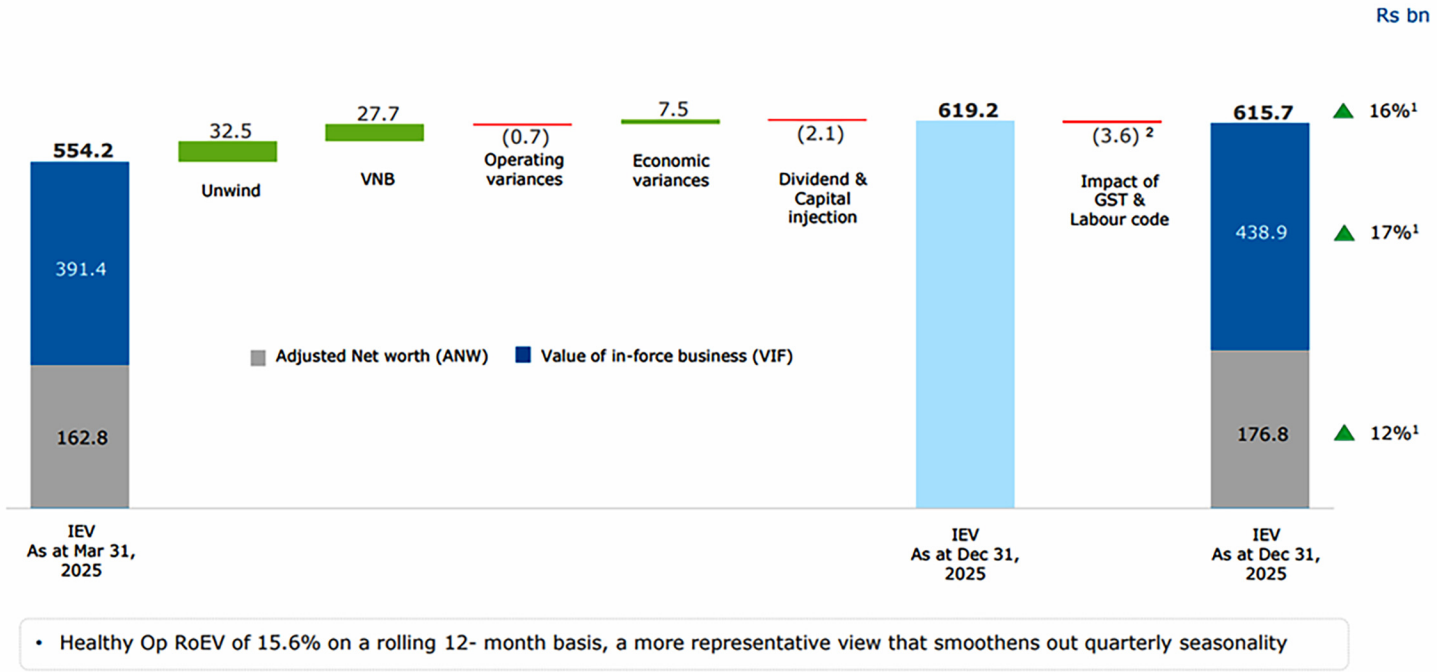
Source: Company, Antique

Exhibit 5: VNB margin expected to remain range-bound



Source: Company, Antique

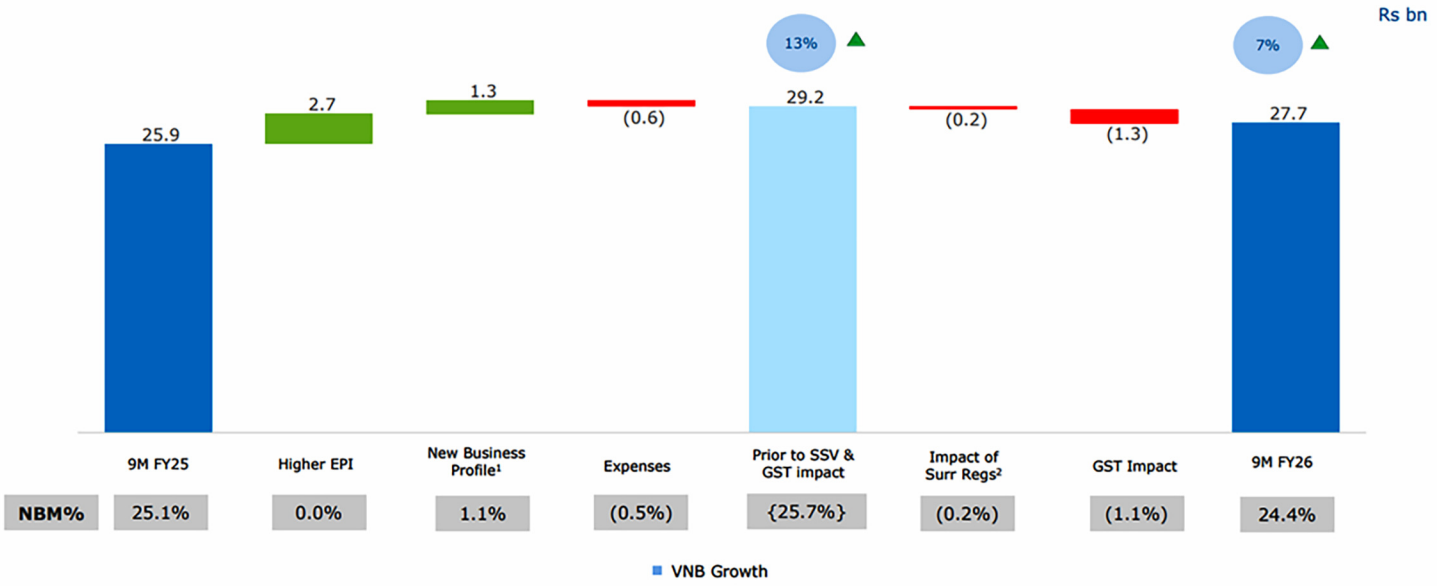
Exhibit 6: Analysis of change in IEV



- Healthy Op RoEV of 15.6% on a rolling 12- month basis, a more representative view that smoothens out quarterly seasonality

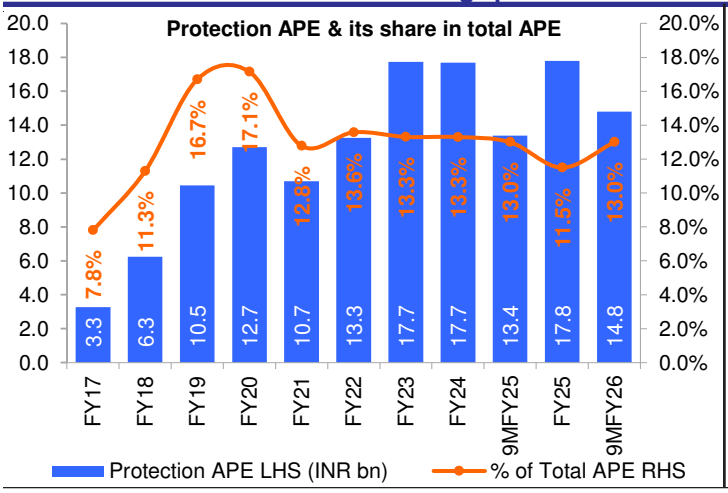
Source: Company, Antique

Exhibit 7: Analysis of change In VNB



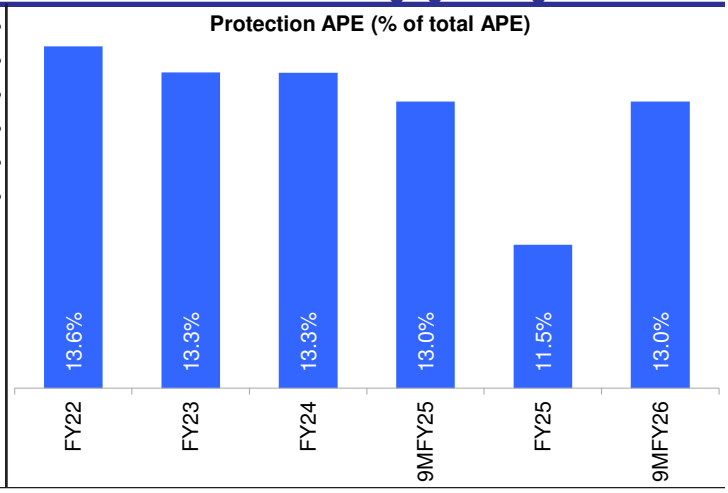
Source: Company, Antique

Exhibit 8: Protection APE has been inching upwards



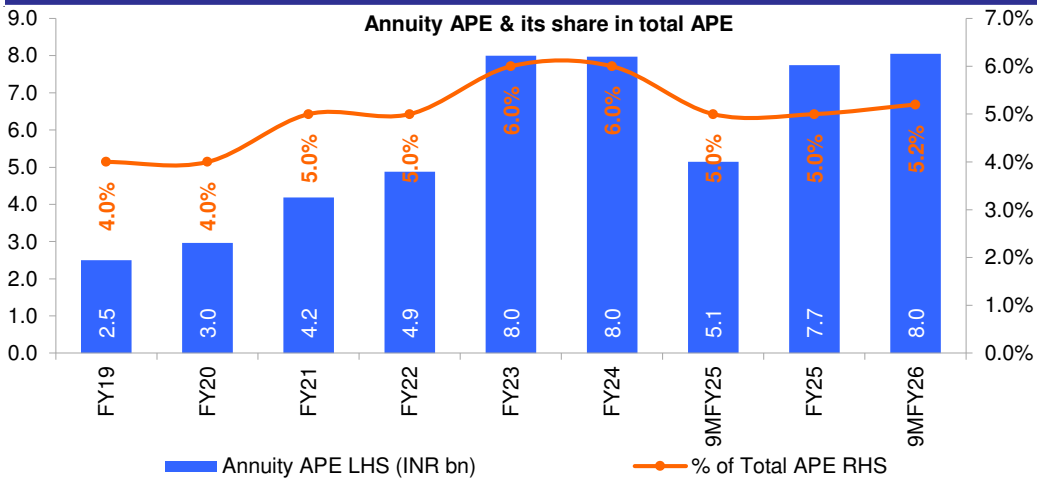
Source: Company, Antique

Exhibit 9: Protection APE witnessing significant growth



Source: Company, Antique

Exhibit 10: Annuity picking up gradually



Source: Company, Antique

Table 8: APE grew 10.6% in 9MFY26 led by growth in Par

Total APE	9MFY25	9MFY26	% YoY	3QFY25	3QFY26	% YoY
ULIP	31,908	42,815	34.2	11,064	15,387	39.1
Par	16,469	26,646	61.8	7,055	8,113	15.0
Non-par	31,908	18,675	-41.5	9,719	8,296	-14.6
Annuity	**5,147**	**5,921**	**15.1**	**1,785**	**2,215**	**24.1**
- Retail	4,493	3,995	-11.1	1,561	1,407	-9.9
- Group	654	1,926	194.7	224	808	261.5
Group retirals	4,117	3,416	-17.0	1,428	1,192	-16.5
Protection	**13,381**	**16,397**	**22.5**	**4,640**	**4,536**	**-2.2**
- Retail	5,122	7,291	42.4	1,604	2,762	72.2
- Group	8,259	9,106	10.3	3,036	1,775	-41.5
Total APE	**1,02,930**	**1,13,870**	**10.6**	**35,690**	**39,740**	**11.3**

Source: Company, Antique

Table 9: Bancassurance growth softens in 9MFY26 due to intensified competition

Individual APE	9MFY25	9MFY26	% YoY	3QFY25	3QFY26	% YoY
Banca	58,409	58,929	0.9	20,293	20,750	2.3
Agency	15,276	17,978	17.7	5,307	6,331	19.3
Broker	6,290	14,982	138.2	2,185	5,923	171.0
Direct	9,885	8,989	-9.1	3,434	3,165	-7.8
Individual APE	**89,940**	**1,01,036**	**12.3**	**31,215**	**36,188**	**15.9**
Group APE	**12,990**	**12,834**	**-1.2**	**4,475**	**3,552**	**-20.6**

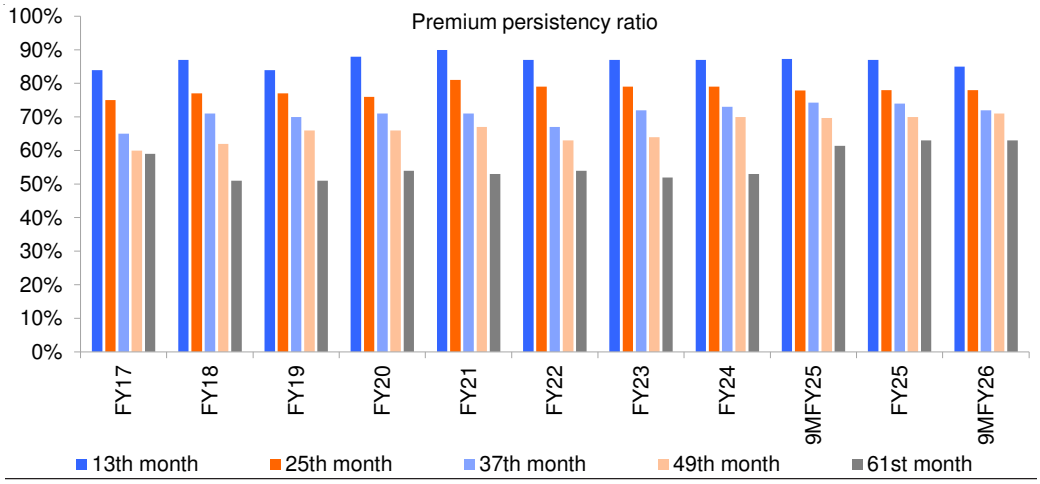
Source: Company, Antique

Table 10: VNB margin down ~77 bps YoY to 24.4% in 9MFY26

Profitability	9MFY25	9MFY26	% YoY	3QFY25	3QFY26	% YoY
VNB	25,860.0	27,730	7.2	9,300.0	9,550	2.7
VNB margin (%)	**25.1**	**24.4**	**-77bps**	**26.1**	**24.0**	**-203bps**

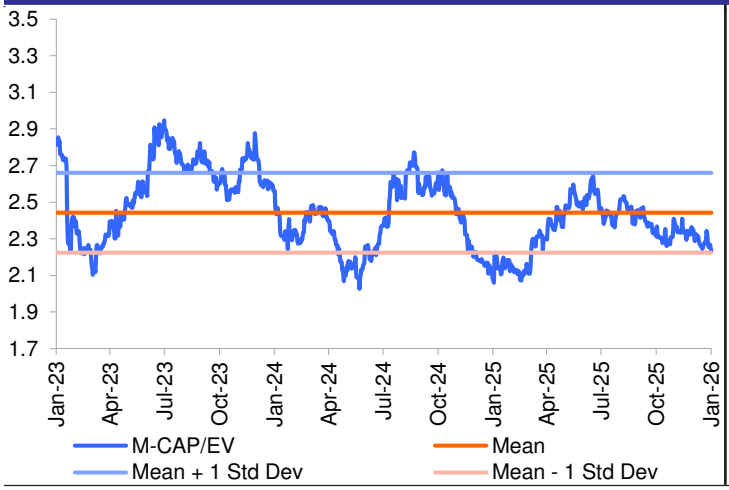
Source: Company, Antique

Exhibit 11: Persistency trends mixed; long-term quality intact



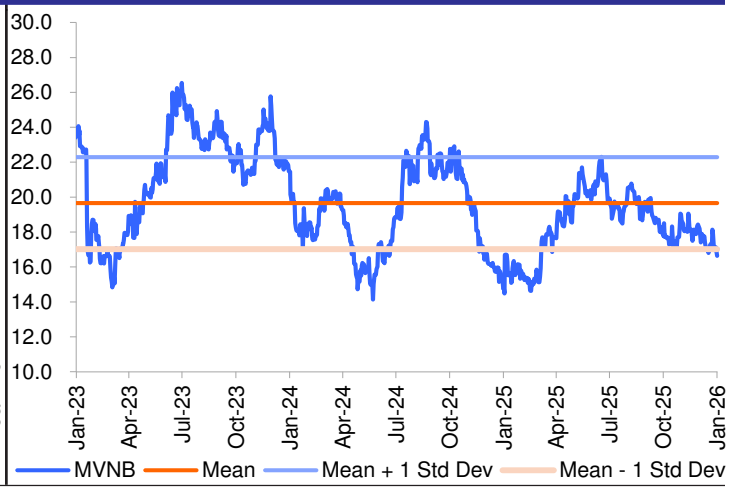
Source: Company, Antique

Exhibit 12: One-year forward P/EV



Source: Company, Antique

Exhibit 13: One-year forward P/VNB



Source: Company, Antique

Financials

Profit and loss account (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
PolicyholdeINR' account					
Gross written premium	6,30,765	7,10,449	7,99,199	9,09,250	10,37,382
Net earned premium	**6,19,592**	**6,96,161**	**7,83,127**	**8,90,965**	**10,16,519**
Investment income	3,83,543	2,59,453	4,60,214	5,42,550	5,83,773
Other income	4,608	3,834	4,476	5,124	5,780
Total revenue	10,07,743	9,59,448	12,47,816	14,38,639	16,06,072
Commission expense	52,563	78,353	89,707	1,03,842	1,20,508
Operating expenses	69,011	62,218	69,990	79,628	90,849
Benefits cost	8,81,158	8,08,615	10,74,454	12,37,363	13,71,924
Total expense	9,99,991	9,48,246	12,32,168	14,18,576	15,80,707
Surplus/Deficit	7,751	11,202	15,648	20,063	25,365
Shareholders' account	**FY24E**	**FY25E**	**FY26E**	**FY27E**	**FY28E**
Transfer from policyholder account	7,991	9,968	12,148	14,563	17,865
Investment income	10,022	11,251	12,549	13,763	15,166
Expenses / Trf to policyholder	2,505	2,559	3,471	4,128	4,801
Profit before tax	15,638	18,661	21,226	24,198	28,230
Tax expense	-50	640	849	968	1,129
Profit after tax	**15,689**	**18,021**	**20,377**	**23,230**	**27,100**

Balance sheet (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Sources of Funds					
Shareholders' Funds	1,46,517	1,61,256	1,76,532	1,93,955	2,14,280
Borrowings	9,500	29,500	29,500	29,500	29,500
Policyholders' Funds: Insurance reserves and provisions	27,69,161	31,92,009	37,81,002	44,39,546	51,27,398
Others	2,615	12,576	13,454	13,842	14,243
Total Liabilities	**29,27,793**	**33,95,342**	**40,00,488**	**46,76,843**	**53,85,420**
Application of Funds					
Shareholders' Investments	1,48,819	1,83,863	2,01,281	2,21,146	2,44,321
Policyholders' Investments	18,17,966	21,62,671	25,61,729	30,07,910	34,73,947
Assets Held to Cover Linked Liabilities	9,55,416	10,16,282	12,03,807	14,13,476	16,32,476
Net Current Assets (C) = (A – B)	-17,538	2,733	3,831	3,536	-2,317
Other Asset	23,131	29,794	29,841	30,775	36,993
Total Assets	**29,27,793**	**33,95,342**	**40,00,488**	**46,76,843**	**53,85,420**

EV Account (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
EV	4,74,632	5,54,265	6,39,527	7,35,929	8,46,502
. -Adjusted Net Worth	1,45,300	1,62,830	1,78,106	1,95,529	2,15,854
-Value-in-Force	3,29,332	3,91,435	4,61,420	5,40,400	6,30,648
Annualised Premium Equivalent (APE)	1,32,910	1,54,790	1,73,365	1,99,370	2,29,275
New Business value	35,010	39,632	43,066	50,387	58,751
New Business Margin (%)	26.3	25.6	24.8	25.3	25.6
EV Operating Profit	69,211	79,233	83,356	1,00,210	1,15,348
Operating RoEV (%)	17.5	16.7	15.0	15.7	15.7

Source: Company, Antique

Per share data

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
EPS	7.2	8.2	9.2	10.5	12.3
DPS	1.8	2.0	2.3	2.6	3.1
EVPS	217.3	249.6	288.0	331.5	381.3
BVPS	67.1	72.6	79.5	87.4	96.5
EV Op. Profit per share	31.9	35.9	37.8	45.4	52.3

Key ratio

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Return on Equity (%)	11.4	11.7	12.1	12.5	13.3
Commission expense/TWRP (%)	11.3	14.9	15.1	15.4	15.7
Operating expenses/TWRP (%)	14.9	11.8	11.8	11.8	11.9
Total expense (% of TWRP)	26.2	26.7	26.9	27.3	27.6
Total expense (% of Avg AUM)	4.6	4.5	4.4	4.3	4.2
Conservation ratio (%)	84.1	84.6	84.0	84.0	84.0

Growth (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Net earned premium	8.9	12.4	12.5	13.8	14.1
EV	20.1	16.8	15.4	15.1	15.0
Annualised Premium Equivalent (APE)	-0.3	16.5	12.0	15.0	15.0
New Business value	-4.7	13.2	8.7	17.0	16.6
EV Operating Profit	6.7	14.5	5.2	20.2	15.1

Key assumptions (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
NBP	296	334	374	430	494
APE	133	155	173	199	229
VNB	35	40	43	50	59
EV	475	554	640	736	847
EVOP	69	79	83	100	115
ROEV	17.5%	16.7%	15.0%	15.7%	15.7%
VNB Margin	26.3%	25.6%	24.8%	25.3%	25.6%
YoY growth (%)					
NBP	2	13	12	15	15
APE	0	16	12	15	15
VNB	-5	13	9	17	17
EV	20	17	15	15	15
EVOP	7	14	5	20	15

Valuation

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
P/VNB (x) - Implied	32.0	26.3	22.2	17.1	12.8
P/EV (x)	3.4	2.9	2.5	2.2	1.9
P/EVOP	23.3	20.7	19.7	16.4	14.2
P/B	11.1	10.2	9.3	8.5	7.7
P/E	102.8	90.9	80.4	70.6	60.5

Source: Company Antique

CMP	: INR 179
Reco	: BUY ↔
Target Price	: INR 200 ↑
Target Price Change	: 11%
Target FY28 P/BV(x)	: 1x
Change in earnings FY26/27/FY28	: +2%/ +2%/ -3%

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Market data

Sensex	:	83,383
Sector	:	Banks
Market Cap (INR bn)	:	1,368.5
Market Cap (USD bn)	:	15.156
O/S Shares (mn)	:	7,633.6
52-wk HI/LO (INR)	:	181/102
Avg. Daily Vol ('000)	:	13,919
Bloomberg	:	UNBK IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
EPS (INR)	23.1	24.8	25.3
BVPS (INR)	159.3	179.1	199.3
PE (x)	7.7	7.2	7.1
P/BV (x)	1.1	1.0	0.9
RoA (%)	1.2	1.1	1.1

Source: Company, Antique

Returns (%)

	1m	3m	6m	12m
Absolute	17	31	22	72
Relative	20	29	20	58

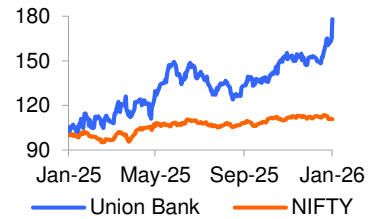
Source: Bloomberg

Shareholding pattern

Promoters	:	75%
Public	:	25%
Others	:	0%

Source: Bloomberg

Price performance *vs* Nifty



Source: Bloomberg Indexed to 100

3QFY26 RESULT REVIEW

Union Bank of India

Beat led by better margins and lower credit costs

Union Bank (UNBK) reported 3QFY26 PAT of INR 50.2 bn (18% QoQ, 9% YoY), a beat on estimate due to (i) Better margin (+9 bps QoQ) outcome led by improved mix on both the asset and liability side with reduction in the investment book and shedding of high cost bulk deposits, (ii) Lower than expected slippages leading to lower credit costs. Loan growth (4% QoQ), which was below system growth for the last six quarters due to shedding of low yielding advances, has improved to being largely in-line with system growth and the momentum is expected to sustain in the coming quarters. However, deposit mobilization remains weak at -1% QoQ, +3.4% YoY, -4% YTD, and C-D ratio increased to 81% (vs. 76.8% in 2Q). Asset quality remains benign with GNPA/ NNPA and slippages declining sequentially. The bank delivered 9MFY26 RoA/ RoE of 1.3%/ 15.2%.

Given the improved growth outlook, we increase our FY26/27/28 growth estimates to 8%/12.5%/12.5% (vs 7%/11.5%/12.5%). However, we reduce our margin estimates due to pass-through of MCLR cuts in FY27/28. Consequently, we are expecting the margins to trends downwards with FY27/28 NIM of 2.67%/2.57%, lower vs 4QFY26 NIM of 2.72%. This results in a NII CAGR of 9% vs loan growth CAGR of 12.5% over the next 2 years. However, we also reduce our credit cost estimates as 9M slippage run rate of 0.9% is running lower than FY25/9MFY25 (1.47%/1.39%). Overall, we revise FY26/27/28 PAT estimates by +2%/+2%/-3% and roll-over our TP to FY28 valuing the bank at 1x FY28 P/B (vs 0.95x 1HFY28 P/B earlier) which leads to a TP of INR 200 (vs INR 180 earlier). Maintain BUY.

Loan growth momentum improved sequentially and is expected to sustain: Gross loan book, which was declining to being flattish sequentially for the last two quarters, saw the growth momentum improving to 4.3% QoQ (in line with sector), 7% YoY, and is expected to sustain in the coming quarters. Sequentially, growth was broad-based between RAM (4% QoQ, 11.5% YoY) and corporate (4.5% QoQ, 2% YoY). RAM growth was also broad-based between retail (3% QoQ, 22% YoY), agri (4% QoQ, -5% YoY), and SME (6% QoQ, 20% YoY). RAM mix was stable at 56.7%. While loan growth has been lower than system growth for the last six quarters; going forward, the bank has guided for growth to be in-line with system growth on a QoQ basis. We forecast FY26-28 credit growth to be 9%/ 12.5%/ 12.5%.

Margin performance better than expected due to better mix management on both assets and liabilities: Deposit book declined by -1% QoQ, +3.4% YoY, -4% YTD as the bank shed high-cost bulk deposits. Margin performance was better than expected as NIM (2.76%) increased by +9 bps QoQ (vs. expectation of a largely stable NIM) supported by (i) Funding cost decline of -14 bps QoQ as the bank shed high-cost bulk deposits (bulk TD share reduced to 21% vs. 23% in 2Q) while (ii) Funding yield declined by -4 bps QoQ on improved interest earning asset mix (share of investment book % interest earning assets reduced by 100bps QoQ), higher investment yields, and higher other interest income. 4Q will see the full impact of the Dec'25 repo cut of 25 bps; the impact will be offset by the benefit of deposit repricing and improved liquidity. However, we expect FY27 margins to remain under check due to pass-through of MCLR cuts. Other income was weak (-9% QoQ/ 2.8% YoY) due to delay in TWO recoveries.

Asset quality remained benign: GNPA/ NNPA reduced to 3.06%/ 0.51% (-23 bps/ -4 bps QoQ) supported by lower slippages. Gross slippage ratio reduced to 0.8% vs. 0.96% QoQ/ 0.9% YoY and slippages reduced sequentially across segments. 9M slippage run rate of 0.9% is running lower than FY25/ 9MFY25 (1.47%/ 1.39%). The bank expects steady state credit costs post ECL implementation to be similar to current levels.

Investment Summary

Post the leadership transition and culmination of the loan book rebalancing exercise, going forward the bank is now expected to deliver loan growth in-line with sector as is seen in 3Q as well. This was one of the biggest headwinds towards convergence of its valuation multiple vs the other PSUs which are broadly trading at 1x FY28 P/B. Consequently we now value the bank at 1x FY28 P/B vs 0.95x 1HFY28 P/B earlier, leading to a TP of INR 200 vs INR 180 earlier.

Table 1: Quarterly variance

Profit and Loss (INR mn)	3Q2026	3Q2025	YoY %	2Q2026	QoQ %	3Q2026	Deviation (%)	9MFY26	9MFY25	YoY %
Net Interest Income	**93,279**	**92,403**	**0.9**	**88,124**	**5.9**	**86,780**	**7.5**	**2,72,529**	**2,76,996**	**-1.6**
Other Income	45,411	44,166	2.8	49,958	-9.1	49,435	-8.1	1,40,227	1,42,538	-1.6
Reported Fee income	**24,500**	**23,650**	**3.6**	**24,430**	**0.3**	**25,407**	**-3.6**	**82,007**	**83,188**	**-1.4**
Core Income	**1,17,779**	**1,16,053**	**1.5**	**1,12,554**	**4.6**	**1,12,187**	**5.0**	**3,54,535**	**3,60,185**	**-1.6**
Other non core Income	20,911	20,516	1.9	25,528	-18.1	24,028	-13.0	58,220	59,350	-1.9
Operating Expenses	**69,274**	**61,650**	**12.4**	**69,942**	**-1.0**	**71,496**	**-3.1**	**2,06,113**	**1,85,636**	**11.0**
Employee	40,111	34,678	15.7	39,087	2.6	39,868	0.6	1,18,657	1,05,985	12.0
Others	29,163	26,972	8.1	30,856	-5.5	31,627	-7.8	87,456	79,651	9.8
Core Operating Profits	**48,506**	**54,403**	**-10.8**	**42,611**	**13.8**	**40,692**	**19.2**	**1,48,422**	**1,74,549**	**-15.0**
Operating Profits	**69,416**	**74,918**	**-7.3**	**68,140**	**1.9**	**64,720**	**7.3**	**2,06,642**	**2,33,899**	**-11.7**
Provisions	**3,222**	**15,991**	**-79.8**	**13,967**	**-76.9**	**12,679**	**-74.6**	**33,835**	**60,671**	**-44.2**
PBT	**66,194**	**58,928**	**12.3**	**54,172**	**22.2**	**52,041**	**27.2**	**1,72,807**	**1,73,228**	**-0.2**
Taxes	16,026	12,891	24.3	11,681	37.2	13,322	20.3	38,994	43,206	-9.7
PAT	**50,168**	**46,036**	**9.0**	**42,491**	**18.1**	**38,718**	**29.6**	**1,33,814**	**1,30,022**	**2.9**

Source: Company, Antique

Table 2: We revise our FY26/ 27/ 28 estimates by +2%/ +2%/ -3%

	Old est			New Est			Change (%)		
INR bn	**FY26**	**FY27**	**FY28**	**FY26**	**FY27**	**FY28**	**FY26**	**FY27**	**FY28**
Net Interest Income	**367.5**	**429.3**	**477.9**	**370.7**	**418.2**	**441.9**	**0.9**	**-2.6**	**-7.5**
Other Income	206.8	216.4	234.4	191.0	204.2	223.9	-7.7	-5.7	-4.5
Total Income	**574.3**	**645.7**	**712.3**	**561.7**	**622.4**	**665.8**	**-2.2**	**-3.6**	**-6.5**
Operating Expenses	290.5	318.8	349.9	284.7	312.8	343.7	-2.0	-1.9	-1.8
Operating Profits	**283.8**	**326.9**	**362.3**	**277.0**	**309.6**	**322.1**	**-2.4**	**-5.3**	**-11.1**
Provisions	61.1	84.9	102.6	45.3	62.6	69.7	-25.7	-26.2	-32.1
PBT	**222.8**	**242.0**	**259.7**	**231.7**	**247.0**	**252.4**	**4.0**	**2.1**	**-2.8**
Tax	49.0	56.6	60.8	55.1	57.8	59.0	12.5	2.1	-2.8
PAT	**173.8**	**185.4**	**199.0**	**176.5**	**189.2**	**193.4**	**1.6**	**2.1**	**-2.8**

Source: Industry, Antique

Table 3: DuPont analysis

Y/E MARCH (%)	FY20	FY21	FY22	FY23	FY24	FY25E	FY26E	FY27E	FY28E
Net Interest Income	**2.4**	**2.4**	**2.5**	**2.65**	**2.74**	**2.57**	**2.42**	**2.54**	**2.44**
Core Fee Income	0.6	0.5	0.6	0.67	0.78	0.93	0.73	0.73	0.74
Operating Expenses	**1.8**	**1.6**	**1.6**	**1.78**	**1.83**	**1.79**	**1.85**	**1.90**	**1.90**
Core Operating Profits	**1.2**	**1.3**	**1.4**	**1.55**	**1.69**	**1.71**	**1.30**	**1.37**	**1.28**
Non Interest income	1.2	1.1	1.1	1.19	1.20	1.37	1.24	1.24	1.24
Operating Profits	**1.8**	**1.9**	**1.9**	**2.06**	**2.11**	**2.15**	**1.80**	**1.88**	**1.78**
Provisions	**2.2**	**1.6**	**1.2**	**1.08**	**0.51**	**0.53**	**0.30**	**0.38**	**0.39**
PBT	**-0.4**	**0.2**	**0.8**	**0.98**	**1.60**	**1.62**	**1.51**	**1.50**	**1.40**
Tax	0.3	0.0	0.3	0.30	0.58	0.38	0.36	0.35	0.33
RoA	**-0.7**	**0.3**	**0.5**	**0.68**	**1.02**	**1.24**	**1.15**	**1.15**	**1.07**
Leverage (x)	27.7	18.3	18.0	17.85	16.30	14.53	13.40	12.75	12.52
RoE	**-18.5**	**5.1**	**8.4**	**12.20**	**16.65**	**18.07**	**15.41**	**14.65**	**13.39**

Source: Industry, Antique

Table 4: Quarterly snapshot

INR mn	3QFY24	4QFY24	1QFY25	2QFY25	3QFY25	4QFY25	1QFY26	2QFY26	3QFY26	QoQ (%)	YoY (%)
Profit and Loss											
Interest Income	**2,53,630**	**2,63,501**	**2,63,644**	**2,67,084**	**2,65,436**	**2,76,952**	**2,72,956**	**2,61,906**	**2,64,434**	**1.0**	**-0.4**
Loans	1,83,766	1,94,514	1,93,616	1,93,809	1,99,762	2,03,482	2,00,962	1,96,250	1,98,836	1.3	-0.5
Investment	56,582	56,083	56,982	59,092	57,867	57,901	58,221	54,175	56,397	4.1	-2.5
Others	13,281	12,905	13,046	14,183	7,807	15,570	13,772	11,481	9,201	-19.9	17.9
Interest Expenses	**1,61,950**	**1,69,135**	**1,69,523**	**1,76,612**	**1,73,033**	**1,81,812**	**1,81,830**	**1,73,782**	**1,71,155**	**-1.5**	**-1.1**
Net Interest Income	**91,680**	**94,366**	**94,121**	**90,473**	**92,403**	**95,141**	**91,126**	**88,124**	**93,279**	**5.9**	**0.9**
Other Income	**37,743**	**47,074**	**45,092**	**53,280**	**44,166**	**55,591**	**44,858**	**49,958**	**45,411**	**-9.1**	**2.8**
Trading profits	6,110	7,830	7,000	10,260	8,140	16,460	14,180	10,730	9,010	-16.0	10.7
Recoveries	10,260	14,140	9,540	14,200	10,210	9,160	8,500	9,130	6,670	-26.9	-34.7
Fee income	21,320	20,130	28,680	25,630	23,650	24,880	22,190	24,430	24,500	0.3	3.6
Others	53	4,974	-128	3,190	2,166	5,091	-12	5,668	5,231	-7.7	141.5
Total Income	**1,29,423**	**1,41,441**	**1,39,213**	**1,43,753**	**1,36,568**	**1,50,731**	**1,35,983**	**1,38,082**	**1,38,690**	**0.4**	**1.6**
Operating Expenses	**56,648**	**76,111**	**61,360**	**62,625**	**61,650**	**73,730**	**66,897**	**69,942**	**69,274**	**-1.0**	**12.4**
Employee	32,795	48,291	35,680	35,627	34,678	40,691	39,459	39,087	40,111	2.6	15.7
Others	23,853	27,820	25,680	26,999	26,972	33,039	27,438	30,856	29,163	-5.5	8.1
Operating Profits	**72,776**	**65,329**	**77,853**	**81,128**	**74,918**	**77,002**	**69,087**	**68,140**	**69,416**	**1.9**	**-7.3**
Provisions	17,478	12,596	27,558	17,122	15,991	15,439	16,645	13,967	3,222	-76.9	-79.8
PBT	**55,298**	**52,734**	**50,295**	**64,006**	**58,928**	**61,562**	**52,442**	**54,172**	**66,194**	**22.2**	**12.3**
Taxes	19,399	19,628	13,507	16,808	12,891	11,713	11,286	11,681	16,026	37.2	24.3
PAT	**35,899**	**33,106**	**36,789**	**47,197**	**46,036**	**49,849**	**41,155**	**42,491**	**50,168**	**18.1**	**9.0**
Ratios (%)											
Fees of Total Income	16.5	14.2	20.6	17.8	17.3	16.5	16.3	17.7	17.7	-3	35
Cost to Core Income	50.1	66.5	50.0	53.9	53.1	61.4	59.0	62.1	58.8	-332	569
Tax Rate	35.1	37.2	26.9	26.3	21.9	19.0	21.5	21.6	24.2	265	233
CASA (Cal)	34.4	34.2	33.4	32.7	33.4	33.5	32.5	32.6	34.0	140	53
Loan/Deposit	73.5	71.3	71.8	74.0	77.8	74.9	76.3	76.8	81.0	422	325
Margins - Quarterly											
Margins	3.1	3.1	3.1	2.9	2.9	2.9	2.8	2.7	2.8	9	-15

Balance sheet (INR bn)	**3QFY24**	**4QFY24**	**1QFY25**	**2QFY25**	**3QFY25**	**4QFY25**	**1QFY26**	**2QFY26**	**3QFY26**	**QoQ (%)**	**YoY (%)**
Networth	935	970	1,024	1,070	1,116	1,130	1,171	1,212	1,261	4.0	13.0
Deposits	11,725	12,215	12,242	12,116	11,831	12,722	12,399	12,346	12,229	-1.0	3.4
CA	708	738	669	679	669	864	686	630	678	7.5	1.3
SA	3,263	3,363	3,325	3,284	3,284	3,399	3,345	3,388	3,473	2.5	5.8
CASA	3,971	4,101	3,995	3,963	3,953	4,263	4,030	4,019	4,151	3.3	5.0
Investments	3,354	3,379	3,426	3,534	3,399	3,544	3,406	3,457	3,312	-4.2	-2.6
Advances	8,621	8,708	8,787	8,971	9,202	9,535	9,461	9,483	9,909	4.5	7.7
Assets	13,498	13,920	14,025	14,130	14,066	14,999	14,819	14,738	14,825	0.6	5.4
Gross advances	**8,960**	**9,049**	**9,122**	**9,288**	**9,492**	**9,829**	**9,745**	**9,752**	**10,169**	**4.3**	**7.1**
Agricultural	1,776	1,838	1,889	1,919	1,853	1,785	1,716	1,684	1,753	4.1	-5.4
MSME	1,227	1,217	1,370	1,267	1,304	1,364	1,444	1,474	1,562	6.0	19.8
Retail	1,734	1,775	1,823	1,924	2,018	2,168	2,290	2,385	2,455	2.9	21.7
Corporate	4,223	4,219	4,040	4,178	4,316	4,512	4,294	4,209	4,398	4.5	1.9
Loan Mix (%)											
Agricultural	19.8	20.3	20.7	20.7	19.5	18.2	17.6	17.3	17.2	-3	-228
MSME	13.7	13.4	15.0	13.6	13.7	13.9	14.8	15.1	15.4	25	162
Retail	19.4	19.6	20.0	20.7	21.3	22.1	23.5	24.5	24.1	-31	288
Corporate	47.1	46.6	44.3	45.0	45.5	45.9	44.1	43.2	43.3	9	-222

Source: Company, Antique

Financials

Profit and loss account (INR mn)

Year-ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Interest Income	9,97,780	10,77,260	10,72,724	11,61,724	12,55,958
Interest Expense	6,32,076	7,05,123	7,01,985	7,43,483	8,14,039
Net Interest Income	**3,65,704**	**3,72,137**	**3,70,740**	**4,18,241**	**4,41,919**
% NII Growth	11.6	1.8	(0.4)	12.8	5.7
Fee Income	1,04,549	1,33,983	1,12,732	1,20,852	1,33,302
Non-interest income	**1,60,802**	**1,98,129**	**1,90,952**	**2,04,164**	**2,23,861**
Net Revenue	**5,26,506**	**5,70,266**	**5,61,691**	**6,22,405**	**6,65,779**
Employees Expenses	1,43,772	1,46,676	1,60,773	1,75,243	1,91,014
Other Op. Expenses	1,00,628	1,12,689	1,23,910	1,37,540	1,52,669
Operating Profit	**2,82,106**	**3,10,900**	**2,77,008**	**3,09,622**	**3,22,096**
% OP Growth	10.8	10.2	-10.9	11.8	4.0
Tax	77,821	54,919	55,137	57,775	59,046
Total Provisions	67,802	76,110	45,341	62,621	69,664
Net Profit	**1,36,483**	**1,79,871**	**1,76,530**	**1,89,226**	**1,93,386**

Balance sheet (INR mn)

Year-ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Capital	76,336	76,336	76,336	76,336	76,336
Reserves and Surplus	8,93,354	10,53,416	11,94,360	13,45,441	14,99,843
Deposits	1,22,15,284	1,27,22,469	1,31,04,143	1,44,14,557	1,58,56,013
Borrowings	2,69,484	6,48,444	7,78,133	8,03,256	8,42,883
Other Liabilities & Provisions	4,65,119	4,97,892	5,47,681	6,02,449	6,62,694
Total liabilities	**1,39,19,576**	**1,49,98,557**	**1,57,00,653**	**1,72,42,039**	**1,89,37,770**
Cash & Balances with RBI	5,28,975	8,95,035	6,70,532	7,37,147	7,87,786
Bal. with banks/ call money	6,64,054	4,18,305	3,93,124	4,32,437	4,75,680
Investment	33,79,035	35,43,814	35,08,376	36,13,627	37,22,036
Loans and advances	87,07,761	95,35,133	1,03,17,014	1,16,06,641	1,30,57,471
Fixed Assets	92,228	97,819	99,775	1,04,764	1,10,002
Other Assets	5,47,523	5,08,451	7,11,832	7,47,423	7,84,794
Total assets	**1,39,19,576**	**1,49,98,557**	**1,57,00,653**	**1,72,42,039**	**1,89,37,770**

Asset Quality

Year-ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Gross NPA (INRm)	4,30,979	3,53,499	2,97,960	2,76,855	2,69,467
Gross NPA (%)	4.8	3.6	2.8	2.3	2.0
Net NPA (INRm)	89,899	59,690	50,360	46,793	45,544
Net NPA (%)	1.0	0.6	0.5	0.4	0.3
% coverage of NPA	79.1	83.1	83.1	83.1	83.1
Delinquencies (%)	1.6	1.4	0.9	1.1	1.1

Capital Adequacy Ratio

Year-ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
RWA (INRm)	66,41,881	70,39,200	75,36,314	89,65,860	98,47,640
Tier I (%)	**15.0**	**16.2**	**17.0**	**16.0**	**16.1**
Tier II (%)	2.0	1.8	1.7	1.4	1.3
Total CAR (%)	17.0	18.0	18.7	17.4	17.4

Source: Company, Antique

Business Ratios

Year-ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Credit / Deposit(%)	111.7	135.4	154.7	174.8	195.1
Investment / Deposit (%)	17.9	23.6	23.1	24.8	25.3
CASA (%)	**33.6**	**33.5**	**34.0**	**33.1**	**32.6**
RoaA (%)	**1.0**	**1.2**	**1.2**	**1.1**	**1.1**
Core RoE (%)	16.6	18.1	15.4	14.7	13.4

Key assumptions

Year-ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Deposits					
Deposit growth (%)	9.3	4.2	3.0	10.0	10.0
Cost of deposits (%)	5.0	5.3	5.1	5.1	5.0
Advances					
Advances growth (%)	14.3	9.5	8.2	12.5	12.5
Yield on advances (%)	8.8	8.7	8.1	8.0	7.8
Investments					
Investments growth (%)	(0.4)	4.9	(1.0)	3.0	3.0
Yield on investments (%)	6.6	6.7	6.4	6.7	6.7

Earnings Ratios

Year-ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Interest Inc. / Avg.assets (%)	7.5	7.5	7.0	7.1	6.9
Interest Exp./ Avg. assets (%)	4.7	4.9	4.6	4.5	4.5
NIM (%)	**2.9**	**2.7**	**2.5**	**2.7**	**2.6**
Int. exp/ Int earned (%)	63.3	65.5	65.4	64.0	64.8
Oth. Inc./ Tot. Inc. (%)	30.5	34.7	34.0	32.8	33.6
Staff exp/Total opt. exp (%)	58.8	56.6	56.5	56.0	55.6
Cost/ Income Ratio (%)	**46.4**	**45.5**	**50.7**	**50.3**	**51.6**
Prov./ Operating Profit (%)	24.0	24.5	16.4	20.2	21.6
Loan loss prov./Avg. loans (%)	**0.8**	**0.8**	**0.5**	**0.6**	**0.6**

Per Share Data

Year-ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Book value per share (INR)	120	141	159	179	199
Adj. BVPS (INR)	112	135	155	175	195
Price/ Book value	**1.5**	**1.3**	**1.1**	**1.0**	**0.9**
EPS(INR)	18	24	23	25	25
P/E Ratio	**10.0**	**7.6**	**7.7**	**7.2**	**7.1**

RoA decomposition

Year-ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Interest income/Assets	7.5	7.5	7.0	7.1	6.9
Interest expenses/Assets	4.7	4.9	4.6	4.5	4.5
Net interest income/Assets	**2.7**	**2.6**	**2.4**	**2.5**	**2.4**
Treasury income/Assets	0.8	0.9	0.7	0.7	0.7
Other Inc. from operations/Assets	1.2	1.4	1.2	1.2	1.2
Total income/Assets	3.9	3.9	3.7	3.8	3.7
Employee expenses/Assets	1.1	1.0	1.0	1.1	1.1
Other operating expenses/Assets	0.8	0.8	0.8	0.8	0.8
Operating profit/Assets	**2.1**	**2.2**	**1.8**	**1.9**	**1.8**
Tax/Assets	0.6	0.4	0.4	0.4	0.3
Loan loss provisions/Assets	0.5	0.5	0.3	0.4	0.4
Net profit/Assets	**1.0**	**1.2**	**1.2**	**1.1**	**1.1**

Source: Company Antique

CMP	: INR 2,555
Reco	: BUY ↔
Target Price	: INR 3,350 ↔
Target Price Change	: No Change
Target FY28e P/E (x)	: 36
EPS Change FY26/ 27/ 28	: 0%/ -1%/ -1%

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Market data

Sensex	:	83,383
Sector	:	Asset Mgmt. Co.
Market Cap (INR bn)	:	1,093.9
Market Cap (USD bn)	:	12.115
O/S Shares (mn)	:	428.3
52-wk HI/LO (INR)	:	2967/1763
Avg. Daily Vol ('000)	:	907
Bloomberg	:	HDFCAMC IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
EPS (INR)	70	80	93
P/E	36.6	31.8	27.4
P/BV	11.9	10.7	9.5
Core P/E	40.1	34.0	28.8
Mcap to AUM	11.9	9.9	8.3

Source: Bloomberg

Returns (%)

	1m	3m	6m	12m
Absolute	(5)	(9)	0	32
Relative	(2)	(10)	(1)	21

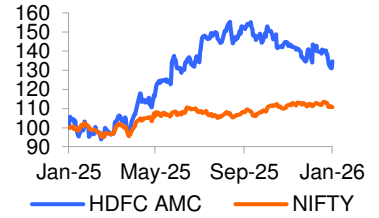
Source: Bloomberg

Shareholding pattern

Promoters	:	52%
Public	:	48%
Others	:	0%

Source: Bloomberg

Price performance *vs* Nifty



Source: Bloomberg Indexed to 100

3QFY26 RESULT REVIEW

HDFC Asset Management Company

Sustained flows and steady yields drive strong show

HDFC Asset Management Company's (HDFCAMC) 3QFY26 results, although in line with our estimates, were ahead of consensus. Revenue/ operating EBITDA/ PAT were 2%/ 4% / 6% ahead of consensus. QAAUM rose ~17% YoY and ~5% QoQ translating into revenue growth of 15% YoY and ~5% QoQ implying stable blended yield. Core EBITDA grew 15% YoY and 10% QoQ due to lower CSR and business promotion spends QoQ, while PAT increased 20% YoY and 15% QoQ supported by higher other income due to MTM gains. Management acknowledged the upcoming TER-related regulatory changes from Apr'26 but remains confident of largely mitigating the financial impact through pricing optimization, cost discipline, and past playbook execution, with no change to its medium-term profitability stance. We largely maintain our FY26-28E revenue/ EBITDA/ PAT and expect HDFCAMC to deliver 21% AAUM and 17% PAT CAGR over FY25–28E driven by strong fund performance, flow market share gains, and operating leverage. Our FY26–28E PAT estimates are 2%-4% ahead of consensus. Maintain BUY with an unchanged TP of INR 3,350 based on 36x FY28E P/E (earlier 38x 1HFY28E). HDFCAMC remains our top pick in the sector.

AUM growth strong; equity mix rose QoQ

QAAUM rose ~17% YoY and ~5% QoQ to INR 9.25 trn, while closing AUM grew ~19% YoY to INR 9.21 trn. Equity-oriented QAAUM stood at ~INR 6.06 trn, with equity mix improving from 64.6% in 2QFY26 to ~65.5% in 3QFY26, significantly above the industry average (~56%–57%). Actively managed equity AUM grew ~19% YoY with market share inching up to ~13%, reflecting strong participation in equity inflows and consistent fund performance. Debt QAAUM increase7d ~17% YoY, while liquid AUM moderated, broadly in line with industry trends.

Yields resilient despite scale and mix changes

Blended yield remained stable at ~45 bps for the quarter (46 bps for 9MFY26). Asset-class yields were largely steady: equity at ~56–57 bps, debt at ~27–28 bps, and liquid at ~12–13 bps. Management reiterated that while telescopic pricing structurally puts pressure on TERs as AUM scales up, disciplined pricing on incremental flows and cost control have helped sustain margin within the 33–36 bps operating band.

Distribution, SIPs, and alternatives continue to scale

SIP momentum remained robust, with systematic transactions reaching ~INR 47 bn in Dec'25 and SIP AUM at ~INR 2.2 trn. Direct channel share continued to improve, while HDFCAMC maintained leadership in the individual investor segment, with ~15.4 mn unique investors (~26% penetration of industry). In non-MF businesses, PMS AUM crossed ~INR 58 bn and alternative commitments reached ~INR 25 bn, including the first close of the structured credit fund (~INR 13 bn), highlighting steady progress in building adjacent growth engines.

Regulatory changes—Manageable headwinds

Management discussed the SEBI-led changes to the TER framework effective Apr'26, including the removal of the additional 5 bps TER linked to exit loads and the revised expense construct separating statutory levies. While the impact is expected to be more pronounced for larger equity schemes due to telescopic pricing, management highlighted that smaller schemes could see partial offsets under the revised slabs. Drawing parallels with the 2019 TER transition, HDFCAMC reiterated its ability to optimize pricing and costs to contain margin impact, while emphasizing that lower TERs structurally enhances alpha for investors and reinforces competitiveness of large, scaled fund houses over the long term.

Investment Summary

We expect HDFCAMC to deliver consistent industry-leading 21% AAUM and 17% PAT CAGR over FY25–28E. Maintain BUY with an unchanged TP of INR 3,350. Key risks: Sharp equity market correction, TER regulation changes, continued shift to passives, or slower inflows.

Conference Call Takeaways

- **Regulatory changes manageable:** Management expects to largely mitigate the impact of the upcoming TER changes (removal of additional 5 bps linked to exit load and revised TER construct) through pricing optimization and cost discipline, drawing comfort from its execution during the 2019 TER transition. Impact likely higher for large schemes, while smaller schemes may see partial offsets.
- **Yields to remain resilient:** Despite telescopic pricing and rising AUM, management remains confident of sustaining operating margin within the 33–36 bps band over the medium term, supported by disciplined pricing on incremental flows and tight cost control.
- **Equity growth momentum intact:** Equity-oriented flows and SIP momentum remains strong despite market volatility, with industry SIP inflows touching record levels in Dec'25. HDFCAMC continues to participate well across channels, geographies, and products.
- **Market share focus over cycles:** Management reiterated its strategy of balancing scale, quality, and profitability, emphasizing that it does not chase AUM growth at the cost of margins or long-term franchise strength.
- **Direct and passive gaining traction:** Direct channel continues to gain share, while passive AUM growth is driven by institutional mandates (EPFO, insurance) and rising interest in ETFs and index funds; HDFCAMC's passive market share remains higher than its active share.
- **PMS & alternatives scaling phase:** PMS AUM crossed ~INR 58 bn, with focus on both discretionary and non-discretionary mandates. Alternatives platform continues to build with the structured credit fund achieving a first close (~INR 13 bn) anchored by IFC; near-term focus is on capability building over margins.
- **Cost control remains tight:** QoQ decline in expenses was driven by lower CSR and business promotion spends. Management reiterated that investments in talent, technology, and digital capabilities remain ongoing but within a disciplined cost framework.
- **Capital allocation unchanged:** High dividend payout to continue, alongside selective balance sheet deployment for seeding alternatives and evaluating strategic opportunities.

Quarterly performance

Table 1: Actual vs. expectations

(INR mn)	Actual	Estimated	% Var	Consensus	% Var
Net sales	10,743	10,781	(0.4)	10,501	2.3
EBITDA	8,773	8,667	1.2	8,446	3.9
PAT	7,701	7,613	1.2	7,238	6.4

Source: Company, Antique

Table 2: Quarterly financials

Particulars (INR mn)	3QFY26	3QFY25	YoY (%)	2QFY26	QoQ (%)	9MFY26	9MFY25	Chg %
Total Revenue from Operation	**10,743**	**9,344**	**15.0**	**10,260**	**4.7**	**30,681**	**25,968**	**18.1**
Other Income	1,590	927	71.4	959	65.8	4,875	4,368	11.6
Total Revenue	**12,332**	**10,271**	**20.1**	**11,219**	**9.9**	**35,556**	**30,336**	**17.2**
Expenses								
Employee Expense	1,233	949	29.9	1,235	-0.1	3,557	2,918	21.9
Fees and Commission Expenses	14	11	35.2	14	2.2	41	29	43.2
Other Expense	722	741	-2.6	1,005	-28.2	2,566	2,395	7.1
Total Operating expense	**1,969**	**1,701**	**15.8**	**2,254**	**-12.6**	**6,164**	**5,341**	**15.4**
EBITDA	**10,363**	**8,570**	**20.9**	**8,966**	**15.6**	**29,392**	**24,995**	**17.6**
Core EBITDA	**8,773**	**7,643**	**14.8**	**8,007**	**9.6**	**24,517**	**20,627**	**18.9**
Depriciation and Amortisation	184	149	23.6	178	3.3	534	418	27.6
Finance cost	34	22	50.7	32	5.3	96	68	41.3
PBT	10,146	8,400	20.8	8,756	15.9	28,762	24,509	17.4
Tax	2,445	1,985	23.2	2,043	19.7	6,870	5,590	22.9
PAT	**7,701**	**6,415**	**20.1**	**6,713**	**14.7**	**21,893**	**18,919**	**15.7**
Core PAT	6,494	5,706	13.8	5,978	8.6	18,186	15,533	17.1
Avg MF aum	**9,249**	**7,874**	**17.5**	**8,814**	**4.9**	**NA**	**NA**	**NA**

Source: Company, Antique

Table 3: We have marginally tweaked our FY26E-28E PAT estimates

	FY26E			FY27E			FY28E		
Change in estimates	**Old**	**New**	**% Chg**	**Old**	**New**	**% Chg**	**Old**	**New**	**% Chg**
Revenue (INR mn)	42,066	41,757	(0.7)	49,016	48,686	(0.7)	57,081	56,725	(0.6)
EBITDA ex Other income(INR mn)	33,846	33,590	(0.8)	39,723	39,387	(0.8)	46,437	46,133	(0.7)
PAT (INR mn)	29,944	29,800	(0.5)	34,863	34,368	(1.4)	40,299	39,810	(1.2)

Source: Company, Antique

Table 4: Our FY26-28E PAT estimates are 2%-4% above consensus

	Consensus			Antique			Variance		
INR mn	**FY26E**	**FY27E**	**FY28E**	**FY26E**	**FY27E**	**FY28E**	**FY26E**	**FY27E**	**FY28E**
Revenue	44,602	51,517	59,383	41,757	48,686	56,725	(6.4)	(5.5)	(4.5)
EBITDA	32,295	37,165	43,231	33,590	39,387	46,133	4.0	6.0	6.7
APAT	29,255	33,037	39,033	29,800	34,368	39,810	1.9	4.0	2.0

Source: Company, Antique

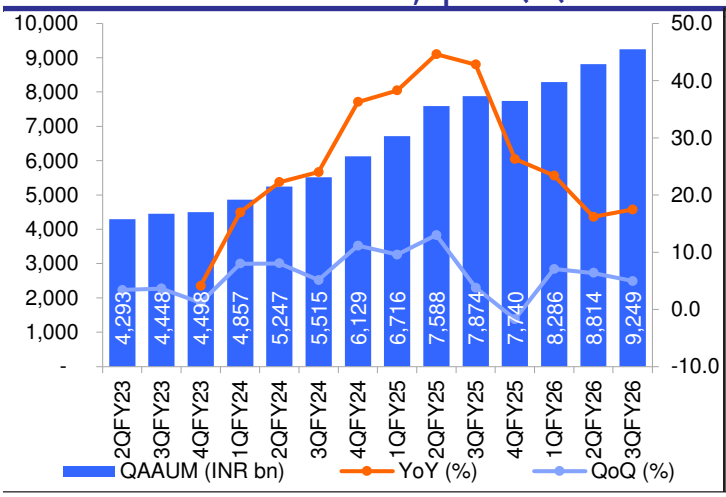
Table 5: Key assumptions

	FY20	FY21	FY22	FY23	FY24	FY25	FY26e	FY27e	FY28e
AAUM MF (INR bn)	**3,728**	**3,834**	**4,338**	**4,338**	**5,437**	**7,480**	**9,165**	**10,989**	**13,163**
Growth YoY		2.8	13.1	0.0	25.3	37.6	22.5	19.9	19.8
Total Income (INR mn)	**21,434**	**22,017**	**24,332**	**24,826**	**31,634**	**40,601**	**48,216**	**55,791**	**64,682**
Growth YoY (%)		2.7	10.5	2.0	27.4	28.3	18.8	15.7	15.9
PAT (INR mn)	**12,623**	**13,258**	**13,931**	**14,234**	**19,427**	**24,602**	**29,800**	**34,368**	**39,810**
Growth YoY		5.0	5.1	2.2	36.5	26.6	21.1	15.3	15.8
Total AUM (bps)									
Revenue	52.7	48.0	48.5	49.8	47.4	46.6	45.4	44.2	43.0
Operating expenses	11.6	10.1	11.9	12.7	11.5	9.4	8.9	8.4	8.0
Operating margins	41.2	37.8	36.6	37.1	35.9	37.2	36.6	35.8	35.0
PAT	33.0	33.7	31.4	32.7	35.6	32.8	32.4	31.2	30.2
ROE (%)	**35.6**	**30.1**	**27.0**	**24.5**	**29.5**	**32.4**	**34.4**	**35.4**	**36.7**

Source: Company, Antique

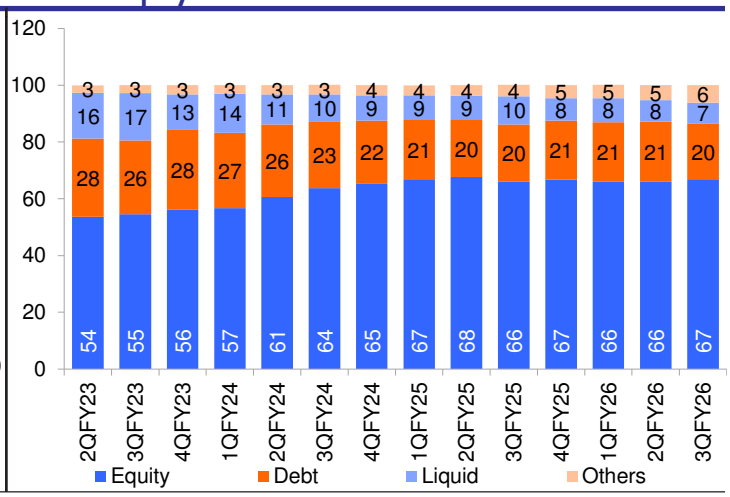
Quarterly Charts

Exhibit 1: Total AUM at INR 9.25 trn, up 5% QoQ



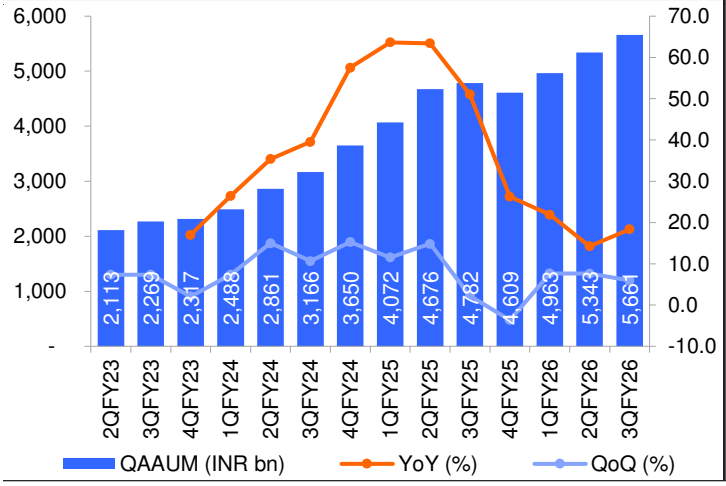
Source: Company, Antique

Exhibit 2: Equity continues to dominate the asset mix



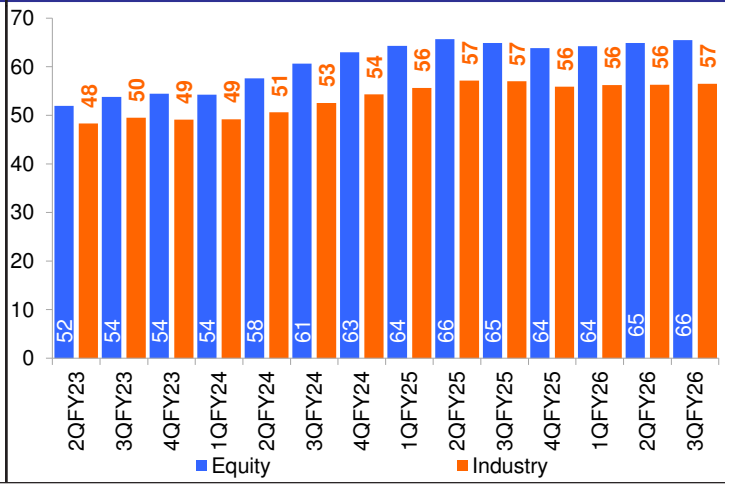
Source: Company, Antique

Exhibit 3: Actively managed equity AUM at INR 5.66 trn, up 6% QoQ



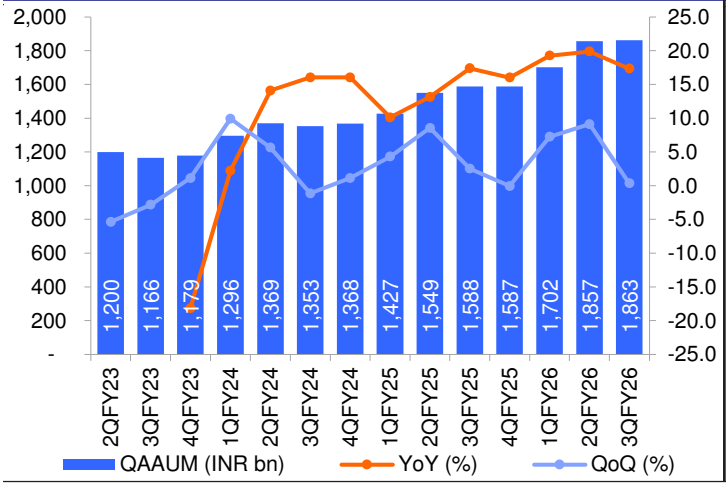
Source: Company, Antique

Exhibit 4: Equity AUM share consistently above industry



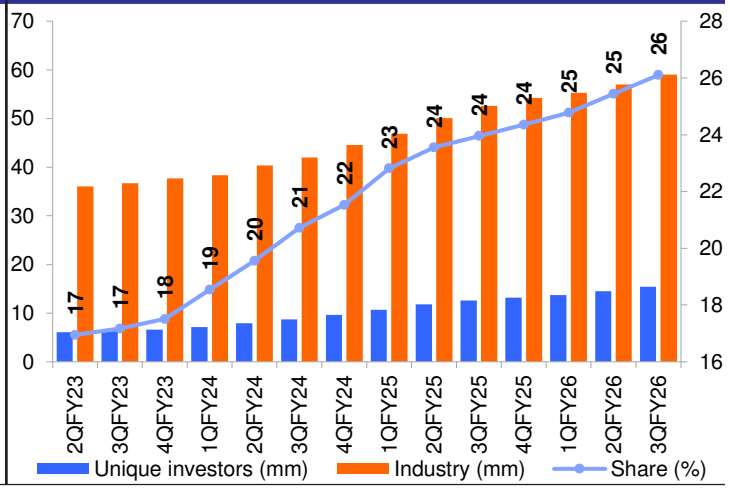
Source: Company, Antique

Exhibit 5: Debt AUM at INR 1.86 trn, up 0.3%



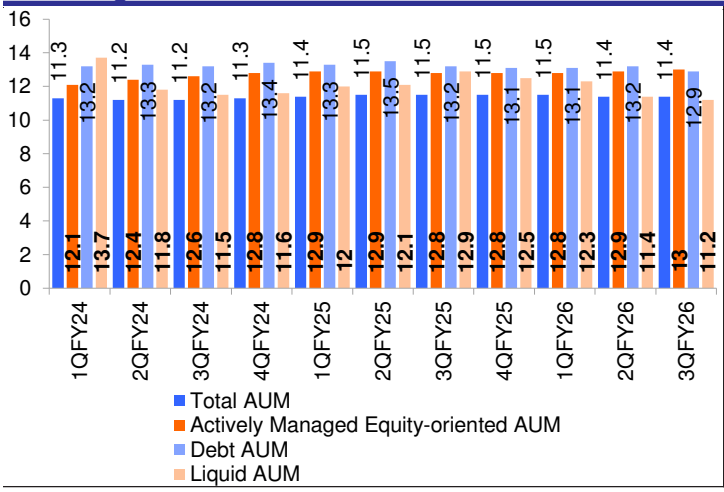
Source: Company, Antique

Exhibit 6: Unique investor penetration at ~26%



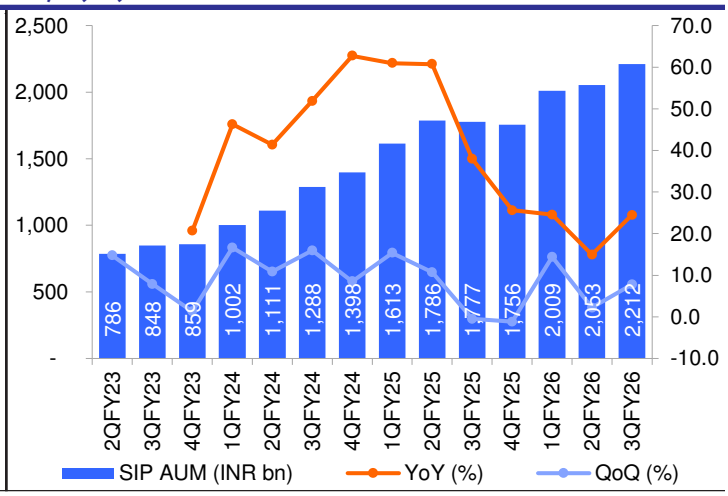
Source: Company, Antique

Exhibit 7: +10% market share maintained across AUM categories



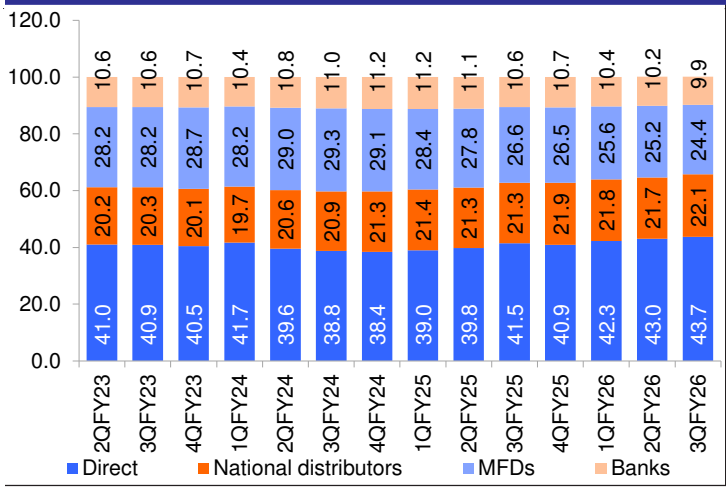
Source: Company, Antique

Exhibit 8: SIP AUM at INR 2.12 trn, up 24.5%/ 7.7% YoY/ QoQ



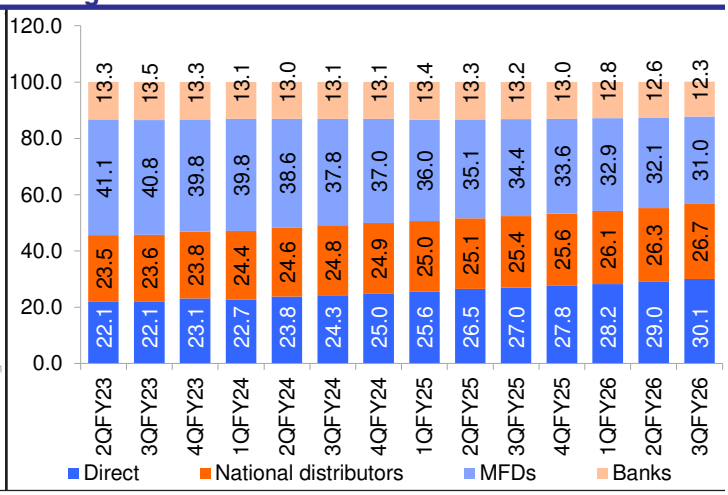
Source: Company, Antique

Exhibit 9: Total AUM direct distribution share at 43.7%; HDFC banking channel share at 5.3%



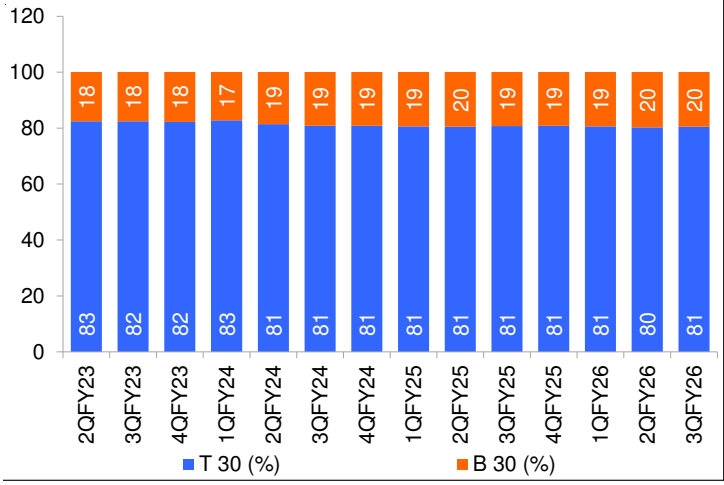
Source: Company, Antique

Exhibit 10: Equity AUM direct distribution share at 30%; HDFC banking channel share at 7%



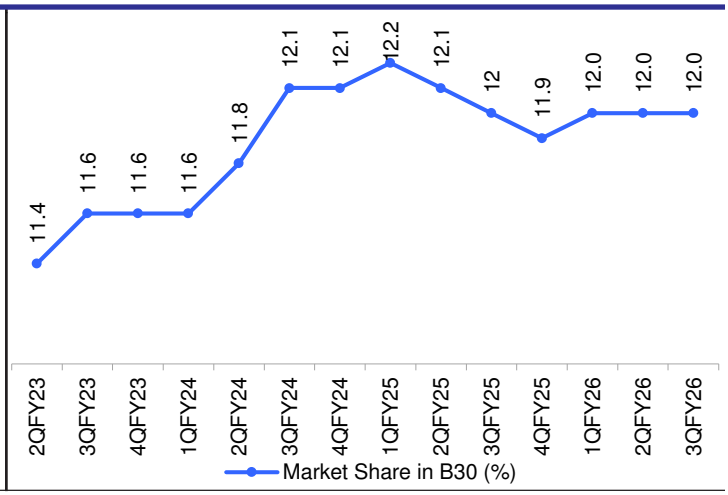
Source: Company, Antique

Exhibit 11: Total MAAUM T 30 share at +80%



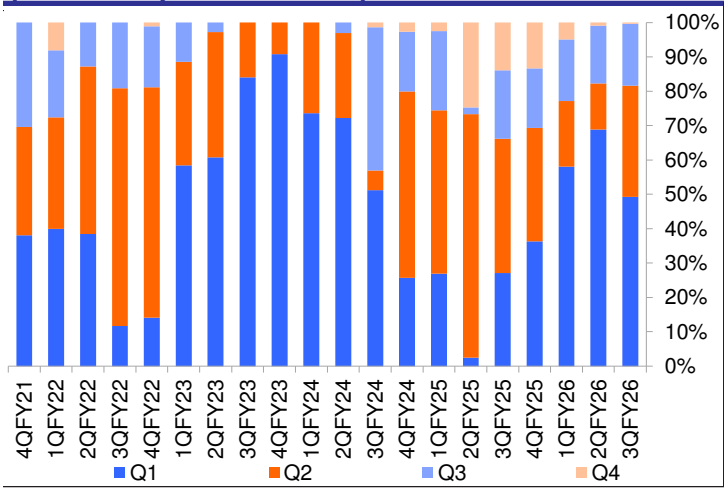
Source: Company, Antique

Exhibit 12: B 30 market share at ~12%



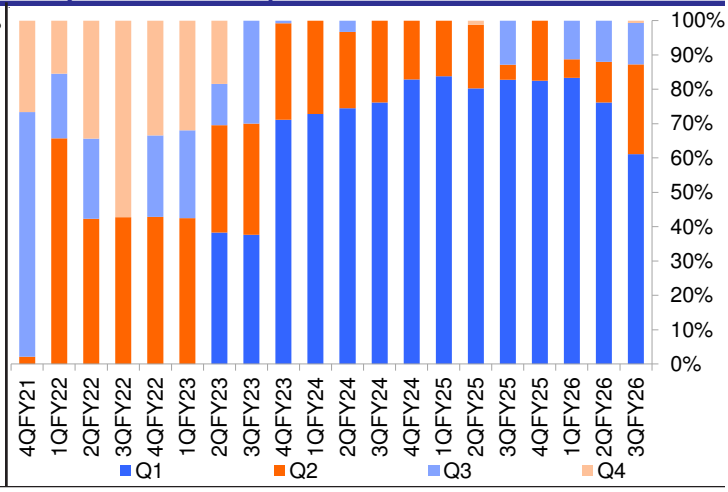
Source: Company, Antique

Exhibit 13: 80% of the equity AUM falls in the top two quartile on 1-yr. return scheme performance basis



Source: Company, Antique

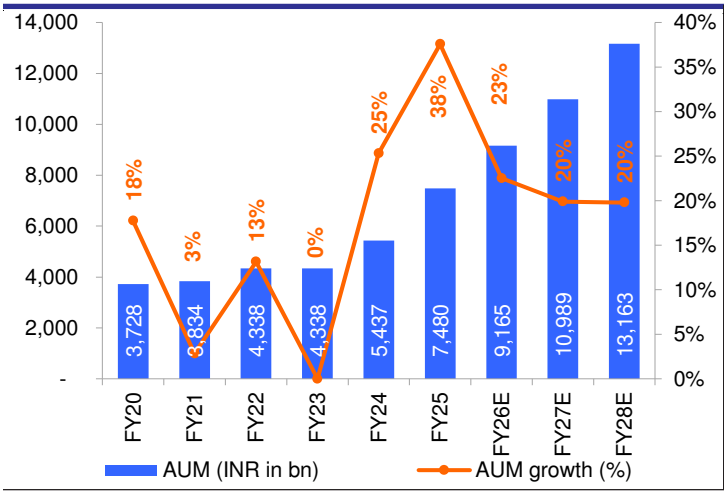
Exhibit 14: 87% of the equity AUM falls in the top two quartile on 3-yr. return scheme performance basis



Source: Company, Antique

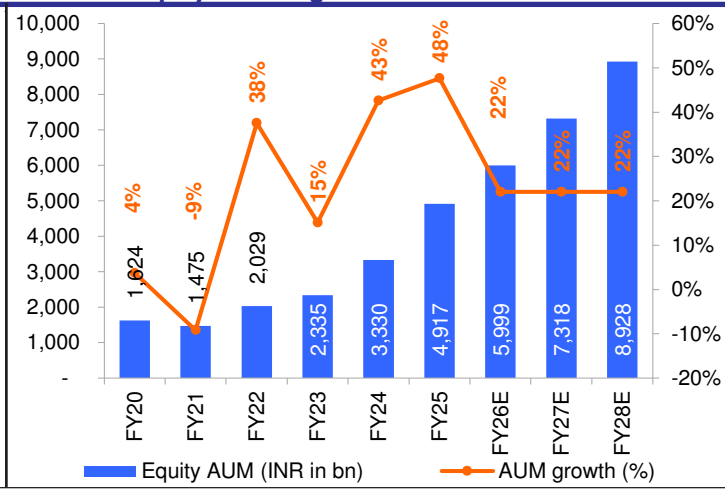
Annual Charts

Exhibit 15: Total QAAUM to grow at 21% CAGR from FY25-28E



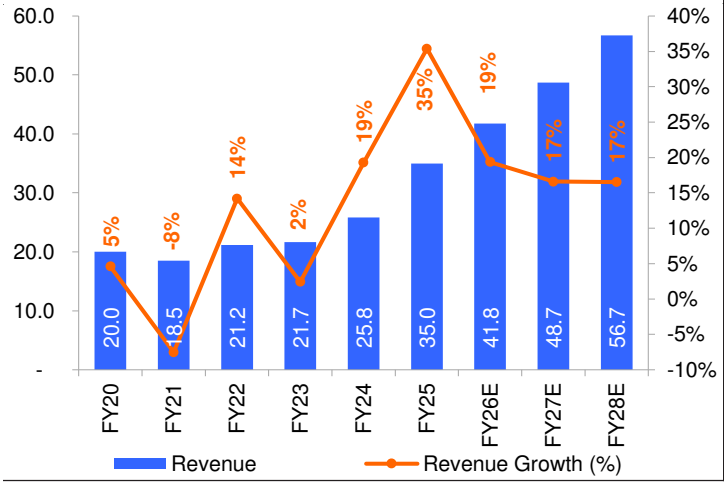
Source: Company, Antique

Exhibit 16: Equity AUM to grow at 22% CAGR from FY25-28E



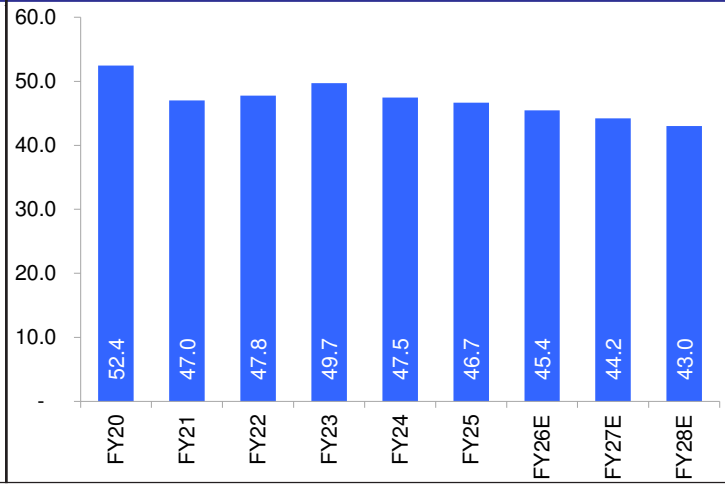
Source: Company, Antique

Exhibit 17: Revenue to grow at 17% CAGR from FY25-28E



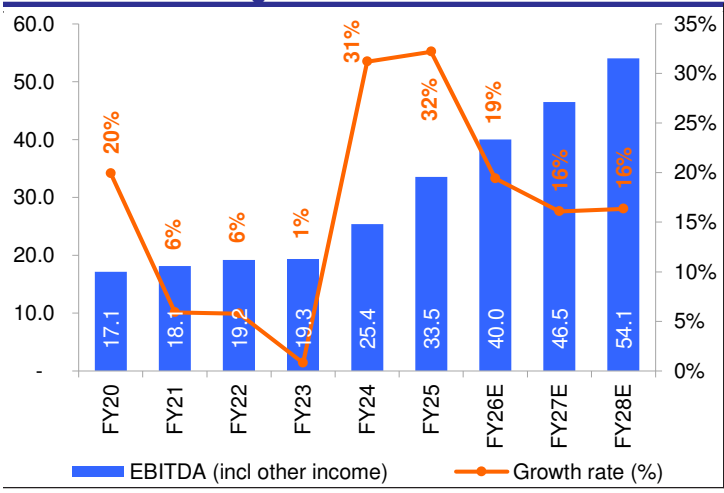
Source: Company, Antique

Exhibit 18: Yield to decline gradually



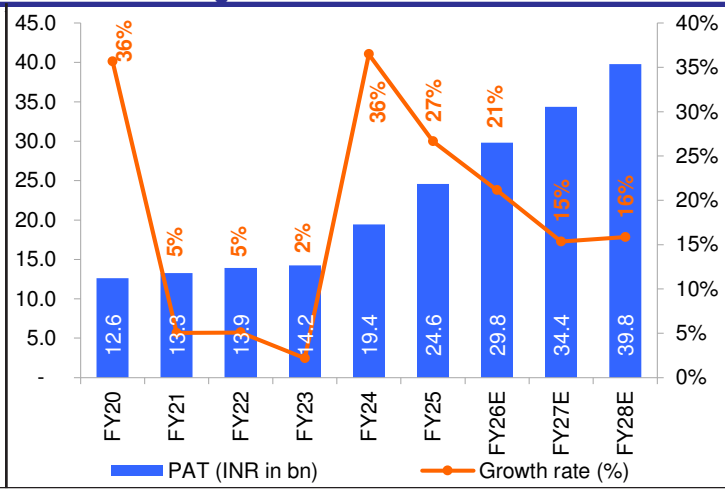
Source: Company, Antique

Exhibit 19: EBITDA to grow at 17% CAGR from FY25-28E



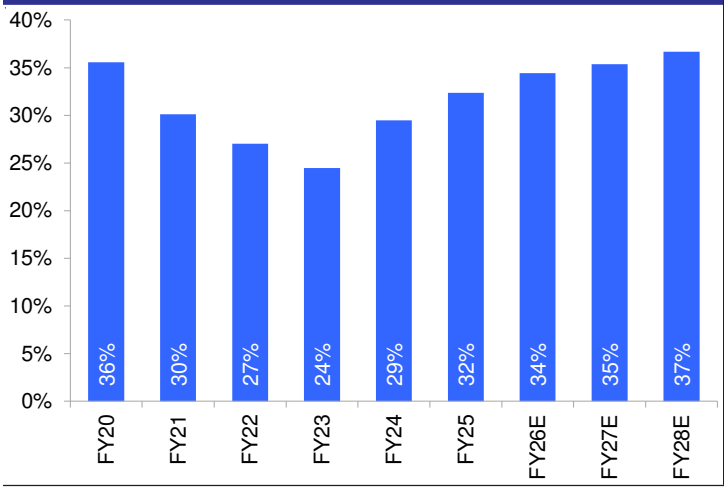
Source: Company, Antique

Exhibit 20: PAT to grow at 17% CAGR from FY25-28E



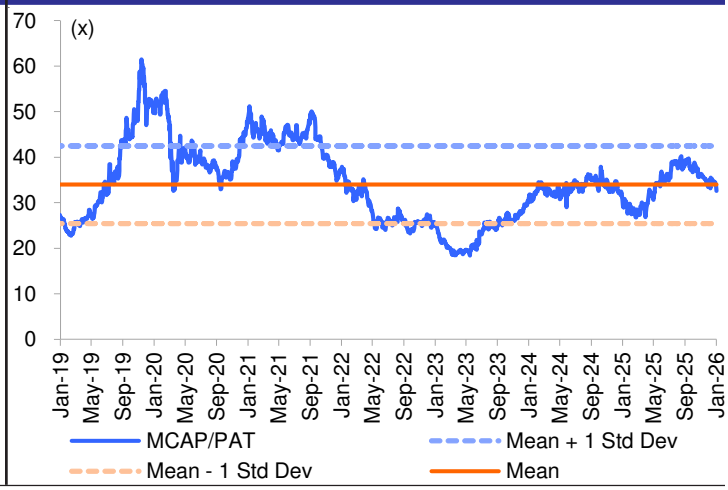
Source: Company, Antique

Exhibit 21: We expect RoE to remain at +30%



Source: Company, Antique

Exhibit 22: One-year forward P/E



Source: Company, Antique

Financials

Profit and loss account (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenue from operations	25,844	34,984	41,757	48,686	56,725
Other income	5,790	5,617	6,459	7,105	7,958
Total income	**31,634**	**40,601**	**48,216**	**55,791**	**64,682**
Total Opex	6,270	7,066	8,167	9,299	10,592
EBITDA (incl other income)	25,364	33,535	40,049	46,492	54,090
EBITDA	**19,574**	**27,919**	**33,590**	**39,387**	**46,133**
Finance Costs	91	94	124	139	154
Depreciation and amortization expenses	523	585	715	710	714
PBT	**24,841**	**32,950**	**39,334**	**45,781**	**53,376**
Core PBT (ex other income)	19,051	27,333	32,875	38,676	45,418
Tax	5,323	8,254	9,410	11,274	13,412
Adjusted PAT	**19,427**	**24,602**	**29,800**	**34,368**	**39,810**
Core PAT	**14,882**	**20,396**	**24,891**	**29,018**	**33,858**

Balance sheet (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Share Capital	1,067	1,069	2,138	2,138	2,138
Reserves & Surplus	69,683	80,231	89,735	1,00,264	1,12,579
Networth	**70,750**	**81,300**	**91,873**	**1,02,402**	**1,14,717**
Trade payables	390	401	421	442	464
Provisions	164	208	207	207	207
Other Liabilities	4,235	5,599	5,823	6,055	6,298
Capital Employed	**75,539**	**87,507**	**98,323**	**1,09,106**	**1,21,685**
Net Fixed Assets	**1,535**	**1,987**	**1,821**	**1,661**	**1,497**
Investments	71,961	82,966	93,721	1,04,414	1,16,882
of which cash and cash equivalents	400	418	600	763	917
Current Assets, Loans & Advances	2,043	2,554	2,781	3,032	3,307
Application of Funds	**75,539**	**87,507**	**98,323**	**1,09,106**	**1,21,685**

Per share data

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Adjusted EPS (INR)	91	115	70	80	93
Core EPS (INR)	70	95	58	68	79
DPS (INR)	70	90	56	64	75
BVPS (INR)	332	381	215	240	268

sSource: Company, Antique

Cash flow statement (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	**24,750**	**32,856**	**39,210**	**45,642**	**53,222**
Tax and other adjustments	(8,194)	(11,597)	(11,679)	(14,060)	(16,709)
OCF	**16,556**	**21,259**	**27,531**	**31,582**	**36,513**
Capital expenditure	(189)	(447)	(550)	(550)	(550)
FCF	**16,367**	**20,812**	**26,981**	**31,032**	**35,963**
Investments	(5,376)	(6,051)	(7,573)	(7,029)	(8,315)
Dividends	(10,661)	(14,743)	(19,227)	(23,840)	(27,495)
Chg. in Cash & Bank balance	**330**	**17**	**182**	**164**	**153**
Opening Balance	70	400	418	600	763
Closing Balance	**400**	**418**	**600**	**763**	**917**

Growth ratios (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
AUM	25.3	37.5	22.5	19.9	19.8
Total Revenue	19.3	35.4	19.4	16.6	16.5
EBITDA	21.0	42.6	20.3	17.3	17.1
Recurring Net Income	36.5	26.6	21.1	15.3	15.8
Core PAT	25.8	37.1	22.0	16.6	16.7

Valuation (x)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
P/E	28.1	22.2	36.6	31.8	27.4
P/BV	7.7	6.7	11.9	10.7	9.5
Core P/E	31.8	22.7	40.1	34.0	28.8
Mcap to AUM	20.0	14.6	11.9	9.9	8.3

Operating ratios (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Investment management fees/total income	81.5	86.0	86.5	87.1	87.6
Operating expenses/total income	19.8	17.4	16.9	16.7	16.4
Employee expenses/operating expenses	56.5	55.1	58.6	59.2	59.8
Core PBT margin (of total income)	73.4	77.9	78.4	79.2	79.8
PAT margin (of total income)	61.4	60.6	61.8	61.6	61.5
Tax rate	21.5	25.1	24.0	24.7	25.2
Payout ratio	0.8	0.8	0.8	0.8	0.8

Total AUM (bps)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenue	47.4	46.6	45.4	44.2	43.0
Operating expenses	11.5	9.4	8.9	8.4	8.0
Operating margins	35.9	37.2	36.6	35.8	35.0
PAT	35.6	32.8	32.4	31.2	30.2
Core PAT	27.3	27.2	27.1	26.3	25.7

Source: Company Antique

CMP	: INR 4,245
Reco	: HOLD ↔
Target Price	: INR 4,300 ↓
Target Price Change	: -12%
Target 1HFY28e P/E (x)	: 27
EPS Change FY26/ 27/ 28	: -7%/-5%/-5%

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Market data

Sensex	:	83,383
Sector	:	IT
Market Cap (INR bn)	:	449.8
Market Cap (USD bn)	:	4.981
O/S Shares (mn)	:	106.0
52-wk HI/LO (INR)	:	5647/3855
Avg. Daily Vol ('000)	:	71
Bloomberg	:	LTTS IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
EPS (INR)	121.2	145.5	174.2
P/E (x)	35.0	29.2	24.4
P/BV (x)	7.0	6.4	5.8
EV/EBITDA (x)	21.3	18.2	15.0
Dividend Yield (%)	1.6	1.9	1.9

Source: Company, Antique

Returns (%)

	1m	3m	6m	12m
Absolute	(9)	2	(2)	(10)
Relative	(7)	1	(4)	(17)

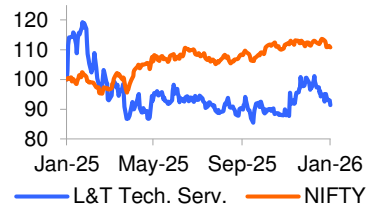
Source: Bloomberg

Shareholding pattern

Promoters	:	74%
Public	:	26%
Others	:	0%

Source: Bloomberg

Price performance *vs* Nifty



Source: Bloomberg Indexed to 100

3QFY26 RESULTS REVIEW

L&T Technology Services

Portfolio reset drags 3Q; guidance lowered

L&T Technology Services (LTTS) reported 3Q revenue of USD 326 mn, down by 2.8% QoQ in CC terms, below our expectation of +2.0% primarily a result of the deliberate exit from low-margin, and commoditized Tech segment as part of its portfolio recalibration exercise under the Lakshya plan. The decline is not solely SWC-related; it is a mixed portfolio clean-up as per management. The company cut guidance to mid-single-digit revenue growth in FY26 (from double-digit aspiration earlier), factoring in completion of restructuring by the end of 4QFY26 and targets an EBIT margin improvement to the mid-16% range by 4Q FY27-1Q FY28 (unchanged). On the positive side, management sees CY26 as more constructive, with macro conditions improving and client conversations strengthening, especially in new-technology areas. Large deal momentum remains healthy with ~USD 180-200 mn TCV for the last five consecutive quarters. Overall, macro commentary points to a revival in deal activity across segments. Margins are on a structurally improving trajectory, with a clear path to mid-teen EBIT over the next 6-8 quarters, as guided by management. Following the 3QFY26 underperformance, we cut our FY26/ 27/ 28 EPS estimates by 7%/ 5%/ 5% and lower our forward P/E valuation multiple to 27x (from 29x), leading to a reduction in our target price to INR 4,300 (from INR 4,875).

3QFY26 result highlights

LTTS reported 3QFY26 revenue of USD 326.3 mn, down 2.8% QoQ in CC terms, below our expectation of +2.0% QoQ growth. On YoY organic basis, revenue grew 3.9% in CC vs. peers: Accenture (+4.0%), HCLT (+3.5%), Infosys (+1.3%), and TCS (-2.6%). Sequential segmental performance was muted, with Mobility (+0.4%) and Sustainability (+2.0%) posting modest growth, while Hi-Tech declined 10%. Regionally, North America (+0.6%) and RoW (+10.5%) grew, whereas Europe (-1.5%) and India (-18.3%) contracted. EBIT margin expanded 120 bps QoQ to 14.6%, beating our 14.0% estimate, driven by portfolio calibration and improved revenue quality. Segment margin was 14.8% in Mobility, 28.8% in Sustainability (+70 bps QoQ on large-deal ramp-ups), and 10.6% in Tech (up 160 bps QoQ on higher intelligence margins and exit of low-return support work). Management expects further margin improvement on the back of focus on higher-margin segment, specifically Engineering Intelligence, selective deal intake, operational efficiencies, and Intelli-Swiftt integration (8-9 months). Management noted mobility demand has bottomed out with green shoots visible, while Sustainability growth is driven by IP (AI, data) and plant engineering across Oil & Gas, CPG, and LNG. Deal wins were ~USD 200 mn vs. four-quarter average of USD 225 mn, with USD 200 mn average TCV delivered for five consecutive quarters. Headcount stood at 23,639 (-0.2% QoQ) with attrition at 14.6%.

Investment Summary

LTTS reported results below estimates, impacted by weakness in the Tech vertical and management cutting FY26 revenue guidance to mid-single digits from their earlier aspiration of double-digit growth. The impact was driven by management's deliberate pruning of low-quality, low-margin, and commoditized Tech businesses as part of their portfolio recalibration exercise under the Lakshya plan. Following the 3QFY26 underperformance, we cut our FY26/ 27/ 28 EPS estimates by 7%/ 5%/ 5% and lower our forward P/E valuation multiple to 27x (from 29x), leading to a reduction in our target price to INR 4,300 (from INR 4,875). We maintain HOLD rating and our valuation multiple is now at a 10% discount to its 10-year average.

Table 1: Financial summary

INR mn	3Q26	2Q26	QoQ (%)	3Q25	YoY (%)	FY23	FY24	FY25	FY26e	FY27e	FY28e
Revenues (US$ mn)	326.3	337.1	(3.2)	311.9	4.6	990	1,164	1,259	1,332	1,431	1,587
Revenues	29,235	29,795	(1.9)	26,530	10.2	80,136	96,472	1,06,702	1,17,603	1,28,573	1,42,591
Gross Profit	8,769	8,333	5.2	7,681	14.2	26,155	28,005	30,718	33,662	37,463	41,977
EBIIT	4,271	3,982	7.3	4,219	1.2	14,818	16,473	15,871	16,344	19,330	23,268
EBIT Margin	14.6%	13.4%		15.9%		18.5%	17.1%	14.9%	13.9%	15.0%	16.3%
PAT after minority Interest	2,937	3,287	(10.6)	3,224	(8.9)	11,698	13,036	12,667	12,851	15,425	18,468
EPS	27.7	31.0	(10.7)	30.4	(8.9)	110.8	123.4	119.8	121.2	145.5	174.2

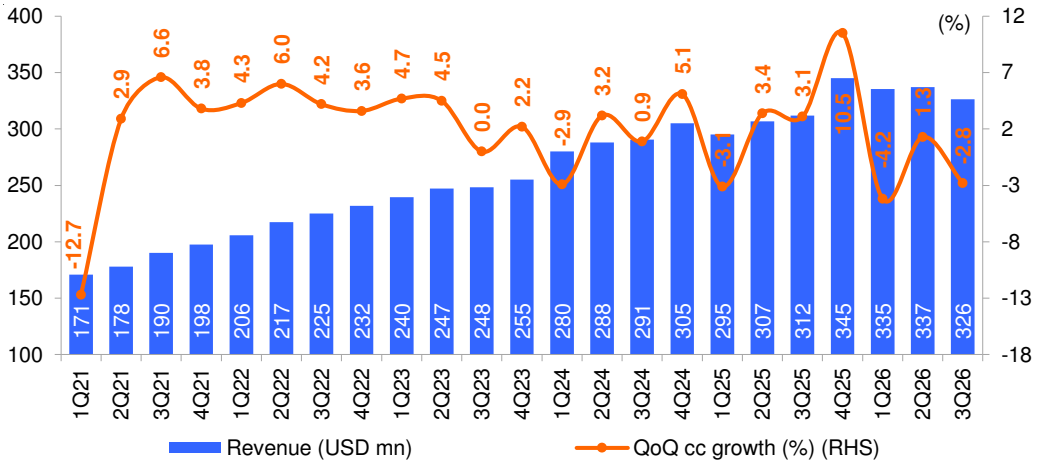
Source: Company; Antique

Table 2: Key operating metrics

	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26
Revenue (USD m)	**288**	**291**	**305**	**295**	**307**	**312**	**345**	**335**	**337**	**326**
QoQ growth (%)	2.9	0.9	5.0	(3.2)	3.9	1.7	10.6	(2.8)	0.5	(3.2)
CC QoQ growth (%)	3.2	0.9	5.1	(3.1)	3.4	3.1	10.5	(4.2)	1.3	(2.8)
YoY growth (%)	16.6	17.1	19.6	5.4	6.5	7.3	13.1	13.6	9.9	4.6
EBIT Margin (%)	17.1	17.2	16.9	15.6	15.1	15.9	13.2	13.3	13.4	14.6
Net Profit Margin (%)	13.2	13.9	13.5	12.8	12.4	12.0	10.4	11.0	11.0	10.1
Geography-wise (%)										
North America	55.3	54.6	53.7	52.9	52.5	51.5	51.9	54.1	54.7	56.8
Europe	15.8	16.6	15.8	18.1	18.4	18.2	16.5	17.1	17.3	17.6
India	21.6	21.5	23.7	22.0	21.9	22.7	24.4	21.0	21.5	18.2
Rest of the World	7.3	7.3	6.8	7.0	7.2	7.6	7.2	7.8	7.8	7.4
Geography-wise QoQ growth (%)										
North America	0.7	(0.4)	3.2	(4.7)	3.1	(0.2)	11.5	1.3	1.7	0.5
Europe	5.6	6.0	(0.1)	10.8	5.6	0.6	0.3	0.7	1.7	(1.5)
India	7.4	0.4	15.7	(10.2)	3.4	5.4	18.9	(16.4)	2.9	(18.1)
Rest of the World	1.5	0.9	(2.2)	(0.4)	6.9	7.3	4.8	5.3	0.5	(8.2)
Vertical break up (%)										
Mobility	33.2	33.2	32.0	35.2	35.5	32.4	29.2	29.6	29.0	30.1
Sustainability	31.3	31.2	30.0	30.0	30.8	31.2	28.7	30.8	31.6	33.2
Tech	35.5	35.6	38.0	34.8	33.7	36.4	42.1	39.6	39.4	36.7
Revenue by Vertical										
Mobility	95.6	96.5	97.6	103.9	108.9	101.1	100.8	99.2	97.8	98.2
Sustainability	90.2	90.7	91.5	88.6	94.5	97.3	99.0	103.3	106.5	108.3
Tech	102.3	103.5	115.9	102.7	103.4	113.5	145.3	132.8	132.8	119.8
Vertical break up QoQ growth (%)										
Mobility	4.5	2.9	(8.2)	6.4	4.8	(7.2)	(0.3)	(1.5)	(1.5)	4.4
Sustainability	2.2	2.6	(8.4)	(3.2)	6.7	3.0	1.8	4.3	3.1	5.6
Tech	2.0	3.2	1.7	(11.4)	0.6	9.8	28.0	(8.6)	0.0	(6.4)
Client composition (%)										
Top 5	14.9	15.7	15.4	15.0	15.0	15.2	15.1	15.1	15.1	14.9
Top 10	26.1	26.6	26.4	26.3	26.5	26.8	25.8	25.1	25.0	24.8
Top 20	41.7	41.7	40.6	41.3	41.5	39.9	39.4	38.2	38.1	37.9
Beyond top 20	58.3	58.3	59.4	58.7	58.5	60.1	60.6	61.8	61.9	62.1
Revenue Mix										
Onsite	40.4	41.3	41.3	41.1	41.7	41.4	44.2	43.9	43.6	45.4
Offshore	59.6	58.7	58.7	58.9	58.3	58.6	55.8	56.1	56.4	54.6
Employee Statistics										
Total Headcount	23,880	23,298	23,812	23,577	23,698	23,465	24,258	23,626	23,678	23,639
Billable	22,366	21,887	22,392	22,120	22,185	21,947	22,579	21,962	22,000	21,972
Sales & Support	1,514	1,411	1,420	1,457	1,513	1,518	1,679	1,664	1,678	1,667
Voluntary Attrition % (LTM)	16.7	15.8	14.8	14.8	14.3	14.4	14.3	14.8	14.8	14.6
Net Addition	488	(582)	514	(235)	121	(233)	793	(632)	52	(39)

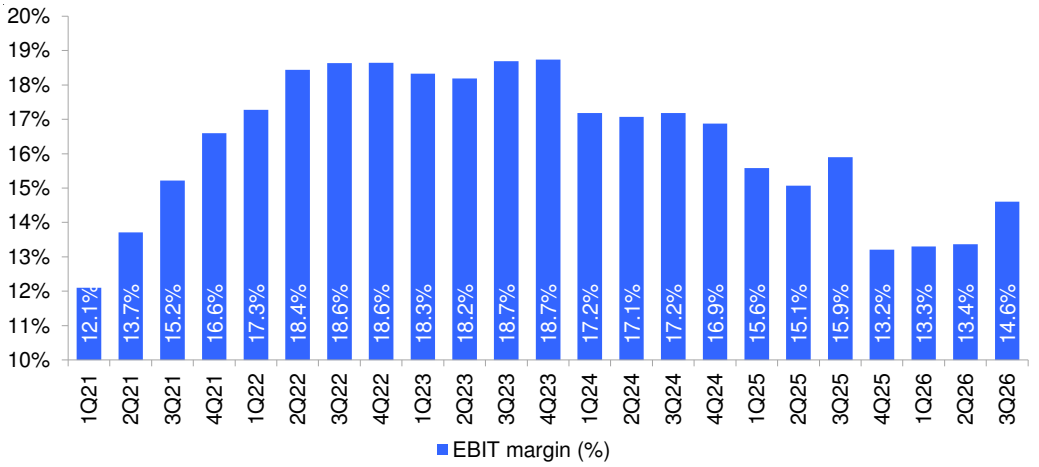
Source: Company; Antique

Exhibit 1: Revenue declined by 2.8% QoQ in CC terms, below our expectation of +2.0%



Source: Company; Antique

Exhibit 2: EBIT margin came in at 14.6%, above our expectation



Source: Company; Antique

Table 3: Change in estimates

	Old			New			Change		
	FY26	FY27	FY28	FY26	FY27	FY28	FY26	FY27	FY28
Revenue	1,20,743	1,34,223	1,49,776	1,17,603	1,28,573	1,42,591	-2.6%	-4.2%	-4.8%
EBIT	16,684	20,303	24,407	16,344	19,330	23,268	-2.0%	-4.8%	-4.7%
PAT	13,745	16,230	19,380	12,851	15,425	18,468	-6.5%	-5.0%	-4.7%
EPS	129.6	153.2	182.9	121.2	145.5	174.2	-6.5%	-5.0%	-4.7%
EBIT Margin	13.8%	15.1%	16.3%	13.9%	15.0%	16.3%	0.1%	-0.1%	0.0%
PAT Margin	11.4%	12.1%	12.9%	10.9%	12.0%	13.0%	-0.5%	-0.1%	0.0%

Source: Company, Antique

Financials

Profit and loss account (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Net Revenue	**96,472**	**1,06,702**	**1,17,603**	**1,28,573**	**1,42,591**
Op. Expenses	77,283	87,778	97,818	1,05,643	1,15,330
EBITDA	**19,189**	**18,924**	**19,785**	**22,930**	**27,261**
Depreciation	2,716	3,053	3,442	3,600	3,993
EBIT	**16,473**	**15,871**	**16,344**	**19,330**	**23,268**
Other income	1,564	1,536	1,557	1,813	2,050
Reported PBT	**18,037**	**17,407**	**17,901**	**21,143**	**25,318**
Tax	4,975	4,771	4,671	5,678	6,811
Reported PAT	**13,062**	**12,636**	**13,229**	**15,465**	**18,508**
Minority Int./Profit (loss) From Asso.	26	(31)	24	40	40
Net Profit	**13,036**	**12,667**	**13,205**	**15,425**	**18,468**
Adjusted PAT	**13,036**	**12,667**	**13,205**	**15,425**	**18,468**
Adjusted EPS (INR)	**123.4**	**119.8**	**121.2**	**145.5**	**174.2**

Balance sheet (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Share Capital	212	212	212	212	212
Reserves & Surplus	53,059	60,588	64,494	69,695	77,940
Networth	**53,271**	**60,800**	**64,706**	**69,907**	**78,152**
Debt	3,996	5,261	5,261	5,261	5,261
Minority Interest	207	175	24	40	40
Net deferred Tax liabilities	745	758	758	758	758
Capital Employed	**58,219**	**66,994**	**70,749**	**75,966**	**84,211**
Gross Fixed Assets	16,126	22,449	22,183	22,054	21,912
Capital work in progress	131	280	280	280	280
Net Fixed Assets	16,257	22,729	22,463	22,334	22,192
Investments	18,970	17,690	17,690	17,690	17,690
Non Current Investments	6,034	8,087	8,087	8,087	8,087
Current Investments	12,936	9,603	9,603	9,603	9,603
Current Assets, Loans & Adv.	**46,988**	**54,128**	**60,543**	**68,145**	**79,425**
Debtors	21,803	25,126	27,693	30,276	33,577
Cash & Bank balance	11,235	13,770	17,618	22,637	30,616
Loans & advances and others	13,950	15,232	15,232	15,232	15,232
Current Liabilities & Provisions	**26,662**	**29,437**	**31,656**	**33,888**	**36,741**
Liabilities	25,126	27,442	29,661	31,893	34,746
Provisions	1,536	1,995	1,995	1,995	1,995
Net Current Assets	**20,326**	**24,691**	**28,887**	**34,257**	**42,684**
Application of Funds	**58,219**	**66,994**	**70,749**	**75,966**	**84,211**

Per share data

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
No. of shares (mn)	106	105	106	106	106
Diluted no. of shares (mn)	106	106	106	106	106
BVPS (INR)	504.4	574.9	610.4	659.5	737.3
CEPS (INR)	149.4	148.4	157.3	179.9	212.3
DPS (INR)	31.0	55.0	70.0	80.0	80.0

Source: Company, Antique

Cash flow statement (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	**18,037**	**17,407**	**17,901**	**21,143**	**25,318**
Depreciation & amortization	2,716	3,053	3,442	3,600	3,993
Interest expense	(307)	(110)	1,557	1,813	2,050
Tax paid	(5,256)	(4,928)	(4,671)	(5,678)	(6,811)
Other operating Cash Flow	(262)	(611)	(702)	(351)	(448)
CF from operating activities	**14,928**	**14,811**	**17,526**	**20,528**	**24,102**
Capital expenditure	(2,528)	(1,116)	(3,175)	(3,471)	(3,850)
Inc/(Dec) in investments	195	(3,978)	-	-	-
CF from investing activities	**(2,333)**	**(5,094)**	**(3,175)**	**(3,471)**	**(3,850)**
Dividend Paid	(4,967)	(5,292)	(8,946)	(10,224)	(10,224)
Others	(1,612)	(1,890)	(1,557)	(1,813)	(2,050)
CF from financing activities	**(6,579)**	**(7,182)**	**(10,503)**	**(12,037)**	**(12,274)**
Net cash flow	**6,016**	**2,535**	**3,848**	**5,020**	**7,979**
Opening balance	5,219	11,235	13,770	17,618	22,637
Closing balance	**11,235**	**13,770**	**17,618**	**22,637**	**30,616**

Growth indicators (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenue	20.4	10.6	10.2	9.3	10.9
EBITDA	12.0	(1.4)	4.6	15.9	18.9
Adj PAT	11.4	(2.8)	4.3	16.8	19.7
Adj EPS	11.4	(3.0)	1.2	20.0	19.7

Valuation (x)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
P/E (x)	34.4	35.4	35.0	29.2	24.4
P/BV (x)	8.4	7.4	7.0	6.4	5.8
EV/EBITDA (x)	22.1	22.5	21.3	18.2	15.0
EV/Sales (x)	4.4	4.0	3.6	3.2	2.9
Dividend Yield (%)	0.7	1.3	1.6	1.9	1.9

Financial ratios

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
RoE (%)	25.4	22.2	21.0	22.9	24.9
RoCE (%)	31.7	27.8	26.0	28.8	31.6
Asset/T.O (x)	3.1	2.5	2.4	2.4	2.3
Net Debt/Equity (x)	(0.4)	(0.3)	(0.3)	(0.4)	(0.4)

Margins (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
EBITDA Margin (%)	19.9	17.7	16.8	17.8	19.1
EBIT Margin (%)	17.1	14.9	13.9	15.0	16.3
PAT Margin (%)	13.3	11.7	11.1	11.8	12.8

Source: Company Antique

CMP	: INR 1,498
Reco	: BUY ↔
Target Price	: INR 1,984 ↓
Target Price Change	: -17%
Target 1HFY28e EV/EBITDA (x):	6
Sales booking change FY26/ 27/ 28	: 8%/0%/-3%

COMPANY UPDATE

Prestige Estates Projects

Robust 9MFY26; momentum to sustain in 4Q

Prestige Estates (PEPL) had a subdued FY25, but has now witnessed a strong 9MFY26. The company reported healthy operational numbers in 3QFY26, posting pre-sales of INR 41.8 bn (39% YoY) *vs. our estimate of INR 35 bn.* Thus, in 9MFY26 it achieved pre-sales of INR 223.2 bn (122% YoY). With a robust launch pipeline of INR 189 bn in 4QFY26, PEPL is expected to surpass its FY26 pre-sales guidance of INR 250-260 bn and touch INR 300 bn in FY26. However, on the back of a higher base (>INR 300 bn) we expect the pre-sales growth momentum to taper off to low double-digit (10%-15%). We revise our FY26E/ 27E/ 28E pre-sales estimates by 8%/ 0%/ -3% to INR 300 bn/ INR 321 bn/ INR 343 bn. We also reduce our embedded EV/EBITDA multiple to 6x from 8x to capture the expected pre-sales growth moderation in FY27E-28E. We maintain BUY rating with a revised target price of INR 1,984 (previously INR 2,391), valuing its residential segment at an embedded EV/ EBITDA multiple of 6x on 1HFY28E and assigning 31% premium to NAV. We value the hospitality projects at 25x EV/EBITDA and the rental assets at 7.0% cap rate. *Pecking order of residential real estate: SOBHA, ABREL, ARVSMART, PEPL, GPL, ARVSMART, OBER, BRGD, DLF, LODHA, KPDL, and SRIN. Key monitorable: Launches and net debt.*

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Market data

Sensex	:	83,383
Sector	:	Real Estate
Market Cap (INR bn)	:	646.2
Market Cap (USD bn)	:	7.156
O/S Shares (mn)	:	430.7
52-wk HI/LO (INR)	:	1814/1048
Avg. Daily Vol ('000)	:	1,046
Bloomberg	:	PEPL IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
EPS (INR)	17.1	34.1	32.5
P/E (x)	116	58	61
P/BV (x)	5.3	4.8	4.5
EV/EBITDA (x)	27.1	18.3	17.9
EV/Sales (x)	6.9	4.9	4.7

Source: Company, Antique

Returns (%)

	1m	3m	6m	12m
Absolute	(9)	(10)	(13)	4
Relative	(8)	(10)	(14)	(4)

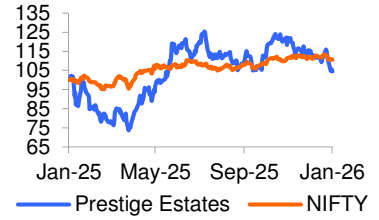
Source: Bloomberg

Shareholding pattern

Promoters	:	61%
Public	:	39%
Others	:	0%

Source: Bloomberg

Price performance *vs* Nifty



Source: Bloomberg Indexed to 100

A strong 9M on the back of strong launches

PEPL registered strong 9M performance on the back of strong launches as well as high absorption. In 9MFY26, the company had nine residential launches with aggregate GDV of INR 196.2 bn. In 3Q too, the successful launch of Prestige Garden Trails in Mira Road, contributed to the pre-sales number. On the back of strong launches, 9MFY26 pre-sales was INR 223.3 bn (122% YoY). Collections too were strong with 3Q being the third consecutive quarter crossing quarterly collection of INR 40 bn. Registered the highest-ever 9M collections of INR 133 bn (49% YoY) in 9MFY26. During the quarter, PEPL delivered 4.7 mn sq. ft.; for 9MFY26 it was 12.7 mn sq. ft. In addition to strong residential performance, the company also saw traction in rental assets. The commercial office portfolio had healthy occupancy of 95% and exit rental of INR 8.3 bn. The retail portfolio posted healthy occupancy level of 99%, with consumption of INR 7 bn (14% YoY) in the quarter and exit rental of INR 2.8 bn.

Strong pipeline for 4Q; on track for a stellar FY26

The company has already launched a project in January-Prestige Raintree Park in Whitefield, Bengaluru with GDV of INR 50 bn. We expect the project would receive strong response as most of the units are in a sweet spot <INR 25 mn/unit (Raintree Park ticket size INR 9.2 mn-INR 40 mn/unit). We expect two more projects to be launched in Jan'26-Marigold (GDV of INR 8 bn) and The Prestige City (GDV of INR 16 bn). In addition to these launches, PEPL has three more launches likely in 4Q-Tellapur Hyderabad (GDV INR 85 bn), Southern Star (GDV of INR14 bn) and Velachery Chennai (GDV of INR 14 bn). If most of the planned launches materialize then PEPL would surpass pre-sales of INR 300 bn in FY26. Both Bengaluru and Hyderabad real estate markets continue to see sustained momentum.

Geographic diversification on play

While PEPL's 1H sales distribution reflected its expanding national presence, with the NCR region contributing significantly-45% share (mainly from Indirapuram project - INR 83 bn), followed by Bengaluru at 27%, MMR 16%. In 3QFY26, MMR contributed the most with 36% of total pre-sales followed by Bengaluru 25%, NCR 16%, Hyderabad 16%. This 9MFY26 performance highlights PEPL's increasing footprint across key real estate markets in India.

Investment Summary

PEPL's aggressive diversification strategy has put the company in a sweet spot to play the ongoing housing upcycle. In addition to its strong presence in three key markets-Bengaluru, Hyderabad, and MMR, PEPL is looking to establish a foothold in new markets-NCR and Chennai. We maintain BUY rating on the stock with a revised TP of INR 1,984.

Valuation using Embedded EBITDA

Although FY25 was a disappointment for PEPL with pre-sales at INR 170 bn (vs. guidance of INR 250 bn), the company is expected to cross INR 300 bn in FY26. We assume by FY27E and FY28E, PEPL will cross INR 321 bn and INR 343 bn with embedded margin of 25%.

Table 1: Embedded EBITDA multiple

		1HFY28
Sales booking		INR 332 bn
Embedded EBITDA @25%		INR 83 bn
(a)	EV of residential at 6x to EV/implied EBITDA	INR 498 bn
(b)	Operating office and retail	INR 107 bn
(c)	Ongoing and upcoming rental assets	INR 187 bn
(d)	Hospitality	INR 104 bn
(e)	Net debt	INR (68) bn
(f)	Equity value (a + b+ c + d + e)	INR 854 bn
(g)	# of shares	0.43 bn
(h)	Target Price (f/g)	INR 1,984

Source: Company, Antique

Table 2: NAV methodology

Sum of the parts (SoTP)	INR mn	INR/share
Ongoing residential	1,27,028	295
Upcoming residential	1,51,070	351
Operating office	76,076	177
Ongoing	2,02,840	471
Operating retail	34,335	80
Ongoing retail	5,858	14
Hospitality	1,10,160	256
Land Bank	19,965	46
Net effective debt	(73,202)	(170)
Net asset value	**6,54,130**	**1,519**

	INR/share	Premium to NAV
NAV	1,519	0%
CMP	1,498	-1%
TP	**1,984**	**31%**

Source: Company, Antique

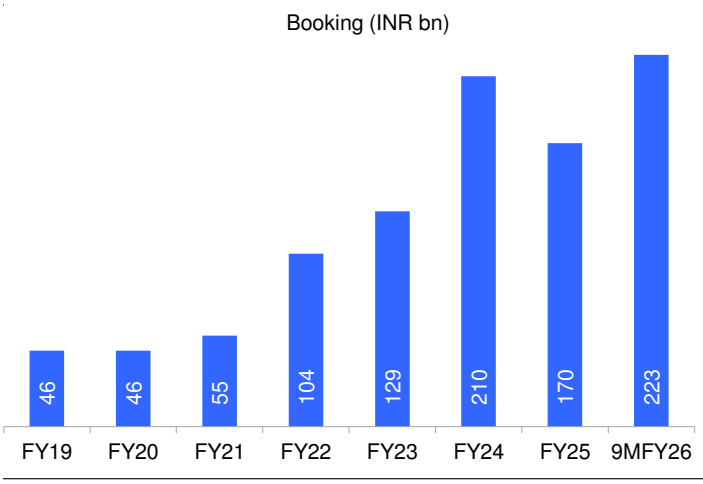
Table 3: Changes in estimates

	New			Old			Change (%)		
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Sales booking (INR bn)	300	321	343	279	321	353	8%	0%	-3%
Embedded EV/EBITDA (margin)			25.0%			25.0%			0 bps
Embedded EV/EBITDA multiple			6.0			8.0			-25%

Source: Company, Antique

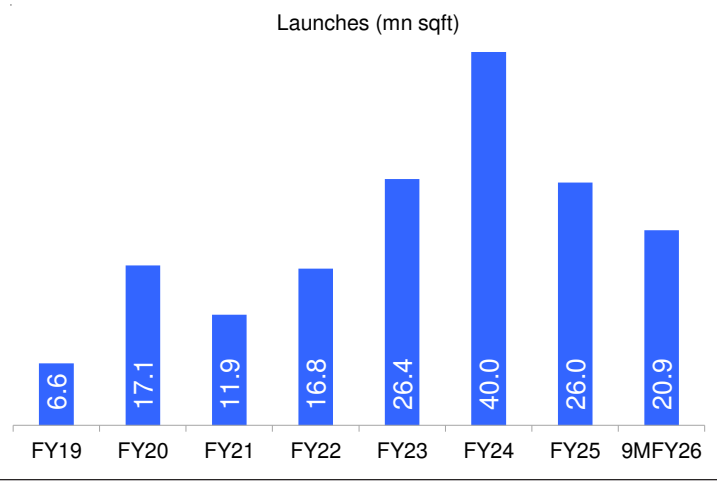
Story in Charts

Exhibit 1: FY25 a blip; exponential pre-sales growth in FY26



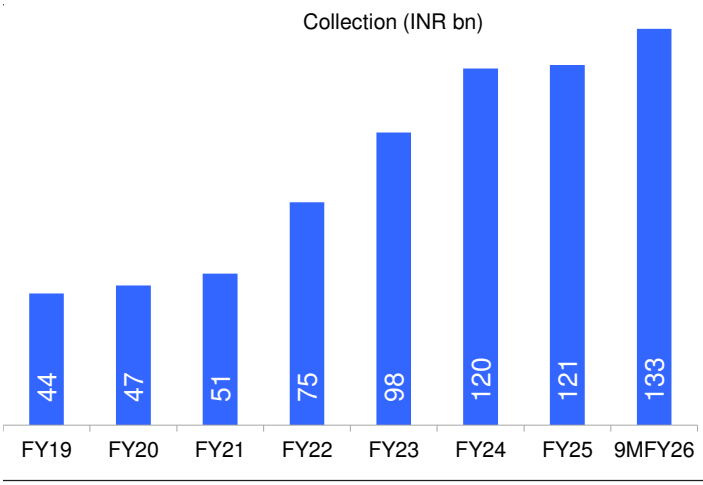
Source: Company, Antique

Exhibit 2: Large diverse launches in 9MFY26



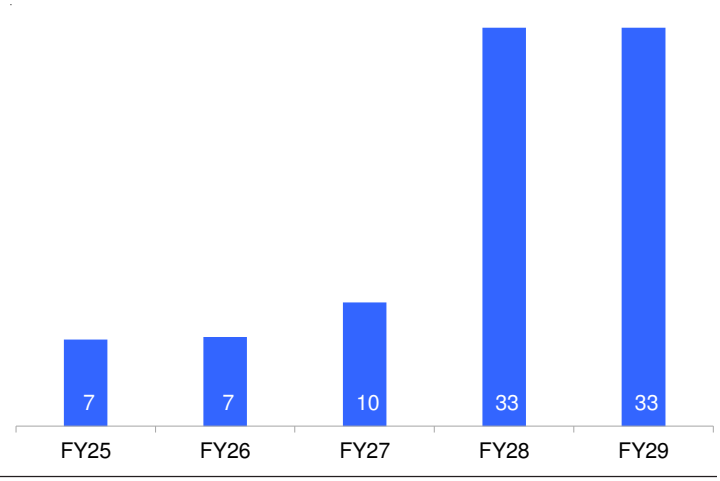
Source: Company, Antique

Exhibit 3: Collection uptick in 1HFY26



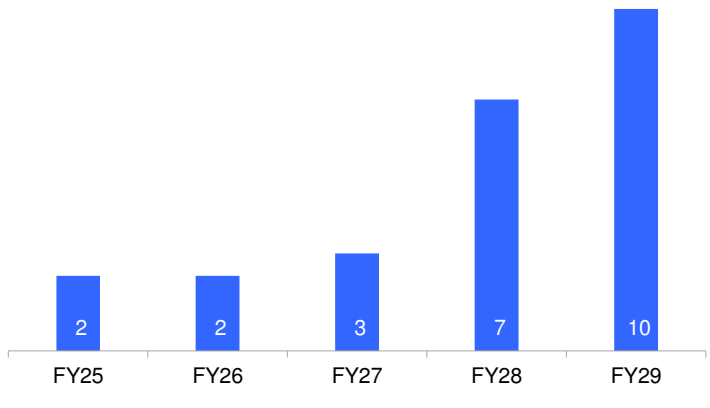
Source: Company, Antique Note:

Exhibit 4: Commercial portfolio - projected annuity income steps up (INR bn)



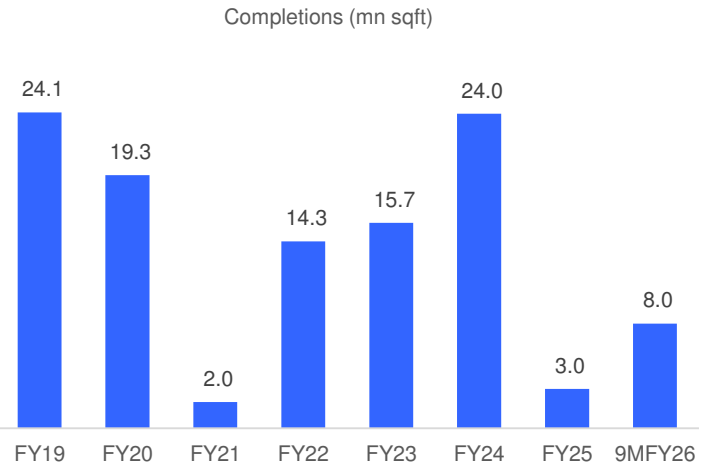
Source: Company, Antique

Exhibit 5: Retail portfolio - projected annuity income steps up (INR bn)



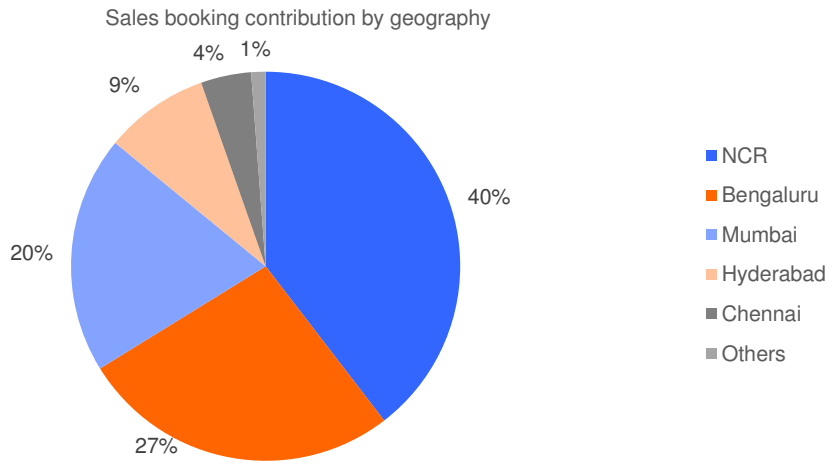
Source: Company, Antique

Exhibit 6: Completions



Source: Company, Antique

Exhibit 7: 1HFY26 pre-sales distribution



Source: Company, Antique

Financials

Profit and loss account (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Net Revenue	**78,771**	**73,494**	**93,860**	**1,32,213**	**1,36,769**
Op. Expenses	53,787	47,906	70,046	96,863	1,00,713
EBITDA	**24,984**	**25,588**	**23,814**	**35,351**	**36,056**
Depreciation	7,165	8,123	7,899	8,294	8,709
EBIT	**17,819**	**17,465**	**15,915**	**27,056**	**27,347**
Other income	15,482	3,861	5,290	5,555	5,833
Interest Exp.	12,191	13,338	11,326	12,958	14,494
Reported PBT	**21,110**	**7,988**	**9,879**	**19,653**	**18,686**
Tax	4,936	1,389	2,470	4,913	4,672
Reported PAT	**16,174**	**6,599**	**7,409**	**14,739**	**14,015**
Minority Int./Profit (loss) From Asso.	2,433	1,924	30	30	30
Net Profit	**13,741**	**4,675**	**7,379**	**14,709**	**13,985**
Adjusted PAT	**13,741**	**4,675**	**7,379**	**14,709**	**13,985**
Adjusted EPS (INR)	**31.9**	**10.9**	**17.1**	**34.1**	**32.5**

Balance sheet (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Share Capital	4,009	4,307	4,307	4,307	4,307
Reserves & Surplus	1,08,879	1,49,923	1,57,302	1,72,012	1,85,996
Networth	**1,12,888**	**1,54,230**	**1,61,609**	**1,76,319**	**1,90,303**
Debt	1,14,623	1,06,002	1,19,668	1,39,501	1,59,335
Minority Interest	5,122	4,815	4,845	4,875	4,905
Other Long-term Liabilities and Provisions	18,759	24,954	24,954	24,954	24,954
Net deferred Tax liabilities	5,447	5,583	5,583	5,583	5,583
Capital Employed	**2,56,839**	**2,95,584**	**3,16,659**	**3,51,232**	**3,85,080**
Net block	27,547	26,481	26,481	26,481	26,481
Capital work in progress	21,372	14,243	34,077	55,863	75,697
Net Fixed Assets	48,919	40,724	60,558	82,344	1,02,178
Goodwill	534	534	534	534	534
Investments	71,397.00	90,927.00	90,927.00	90,927.00	90,927.00
Non Current Investments	62,985	82,357	82,357	82,357	82,357
Current Investments	8,412	8,570	5	5	5
Current Assets, Loans & Adv.	**3,56,459**	**4,55,767**	**3,66,121**	**4,55,615**	**4,78,740**
Inventory	2,41,562	3,18,831	1,50,176	2,11,542	2,18,831
Debtors	12,340	13,582	14,997	21,126	21,853
Cash & Bank balance	25,582	23,930	72,966	80,717	95,789
Loans & advances and others	22,892	21,887	37,544	52,885	54,708
Other Current Assets	54,083	77,537	77,537	77,537	77,537
Current Liabilities & Provisions	**2,28,348**	**3,00,404**	**2,00,952**	**2,77,659**	**2,86,770**
Liabilities	2,20,961	2,87,172	1,87,720	2,64,427	2,73,538
Provisions	7,387	13,232	13,232	13,232	13,232
Net Current Assets	**1,28,111**	**1,55,363**	**1,65,168**	**1,77,956**	**1,91,970**
Application of Funds	**2,56,839**	**2,95,584**	**3,16,658**	**3,51,232**	**3,85,080**

Per share data

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
No. of shares (mn)	401	431	431	431	431
Diluted no. of shares (mn)	401	431	431	431	431
BVPS (INR)	282	358	375	409	442
CEPS (INR)	52	30	35	53	53

Source: Company, Antique

Cash flow statement (INR mn)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
PBT	**21,223**	**7,558**	**9,879**	**19,653**	**18,686**
Depreciation & amortization	7,165	8,123	7,899	8,294	8,709
(Inc)/Dec in working capital	(8,383)	(20,841)	52,131	(6,128)	(728)
Tax paid	(4,164)	(3,957)	(2,470)	(4,913)	(4,672)
Other operating Cash Flow	(2,868)	10,424			
CF from operating activities	**12,973**	**1,307**	**67,439**	**16,906**	**21,996**
Capital expenditure	(28,790)	(15,829)	(19,834)	(21,786)	(19,834)
Inc/(Dec) in investments	8,528	(701)	-	-	-
Add: Int./Div. Income Received	2,937	2,784	5,290	5,555	5,833
Others	(8,157)	262			
CF from investing activities	**(25,482)**	**(13,484)**	**(14,543)**	**(16,232)**	**(14,001)**
Inc/(Dec) in share capital	-	50,000	-	-	-
Inc/(Dec) in debt	29,509	(4,333)	13,666	19,834	19,834
Dividend Paid	(601)	(775)	-	-	-
Others	(9,216)	(35,300)	(12,757)	(12,757)	(12,757)
CF from financing activities	**19,692**	**9,592**	**909**	**7,077**	**7,077**
Net cash flow	**7,183**	**(2,585)**	**53,805**	**7,751**	**15,072**
Opening balance	14,564	21,747	19,162	72,966	80,717
Closing balance	**21,747**	**19,162**	**72,966**	**80,717**	**95,789**
Bank balance+ others	3,835	4,768	-	-	-
Cash & bank balance	**25,582**	**23,930**	**72,966**	**80,717**	**95,789**

Growth indicators (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
Revenue	-5%	-7%	28%	41%	3%
EBITDA	20%	2%	-7%	48%	2%
Adj PAT	46%	-66%	58%	99%	-5%
Adj EPS	46%	-66%	58%	99%	-5%

Valuation (x)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
P/E (x)	62	183	116	58	61
P/BV (x)	7.0	5.5	5.3	4.8	4.5
EV/EBITDA (x)	25.8	25.2	27.1	18.3	17.9
EV/Sales (x)	8.2	8.8	6.9	4.9	4.7

Financial ratios

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
RoE (%)	12.2	3.0	4.6	8.3	7.3
RoCE (%)	13.0	7.2	6.7	9.3	8.6
Asset/T.O (x)	0.4	0.4	0.4	0.5	0.5
Net Debt/Equity (x)	0.8	0.5	0.3	0.3	0.3
EBIT/Interest (x)	1.5	1.3	1.4	2.1	1.9

Margins (%)

Year ended 31 Mar	FY24	FY25	FY26e	FY27e	FY28e
EBITDA Margin (%)	32%	35%	25%	27%	26%
EBIT Margin (%)	23%	24%	17%	20%	20%
PAT Margin (%)	17%	6%	8%	11%	10%

Source: Company Antique

CMP	: INR 1,229
Reco	: BUY ↔
Target Price	: INR 1,800 ↑
Target Price Change	: 3%
Target FY28e P/E (x)	: 30
EPS Change FY26/ 27/ 28	: No Change

COMPANY UPDATE

Zen Technologies

Spurt in order inflows aiding revenue visibility

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Zen Technologies (Zen) is the market leader in land-based simulated training systems for the armed forces and is steadily building its credentials as a naval simulation solutions provider. It has also been an early mover in Anti-Drone Warfare Systems (ADS). While the demand outlook for simulators and ADS remains strong, 1HFY26 order finalization was delayed as the company prioritized emergency procurements to meet immediate operational requirements. However, the order win momentum has improved in recent weeks. The company has now announced an order win of INR 4.0 bn in the anti-drone segment, taking the total orders secured in 2HFY26 to INR 9.6 bn (estimated order book of INR 14.8 bn-up 120% over 1HFY26). It is also well-positioned for an additional order in the simulations segment. On this basis, we believe the company could end FY26E with a significantly stronger order book, materially enhancing its FY27E earnings visibility. After a projected decline in FY26E, we expect profits to grow 97.6% and 29.8% in FY27E and FY28E, respectively. We retain our earnings forecast and maintain BUY rating with a revised target price of INR 1,800 based on 30x FY28 earnings (earlier INR 1,744 based on 32x 1HFY28).

Orders inflow has gained traction in recent weeks

Zen's order inflows slowed down sharply in FY25 and 1HFY26. As a result, the company closed FY25 with an order book of INR 6.9 bn, down 50% over FY24. While it did lose some ADS orders, the primary reason for the sharp fall in order inflow was due to procedural delays from the ministerial side. Nevertheless, order inflows have now gained traction.

We estimate current order book of INR 14.8 bn, up 120% over 1HFY26

After a lull of new orders in 1HFY26, Zen has announced five orders totaling INR 9.6 bn. Consequently, the order book has expanded to INR 14.8 bn, a 120% rise over the closing order book in 1HFY26. The orders won include three ADS orders at INR 7.3 bn and one Tank Crew Gunnery Simulation system order. These orders are to be executed in 12 months.

Zen is well-positioned in simulation orders worth INR 5.0-6.0 bn

Zen is strongly positioned in simulator orders worth INR 5.0-6.0 bn. These simulator orders have been long overdue, likely because the government may have prioritized emergency procurement over its regular annual purchase plan. With the government completing the emergency procurement of defence systems, we expect orders that may have been side-tracked, to be finalized. These orders are at the terminal stage of finalization, with the company having completed several rounds of contract negotiations.

Building capabilities in naval simulation

Zen has a very strong position in simulated training systems for the Indian Army. It is now building capabilities in simulation systems for the Indian Navy through the acquisition of ARIPL, market leader in domestic marine simulation systems. Recently, Zen acquired 76% stake in Anawave Systems, which is into advanced tactical training and simulation systems for naval forces.

Investment Summary

We remain positive on Zen's demand outlook for simulators and ADS, as order finalization have gained momentum in 2HFY26. The stock sentiment has been subdued in YTDFY26 due to weak revenue visibility from the current order book. However, Zen's order book at the end of FY26E and thereby the earnings outlook for FY27E could appear significantly stronger if the pending orders are finalized. We retain BUY rating with a revised price target of INR 1,800, valuing the stock at 30x FY28E earnings.

Market data

Sensex	:	83,382
Sector	:	Defence & Aerosp.
Market Cap (INR bn)	:	110.9
Market Cap (USD bn)	:	1.228
O/S Shares (mn)	:	90.3
52-wk HI/LO (INR)	:	2290/945
Avg. Daily Vol ('000)	:	371
Bloomberg	:	ZEN IN

Source: Bloomberg

Valuation

	FY26e	FY27e	FY28e
EPS (INR)	23.7	46.8	60.8
P/E (x)	51.9	26.2	20.2
P/BV (x)	5.7	4.7	3.8
EV/EBITDA (x)	38.5	18.7	13.8
Dividend Yield (%)	0.2	0.2	0.2

Source: Bloomberg

Returns (%)

	1m	3m	6m	12m
Absolute	(10)	(9)	(33)	(45)
Relative	(9)	(9)	(34)	(49)

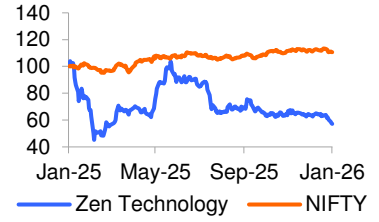
Source: Bloomberg

Shareholding pattern

Promoters	:	49%
Public	:	51%
Others	:	0%

Source: Bloomberg

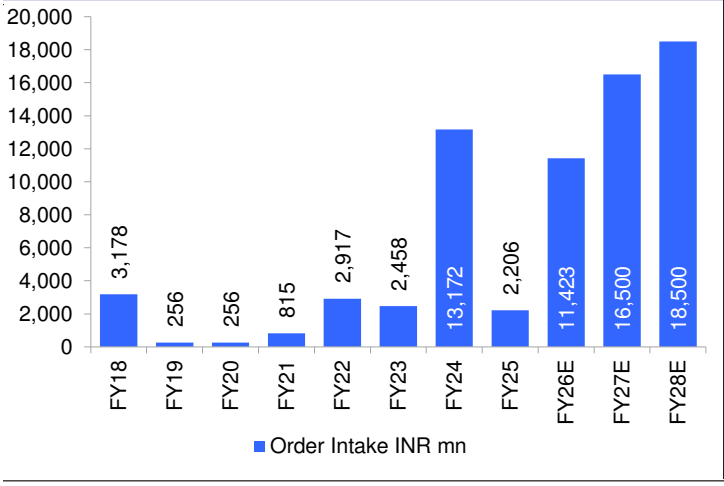
Price performance *vs* Nifty



Source: Bloomberg Indexed to 100

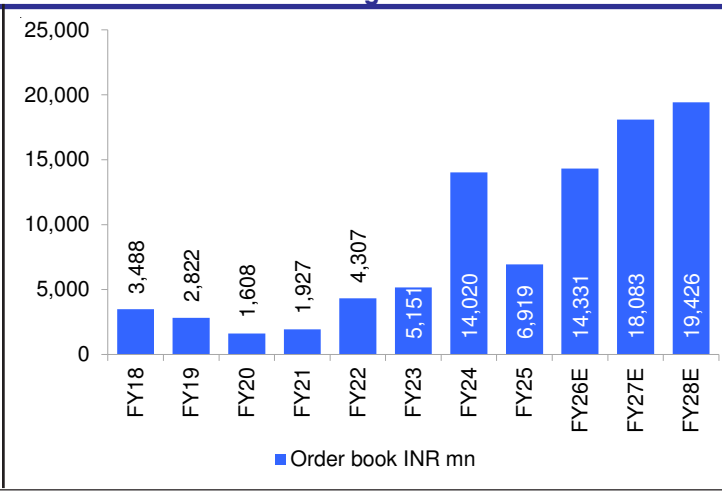
Story in Charts

Exhibit 1: Order intake rebounding…



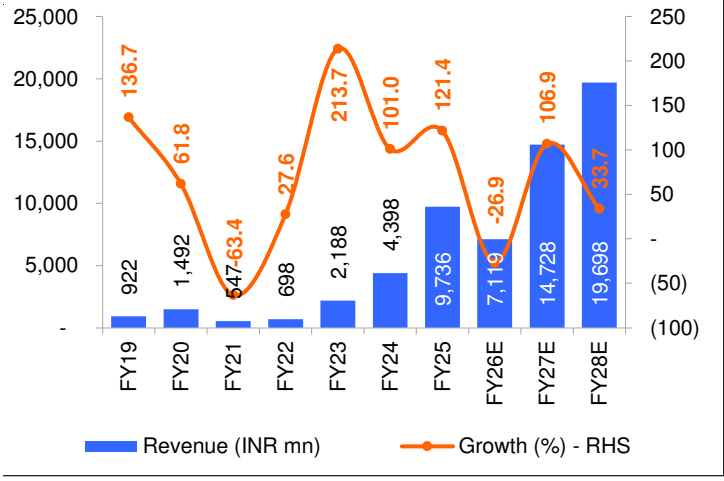
Source: Company, Antique

Exhibit 2: …to end FY26 with a good order book



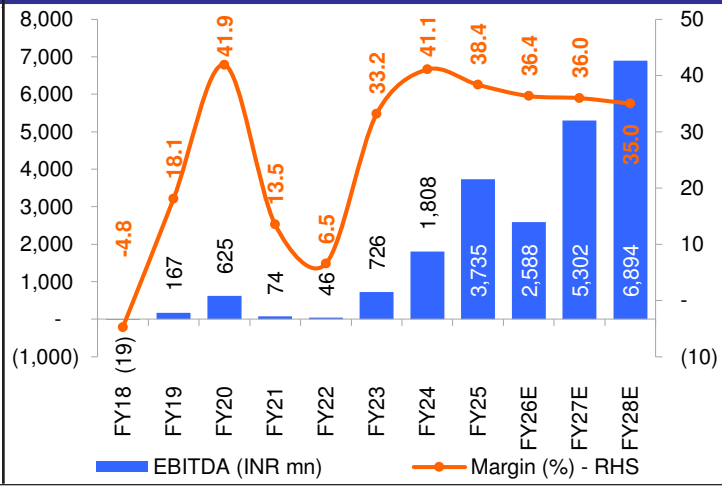
Source: Company, Antique

Exhibit 3: Revenue growth to rise after a setback in FY26



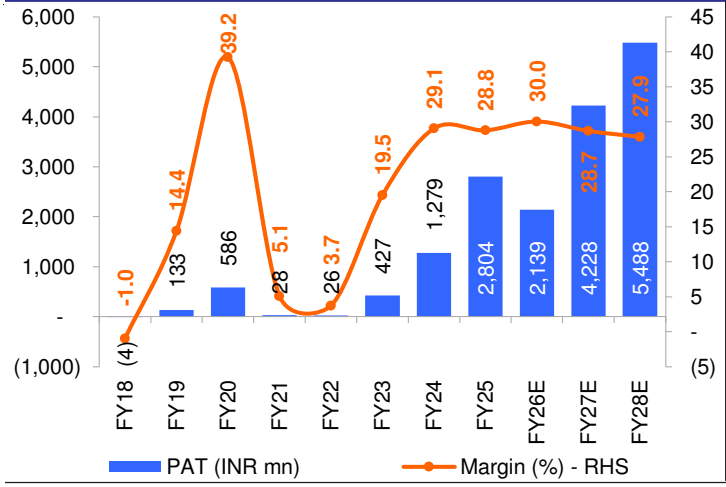
Source: Company, Antique

Exhibit 4: Solid EBITDA margin led by own design



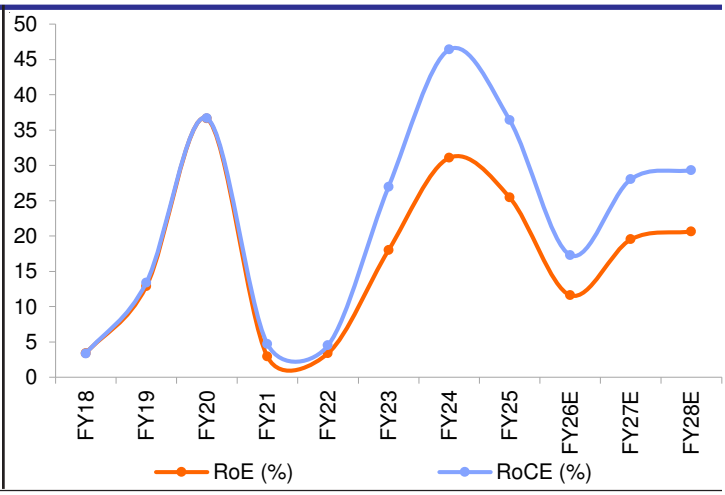
Source: Company, Antique

Exhibit 5: PAT CAGR of 24% in FY25–28E



Source: Company, Antique

Exhibit 6: High return ratios led by rich margin profile and high fixed asset turnover



Source: Company, Antique

Good strike rate in simulation and ADS orders

Zen has the most comprehensive offering in land-based defence simulation training systems. It has offerings in Live ranges, Live Simulation (for Anti-Tank, Tank Gunnery, 81 MM Mortar, Air Defence Combat Simulator, and Driving Simulator), and Combat Training Center. The company has a very hike strike rate in simulators (for several orders it is the single vendor). In ADS also, the company has a good strike rate though competition is higher in this segment from Solar Industries, BEL, and Paras Defence, despite which we note that higher-value orders have been won by Zen.

Table 1: New order wins

Date	Order	Value INR mn
Jan-26	Supply of Anti-Drone Systems / Counter Unmanned Aerial Systems (C-UAS) and Training Simulators and Equipment.	4,040
Dec-25	Comprehensive Training Node (CTN) comprising of a suite of various training simulators	1,200
Nov-25	Simulator Systems	1,080
Nov-25	Anti-Drone Systems	2,890
Oct-25	Anti-Drone Systems with Hard Kill	370
Mar-25	Integrated Air Defence Combat Simulator (IADCS) for the L70 Gun	1,520
Oct-24	AMC for Simulators	460
Feb-24	Tactical Training Simulators	930
Nov-23	Export order for Simulator	420
Oct-23	Tank training system	1,000
Sep-23	Counter Drone System (including service and AMC)	2,277
Sep-23	NA	1,233
Aug-23	Simulator Systems	650
Mar-23	Simulator Systems	1,270
Jun-23	ADS system under IDDM	2,020
Jul-23	Overseas customer	3,400
Jul-23	ADS system under IDDM	1,600
Apr-22	Simulators - AMC	550

Source: Company

Key differentiator—Focus on defence simulation with indigenous design and development

Defence products can either be assembled, Made in India, or Designed and Developed in India. In Assembly, most of the components would be imported and locally assembled while in case of "Made in India", the indigenous content could be higher, though the design/ technology may still be imported. In contrast, products "Designed and Developed in India" have the highest level of indigenous capability, including owning "Intellectual Property, design, and license". Systems designed and developed allow operational freedom for the armed forces to carry out upgrades/ modifications, without seeking foreign approval. Zen's focus has been on delivering solutions that have been "indigenously designed and developed".

Since its inception, Zen has adhered to the principle of designing and developing its own products, ensuring full ownership of the intellectual property. Unlike most companies that conduct research funded by DRDO against guaranteed orders, Zen chooses its products, finances its research, and shoulders the complete risk of failure. This way, the IP is 100% held by Zen. With over three decades of innovation and operations, the company has amassed a vast software library, leveraging data to use artificial intelligence in reducing training time. The company has over 80 patents in various jurisdictions. Additionally, Zen has filed 42 applications for design patents in India, out of which 35 design patents have been granted in India. Given this backdrop, MoD's first preference on IDDM products has come as a major boost to the company and has helped it win new tenders. To its credit, the MoD has made the IDDM procurement process very rigorous due to the various parameters being tested and severe possible penalties.

Table 2: Competitive positioning in simulators

Parameter	Zen Tech	Tecknotrove	CAE
Industries served in Simulation	Army, Air Defence, paramilitary and Marine/Navy	Aviation, Automobile, Infra, Defence, and Nuclear	Civil Aviation
Products	Virtual Reality	Operator training	Civilian flight simulator
	Live Simulation	Interactive learning	
	Live Ranges	Virtual Reality	
	Combat Training Centers	Live Simulation	
	Operator training		
Revenue INR mn (FY24)	4,398	618	2502
EBITDA Margin	41%	26%	77%

Source: Company

Consolidated Financials

Profit and loss account (INR mn)

Year-ended March 31	FY24	FY25	FY26e	FY27e	FY28e
Net Revenue	**4,398**	**9,736**	**7,119**	**14,728**	**19,698**
Op. Expenses	2,591	6,001	4,531	9,426	12,804
EBITDA	**1,808**	**3,735**	**2,588**	**5,302**	**6,894**
Gross profit	2,681	6,285	5,023	9,132	12,016
Depreciation	97	154	247	277	307
Other income	149	584	907	1,036	1,198
EBIT	**1,860**	**4,165**	**3,248**	**6,060**	**7,786**
Interest Exp.	23	104	124	112	112
Extra Ordinary Items -gain/(loss)	24	-	-	-	-
Reported PBT	**1,837**	**4,061**	**3,123**	**5,948**	**7,674**
Tax	567	1,067	781	1,487	1,919
Reported PAT	**1,271**	**2,994**	**2,342**	**4,461**	**5,756**
Minority Int./Profit (loss) From Asso.	(16)	(190)	(203)	(234)	(268)
Net Profit	**1,255**	**2,804**	**2,139**	**4,228**	**5,488**
Adjusted PAT	**1,237**	**2,804**	**2,139**	**4,228**	**5,488**
Adjusted EPS (INR)	**13.7**	**31.1**	**23.7**	**46.8**	**60.8**

Balance sheet (INR mn)

Year-ended March 31	FY24	FY25	FY26e	FY27e	FY28e
Share capital	84	90	90	90	90
Reserves & Surplus	4,579	17,269	19,430	23,711	29,286
Networth	**4,663**	**17,359**	**19,520**	**23,801**	**29,376**
Debt	60	777	-	-	-
Other Non Current Liabilities	0.5	2	2	1	1
Net deferred Tax liabilities	62	(44)	(44)	(44)	(44)
Capital Employed	**4,786**	**18,093**	**19,478**	**23,758**	**29,333**
Gross Fixed Assets	1,321	1,933	2,332	2,782	3,282
Accumulated Depreciation	455	623	871	1,148	1,455
Net Fixed Assets	866	1,310	1,462	1,634	1,828
Capital work in progress	101	36	36	36	36
Intangible Assets	76	809	809	809	809
Investments	-	40	40	40	40
Other Non Current Assets	365	2,594	2,594	2,594	2,594
Current Assets, Loans & Adv.	**6,096**	**15,657**	**15,759**	**20,625**	**26,819**
Inventory	1,691	1,193	878	1,816	2,429
Debtors	1,845	4,104	2,926	6,053	8,095
Bank Balance	1,215	8,916	8,916	8,916	8,916
Cash	367	742	2,338	3,138	6,678
Loans & advances and others	979	702	702	702	702
Current Liabilities & Provisions	2,718	2,352	1,222	1,979	2,792
Liabilities	2,652	2,042	912	1,669	2,482
Provisions	66	310	310	310	310
Net Current Assets	**3,378**	**13,305**	**14,537**	**18,645**	**24,027**
Application of Funds	**4,786**	**18,093**	**19,478**	**23,758**	**29,333**

Per share data

Year-ended March 31	FY24	FY25	FY26e	FY27e	FY28e
No. of shares (mn)	90.3	90.3	90.3	90.3	90.3
Diluted no. of shares (mn)	90.3	90.3	90.3	90.3	90.3
BVPS (INR)	51.6	192.3	216.2	263.6	325.4
CEPS (INR)	15.1	34.9	28.7	52.5	67.1
DPS (INR)	1.1	2.0	2.0	2.0	2.0

Source: Company, Antique

Cash flow statement (INR mn)

Year-ended March 31	FY24	FY25	FY26e	FY27e	FY28e
PBT	**1,844**	**4,061**	**3,123**	**5,948**	**7,674**
Depreciation & amortization	97	154	247	277	307
Interest expense	23	104	124	112	112
(Inc)/Dec in working capital	(1,405)	(2,093)	363	(3,308)	(1,842)
Tax paid	(321)	(1,166)	(781)	(1,487)	(1,919)
Less: Interest/Div. Income Recd.	149	(584)	(907)	(1,036)	(1,198)
Other operating Cash Flow	(253)	(1,939)	-	-	-
CF from operating activities	**134**	**(1,462)**	**2,170**	**508**	**3,134**
Capital expenditure	(284)	(361)	(400)	(450)	(500)
Inc/(Dec) in investments	236	(2,269)	0	-	-
Add: Interest/Div. Income Recd.	(805)	(5,601)	907	1,036	1,198
CF from investing activities	**(852)**	**(8,231)**	**507**	**586**	**698**
Inc/(Dec) in share capital	-	9,802	-	-	-
Inc/(Dec) in debt	(7)	717	(777)	-	-
Dividend Paid	(17)	(90)	(181)	(181)	(181)
Interest Paid	(12)	(104)	(124)	(112)	(112)
Others	4	(257)	-	-	-
CF from financing activities	**(33)**	**10,068**	**(1,082)**	**(293)**	**(293)**
Net cash flow	**(751)**	**375**	**1,595**	**801**	**3,539**
Opening balance	1,118	367	742	2,338	3,138
Closing balance	**367**	**742**	**2,338**	**3,138**	**6,678**

Growth indicators (%)

Year-ended March 31	FY24	FY25	FY26e	FY27e	FY28e
Revenue	101.0	121.4	-26.9	106.9	33.7
EBITDA	148.9	106.6	-30.7	104.9	30.0
Adj PAT	124.0	126.6	-23.7	97.6	29.8
Adj EPS	124.0	126.6	-23.7	97.6	29.8

Valuation (x)

Year-ended March 31	FY24	FY25	FY26e	FY27e	FY28e
P/E (x)	89.7	39.6	51.9	26.2	20.2
P/BV (x)	23.8	6.4	5.7	4.7	3.8
EV/EBITDA (x)	60.5	27.3	38.5	18.7	13.8
EV/Sales (x)	24.9	10.5	14.0	6.7	4.8
Dividend Yield (%)	0.1	0.2	0.2	0.2	0.2

Financial ratios

Year-ended March 31	FY24	FY25	FY26e	FY27e	FY28e
RoE (%)	31.1	25.5	11.6	19.5	20.6
RoCE (%)	46.4	36.4	17.3	28.0	29.3
Asset/T.O (x)	1.3	1.0	0.5	0.8	0.9
Net Debt/Equity (x)	0.0	0.0	-	-	-
EBIT/Interest (x)	88.1	45.8	33.4	63.4	80.2

Margins (%)

Year-ended March 31	FY24	FY25	FY26e	FY27e	FY28e
EBITDA Margin (%)	41.1	38.4	36.4	36.0	35.0
EBIT Margin	42.3	42.8	45.6	41.1	39.5
PAT Margin	28.1	28.8	30.0	28.7	27.9

Source: Company Antique

FMCG Brand-O-Meter
ANTIQUE'S FMCG MONITOR!

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SECTOR UPDATE

FMCG

Offtake improvement to sustain

From our latest channel interactions during Dec-25, we understand that offtake improvement has sustained led by GST revision. Key highlights: a) Winter season aided Emami's winter portfolio, b) Reduction of soap prices led to some recovery in the category, c) Bottoming out of Nestle's nutrition offtake was observed, d) Overall personal care category witnessed modest improvement, while food category maintained healthy traction benefiting Nestle and ITC. Notably, GCPL witnessed healthy demand in the suburbs. Holistically, across companies, we understand that the offtake momentum has sustained during the month. However, for some parts of the country demand was affected due to the delayed winter. Our visit to DMart stores indicate to the company's focus on personal care categories through brands like Grace (soaps and body wash), hair oils (Ayurmix and Coco Nourish), Fragrance (DGZ EDP). We prefer GCPL, Marico, and Bajaj Consumer Care in consumer staples.

Key highlights of our channel interactions:

HUL: The company's detergent portfolio witnessed healthy offtake during December. It has recently introduced the INR 99 monthly pack in Surf Excel Easy Wash in general trade. Personal care performance was mixed with slower offtake in shampoo and face wash. The nutrition portfolio continues to improve sequentially. Foods performed well led by tea, coffee, and soups. We understand through interactions with distributors that HUL is rationalizing manpower by redefining channels of distribution.

Nestle: Distributors indicated that they achieved their monthly targets on the back of healthy offtake across categories. Beverages, chocolates, and dairy witnessed better levels of offtake. Nutrition continues to witness sequential improvement in offtake in Dec'25. Additionally, inventory levels improved, reducing by 4-6 days MoM. Strong billing was seen even during the beginning of January.

ITC: In December, cigarettes maintained their healthy performance aided by the winter season. FMCG business witnessed acceleration led by the food portfolio.

Dabur: During December, distributors broadly achieved their monthly targets for most categories. However, traction for the winter portfolio was slow, especially for chyawanprash. The beverage portfolio continued to remain weak. Most of the categories in personal and health care (honey) performed well. The rural markets performed better than the urban markets, specifically in the hair oil segment. We understand the company has been focusing on its health care portfolio by providing several schemes and offers (schemes added in Dec'25 vs. Nov'25).

Godrej Consumer Products: Household Insecticides (HI) witnessed healthy offtake led by favorable mosquito infestation backed by Liquid Vaporizers (LV). Ezee liquid detergent has picked up well with onset of the winter season. Despite the intense winter, soaps witnessed traction led by GST cuts. However, as per distributors, both the suburbs and rural markets witnessed healthy offtake.

Colgate India: Performance was mixed since MT and e-commerce performed well, while general trade (GT) was under pressure. We understand the company is still facing issues due to price hikes taken earlier as well as competition. However, post GST cuts and price reductions, improvement is witnessed in secondary offtake. Additionally, the company has started providing better incentives to drive growth in the GT channel and benefits of the same expected to follow. Special offers have been provided on MT packs.

Disclaimer
The views and data trend mentioned in the report is purely based on channel checks across FMCG dealers/ distributors and are directional trends.

Marico: In Dec'25, Saffola oats and soya witnessed healthy offtake volumes. Inventory levels have marginally reduced MoM.

Emami: The winter season aided offtake in most categories for the company's winter portfolio during Dec'25. BoroPlus range recorded strong offtake. Some traction was also witnessed in Kesh King. General Trade (GT) remained buoyant, driven by healthy offtake.

Jyothy Labs: The distributors that we spoke to indicated JYL achieved its primary monthly targets, while secondary sales were missed. Margo missed monthly targets owing to intense competition. Distributor inventory levels remained high since the last two months owing to muted secondary offtake. Additionally, the prices of Maxo's refill (pack of 2) has increased to INR 150 (previously INR 125) and Maxo refill (single pack) has increased to INR 90 (previously INR 75). Response to the newly launched More light bar has been encouraging.

DMart: Through our store visits we understand that the company has been focusing more on its private label brands. Private brands were seen across staples and personal care brands. In our view, DMart is focusing more on the personal care category with brands like Grace (soaps and body wash), hair oils (Ayurmix and Coco Nourish), Fragrance (DGZ EDP).

Exhibit 1: Snapshots from our recent visit to DMart stores, particularly focused on the company's private labels

Hair oils

Body wash and shower gels

Disclaimer
The views and data trend mentioned in the report is purely based on channel checks across FMCG dealers/ distributors and are directional trends.

Soaps and facewash

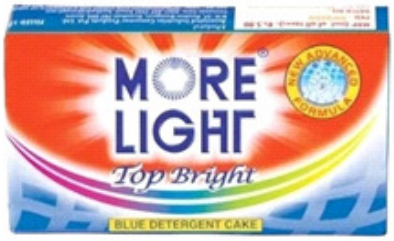
Fragrance

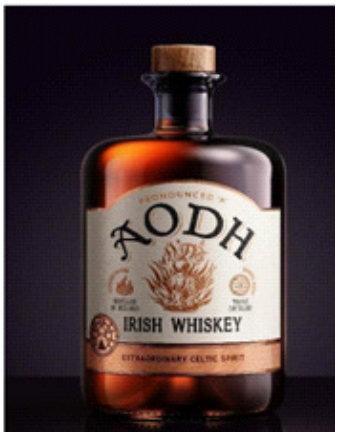
Dish wash products

Chocolate and beverages

Source: Company, Antique

Exhibit 2: Recent launches/ offers

Company – description	Item/offer Image	Pricing and qt.
HUL		Surf excel pack launched at INR 99 in general trade.
CLGT		Colgate visible white introduced in MT.
JYL		Introduced More Light detergent bar.

ABDL: ABD Maestro Pvt. Ltd. (ABDM), subsidiary of Allied Blenders & Distillers (ABD)		Launched AODH IRISH Whiskey Haryana, and shortly in Maharashtra at MRP of INR 3,950 (750 ml). The whiskey will subsequently expand to Goa, West Bengal, Karnataka, Delhi, and key markets of North India.
RDCK		After a successful interna tional debut, the brand is now being introduced in Uttar Pradesh and soon expanding to Karnataka and Delhi. It will be available at a price of INR 4,350 for a 750 ml bottle in Uttar Pradesh, followed by its rollout in Karnataka at INR 4,635 and Delhi at INR 3,750.

Source: Company, Antique

Table 1: Valuation summary

Companies	Year	TP (INR)	CMP	Up-side (%)	Reco	Sales (INR mn)	Sales growth (YoY %)	EBITDA (INR mn)	EBITDA growth (YoY %)	EBITDA margin (%)	Adj. PAT (INR mn)	Adj. PAT growth (YoY %)	Adj. PAT margin (%)	Adj. EPS (INR)	EV/ EBITDA (x)	PE (x)	RoE %	RoCE %
HUVR	FY23	2,603	2,353	11	Hold	5,91,440		1,36,320		23.0	97,200		16.4	41.4	36	57	20	24
	FY24					6,04,690	2	1,41,900	4	23.5	1,01,050	4	16.7	43.0	34	55	20	25
	FY25					6,14,690	2	1,42,890	1	23.2	1,02,210	1	16.6	43.5	34	54	20	25
	FY26e					6,27,682	2	1,43,150	0	22.8	1,03,115	1	16.4	43.9	34	54	21	25
	FY27e					6,60,068	5	1,53,339	7	23.2	1,06,912	4	16.2	45.5	32	52	23	28
	FY28e					7,09,206	7	1,68,849	10	23.8	1,17,804	10	16.6	50.1	29	47	26	32
DABUR	FY23	562	513	10	Hold	1,15,299		21,641		18.8	17,072		14.8	9.7	42	53	20	23
	FY24					1,24,040	8	24,002	11	19.4	18,427	8	14.9	10.4	38	49	20	22
	FY25					1,25,631	1	23,163	(3)	18.4	17,676	(4)	14.1	10.0	39	51	17	20
	FY26e					1,32,174	5	24,614	6	18.6	18,396	4	13.9	10.4	36	49	17	20
	FY27e					1,45,588	10	28,335	15	19.5	21,887	19	15.0	12.4	31	41	18	22
	FY28e					1,60,398	10	31,760	12	19.8	24,900	14	15.5	14.1	27	36	19	23
ITC	FY23	502	335	50	Buy	6,60,433		2,39,445		36.3	1,86,804		28.3	15.0	17	22	29	37
	FY24					6,26,281	(5)	2,34,940	(2)	37.5	1,99,102	7	31.8	15.9	17	21	28	36
	FY25					6,93,235	11	2,40,248	2	34.7	2,00,919	1	29.0	16.1	17	21	29	36
	FY26e					7,37,572	6	2,43,012	1	32.9	2,01,166	0	27.3	16.1	16	21	29	37
	FY27e					7,82,569	6	2,60,382	7	33.3	2,16,954	8	27.7	17.3	15	19	29	37
	FY28e					8,43,656	8	2,84,196	9	33.7	2,37,301	9	28.1	19.0	14	18	30	39
NEST	FY23	1,262	1,308	(4)	Hold	1,68,970		38,145		22.6	24,925		14.8	12.9	64	101	110	152
	FY24					2,43,939	44	59,087	55	24.2	40,174	61	16.5	20.8	41	63	139	188
	FY25					2,02,016	(17)	48,503	(18)	24.0	31,003	(23)	15.3	16.1	51	81	83	105
	FY26e					2,21,318	10	51,373	6	23.2	32,048	3	14.5	16.6	48	79	69	83
	FY27e					2,51,322	14	62,783	22	25.0	39,938	25	15.9	20.7	39	63	69	85
	FY28e					2,85,757	14	75,278	20	26.3	48,551	22	17.0	25.2	32	52	68	85
CLGT	FY23	2,231	2,097	6	Hold	52,262		15,470		29.6	10,584		20.3	38.9	40	54	61	84
	FY24					56,804	9	19,008	23	33.5	13,432	27	23.6	49.4	32	42	75	103
	FY25					60,402	6	19,581	3	32.4	13,804	3	22.9	50.7	31	41	78	110
	FY26e					60,082	(1)	18,709	(4)	31.1	13,314	(4)	22.2	49.0	33	43	77	108
	FY27e					64,745	8	20,283	8	31.3	14,514	9	22.4	53.4	30	39	77	107
	FY28e					69,785	8	21,994	8	31.5	15,825	9	22.7	58.2	27	36	73	100
GCPL	FY23	1,390	1,227	13	Buy	1,33,160		25,392		19.1	17,460		13.1	17.1	50	72	14	19
	FY24					1,40,961	6	30,703	21	21.8	20,160	15	14.3	19.7	42	62	15	21
	FY25					1,43,643	2	30,031	(2)	20.9	19,155	(5)	13.3	18.7	43	65	16	19
	FY26e					1,57,842	10	32,542	8	20.6	22,350	17	14.2	21.9	39	56	18	20
	FY27e					1,77,865	13	40,604	25	22.8	28,562	28	16.1	27.9	31	44	21	23
	FY28e					2,00,669	13	46,244	14	23.0	33,230	16	16.6	32.5	27	38	22	25
MRCO	FY23	900	750	20	Buy	97,640		18,100		18.5	12,808		13.1	9.9	54	76	36	43
	FY24					96,530	(1)	20,260	12	21.0	14,810	16	15.3	11.5	48	65	39	44
	FY25					1,08,310	12	21,390	6	19.7	15,870	7	14.7	12.3	45	61	41	44
	FY26e					1,33,730	23	24,140	13	18.1	18,357	16	13.7	14.2	40	53	42	47
	FY27e					1,48,831	11	30,251	25	20.3	23,419	28	15.7	18.1	31	41	44	50
	FY28e					1,67,110	12	35,859	19	21.5	28,211	20	16.9	21.9	26	34	42	48
APNT	FY23	3,145	2,818	12	Buy	3,44,886		62,598		18.2	41,553		12.0	43.3	43	65	28	33
	FY24					3,54,947	3	75,850	21	21.4	54,602	31	15.4	56.9	35	50	31	36
	FY25					3,39,056	(4)	60,062	(21)	17.7	40,303	(26)	11.9	42.0	45	67	21	25
	FY26e					3,55,745	5	65,958	10	18.5	43,562	8	12.2	45.4	40	62	21	25
	FY27e					3,97,556	12	77,672	18	19.5	51,352	18	12.9	53.5	34	53	23	27
	FY28e					4,42,549	11	88,443	14	20.0	58,360	14	13.2	60.8	30	46	23	27

Source: Company, Antique

Table 1: Valuation summary (Continued.....)

Companies	Year	TP (INR)	CMP	Up-side (%)	Reco	Sales (INR mn)	Sales growth (YoY %)	EBITDA (INR mn)	EBITDA growth (YoY %)	EBITDA margin (%)	Adj. PAT (INR mn)	Adj. PAT growth (YoY %)	Adj. PAT margin (%)	Adj. EPS (INR)	EV/ EBITDA (x)	PE (x)	RoE %	RoCE %
KNPL	FY23	244	237	3	Hold	75,427		8,180		10.8	4,734		6.3	5.9	24	40	11	15
	FY24					78,014	3	10,278	26	13.2	6,874	45	8.8	8.5	18	28	13	18
	FY25					78,230	0	9,423	(8)	12.0	6,705	(2)	8.6	8.3	19	29	11	15
	FY26e					79,012	1	9,688	3	12.3	6,484	(3)	8.2	8.0	19	30	10	14
	FY27e					85,603	8	10,705	10	12.5	7,401	14	8.6	9.2	16	26	11	15
	FY28e					93,869	10	12,001	12	12.8	8,408	14	9.0	10.4	14	23	12	16
UNITDSPR	FY23	1,770	1,339	32	Buy	1,03,737		14,187		13.7	8,808		8.5	12.1	70	110	16	23
	FY24					1,06,920	3	17,080	20	16.0	12,540	42	11.7	17.3	58	78	19	27
	FY25					1,15,730	8	20,580	20	17.8	15,230	21	13.2	21.0	47	64	21	29
	FY26e					1,25,806	9	24,349	18	19.4	18,353	21	14.6	25.3	40	53	22	31
	FY27e					1,39,214	11	27,072	11	19.4	20,448	11	14.7	28.1	35	48	21	29
	FY28e					1,54,382	11	30,949	14	20.0	23,397	14	15.2	32.2	31	42	21	29
RDCK	FY23	3,743	2,891	29	Buy	31,428		3,584		11.4	2,044		6.5	15.3	121	189	10	11
	FY24					41,185	31	5,061	41	12.3	2,558	25	6.2	19.1	86	151	11	13
	FY25					48,512	18	6,737	33	13.9	3,452	35	7.1	25.8	64	112	14	16
	FY26e					61,833	27	9,746	45	15.8	5,878	70	9.5	44.0	44	66	20	24
	FY27e					70,596	14	12,344	27	17.5	7,928	35	11.2	59.4	35	49	22	27
	FY28e					81,065	15	15,376	25	19.0	10,251	29	12.6	76.7	27	38	23	29
HMN	FY23	635	502	26	Buy	34,057		8,628		25.3	7,801		22.9	17.7	27	28	36	31
	FY24					35,781	5	9,495	10	26.5	8,148	4	22.8	18.7	25	27	34	33
	FY25					38,092	6	10,251	8	26.9	8,897	9	23.4	20.4	23	25	35	35
	FY26e					39,278	3	10,095	(2)	25.7	8,697	(2)	22.1	19.9	23	25	31	31
	FY27e					42,942	9	11,623	15	27.1	10,098	16	23.5	23.1	19	22	31	33
	FY28e					46,956	9	12,834	10	27.3	11,223	11	23.9	25.7	17	20	30	32
JYL	FY23	312	257	21	Hold	24,860		3,159		12.7	2,327		9.4	6.3	35	41	16	21
	FY24					27,569	11	4,798	52	17.4	3,695	59	13.4	10.1	23	26	22	30
	FY25					28,470	3	4,996	4	17.5	3,747	1	13.2	10.2	22	25	19	27
	FY26e					28,871	1	4,674	(6)	16.2	3,503	(7)	12.1	9.5	22	27	16	22
	FY27e					30,796	7	5,164	10	16.8	3,948	13	12.8	10.8	20	24	16	22
	FY28e					32,753	6	5,507	7	16.8	4,238	7	12.9	11.5	18	22	16	21
BAJAJCON	FY23	362	283	28	Buy	9,499		1,414		14.9	1,398		14.7	9.8	24	29	17	21
	FY24					9,841	4	1,553	10	15.8	1,554	11	15.8	10.9	22	26	19	23
	FY25					9,648	(2)	1,274	(18)	13.2	1,253	(19)	13.0	9.1	28	31	16	19
	FY26e					10,842	12	1,912	50	17.6	1,723	38	15.9	12.6	15	23	16	20
	FY27e					12,034	11	2,238	17	18.6	2,012	17	16.7	14.7	12	19	14	17
	FY28e					13,375	11	2,554	14	19.1	2,296	14	17.2	16.8	10	17	14	17
PATANJAL	FY23	648	544	19	Buy	3,15,247		12,806		4.1	8,864		2.8	24.5	17	22	11	13
	FY24					3,17,418	1	12,990	1	4.1	7,651	(14)	2.4	21.1	16	26	8	11
	FY25					3,41,570	8	19,466	50	5.7	13,013	70	3.8	35.9	11	15	12	16
	FY26e					3,77,061	10	18,790	(3)	5.0	12,253	(6)	3.2	11.3	12	48	11	14
	FY27e					3,99,194	6	27,094	44	6.8	18,677	52	4.7	17.2	8	32	15	19
	FY28e					4,28,174	7	30,687	13	7.2	21,564	15	5.0	19.8	7	27	16	20
HONASA	FY23	306	287	7	Hold	14,927		228		1.5	37		0.2	0.3			1	3
	FY24					19,199	29	1,371	502	7.1	1,118	2,896	5.8	3.4	61	83	13	18
	FY25					20,669	8	685	(50)	3.3	727	(35)	3.5	2.2	125	128	6	9
	FY26e					22,875	11	1,678	145	7.3	1,388	91	6.1	4.3	50	67	11	16
	FY27e					27,574	21	2,137	27	7.8	1,500	8	5.4	4.6	39	62	11	16
	FY28e					32,815	19	2,762	29	8.4	1,817	21	5.5	5.6	29	51	12	17

Source: Company, Antique

Table 1: Valuation summary (Continued.....)

Companies	Year	TP (INR)	CMP	Up-side (%)	Reco	Sales (INR mn)	Sales growth (YoY %)	EBITDA (INR mn)	EBITDA growth (YoY %)	EBITDA margin (%)	Adj. PAT (INR mn)	Adj. PAT growth (YoY %)	Adj. PAT margin (%)	Adj. EPS (INR)	EV/ EBITDA (x)	PE (x)	RoE %	RoCE %
ABDL	FY23	730	475	54	Buy	31,466		1,850		5.9	16		0.1	0.1	84		0	12
	FY24					33,279	6	2,421	31	7.3	68	326	0.2	0.3	65		2	16
	FY25					35,199	6	4,306	78	12.2	1,838	2,598	5.2	6.6	36	72	19	21
	FY26e					39,256	12	5,157	20	13.1	2,576	40	6.6	9.2	31	52	16	18
	FY27e					45,140	15	6,512	26	14.4	3,539	37	7.8	12.7	24	38	20	20
	FY28e					51,732	15	8,127	25	15.7	4,629	31	8.9	16.6	20	29	24	23
VBL	FY24	600	501	20	Buy	1,31,731		27,881		21.2	14,974		11.4	4.6	60	105	33	26
	FY25					1,60,426	22	36,095	29	22.5	20,559	37	12.8	6.3	47	76	34	28
	FY26					2,00,077	25	47,111	31	23.5	25,946	26	13.0	7.7	35	63	22	24
	FY27					2,16,574	8	50,642	7	23.4	29,242	13	13.5	8.6	32	56	16	20
	FY28e					2,85,932	32	71,435	41	25.0	44,211	51	15.5	13.1	22	37	19	24
DOMS	FY24	3,309	2,533	31	Buy	15,371		2,727		17.7	1,597		10.4	26	56	95	28	31
	FY25					19,126	24	3,484	28	18.2	2,135	34	11.2	35	44	71	24	26
	FY26					22,939	20	4,017	15	17.5	2,421	13	10.6	40	38	63	22	24
	FY27					27,781	21	4,886	22	17.6	2,906	20	10.5	48	31	52	22	25
	FY28e					34,185	23	6,018	23	17.6	3,593	24	10.5	59	25	42	22	26

Source: Company, Antique

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SECTOR UPDATE

Indian IT Services

ISG Index Call 4QCY25: Managed Services soft; As-a-Service remains resilient

ISG reported a record USD 10.9 bn in annual contract value (ACV) in 4QCY25 for Managed Services, flat YoY owing to weakness in ITO (down 6% YoY) , while growth was seen in both BPO and ER&D. In 2025, growth was driven by As-a-Service market, up 29% YoY, while Managed Services grew merely by 1.3% YoY, slowest since 2020. Managed Services growth in 2025 was constrained by the scarcity of mega deals, volatility in smaller discretionary awards, and ongoing pricing pressure. Growth was led by the Americas, driven by strong ITO activity, a rebound in BFSI, and sustained momentum in Infrastructure. EMEA also showed renewed traction with a strong 4Q, indicating stability and a more positive entry into 2026. The combined market ACV was USD 34.3 bn, up 16% YoY (Managed Services ACV was down 0.3% YoY while As-a-Service ACV was up 26% YoY). For the whole of 2026, ISG has forecasted for Managed Services to grow at 2.1% and cloud-based XaaS to grow at 20%, supported by continuing cloud migration, AI adoption, cybersecurity investment, and platform-led consumption. From a macro perspective, enterprises are navigating policy uncertainty around tariffs, continued weakness in Europe, and a leadership transition at the Federal Reserve. At the same time, AI is reshaping demand faster than Managed Services economics are adapting. AI will continue to accelerate growth in cloud, infrastructure, and platforms, while putting pressure on traditional labor-based pricing and margin structures in Managed Services.

Industry vertical trends: The BFSI vertical, which makes up roughly 30% of Managed Services ACV, was down 20% YoY and up 1% YTD, despite growth in Americas. Energy remained one of the best verticals for the quarter, up 72% YoY and 34% YTD, supported by growth in both Americas and EMEA regions. Manufacturing remained weak in 4Q, down 35% YoY and 4% YTD with declining growth in Americas and EMEA. Consumer Packaged Goods & Retail ACV fell 12%, reflecting persistent discretionary weakness owing to trade uncertainties. Business services declined 19%, Telecom & Media declined 12%, while Travel, Transport & Leisure grew 7% during the quarter.

Within Managed Services: IT outsourcing (ITO) ACV declined 6% YoY to USD 7.8 bn, the second consecutive quarter of decline after two years of solid gain. Americas accounted for most of the ITO growth in CY25, up 15%, while EMEA was down 5% YoY. ADM grew marginally 0.3% YoY while Infrastructure saw broad-based growth of 2% YoY. Americas led most of the growth during the year, while EMEA declined.

Within ER&D: Engineering ACV grew 28% YoY to USD 0.9 bn, the fifth consecutive quarter of YoY ACV gains. TCS, HCLT, Infosys, DXC, and Wipro—as a group, these providers captured 51% of the total engineering space and 44% of the engineering deals during CY25. Engineering deals are scaling, up 21% YoY. EMEA led engineering this year while Americas remained stable.

Within BPO: BPO ACV grew 13% YoY to USD 2.2 bn, best quarter since 1QFY24 and first USD 2 bn ACV quarter of 2025. Growth was largely led by Healthcare and Energy, up 7% YoY and 18% YoY respectively. While Financial Services declined 25% YoY and CPG 33% YoY. Overall, while 4Q showed signs of stability, for 2025 BPO declined. The BPO market continued to be in reset mode, with growth increasingly uneven and concentrated on specific functions and industries. Though ISG anticipates the market to improve, particularly in the industry specific BPOs.

Regional trends: Americas pulled back in 4Q with ACVs down 6% YoY, owing to slowdown in smaller discretionary work, however, it remains strong for the full year. BFSI contributed strongly in 2025, despite slowdown in 4Q owing to furloughs. EMEA saw a sharp surge, up 19% YoY though down in CY25 owing to decline in small deal activity. Asia Pacific ACV was down 27% YoY led by broad-based growth.

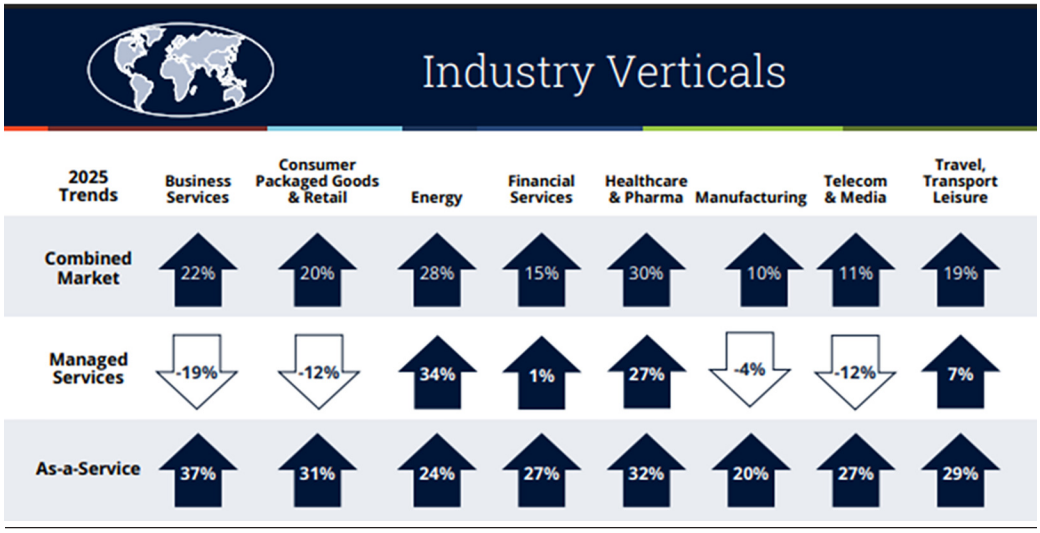
Growth in cloud spending continues: IaaS generated USD 18.5 bn in ACV, up 32% YoY, expanded cloud innovation continued fueling the market war for public, private, hybrid & sovereign cloud stacks. Growth was broad-based across regions, led by the Americas (+45% YoY), EMEA (+43% YoY), and Asia Pacific (+8% YoY). The top three hyperscalers—AWS, Microsoft Azure, and Google Cloud—account for two-thirds of the overall IaaS ACV spending; they outperformed the broader index by 1.25x during the year. Hyperscaler growth continues to accelerate, with surging cloud RPO backlogs fueled by AI demand

Software as a Service (SaaS) grows at a healthy pace, though growth rate decelerated from double-digit growth throughout 2025: SaaS generated USD 4.9 bn in ACV, up 6% YoY. Top 10 SaaS providers outperformed the broader index by 1.18x. SaaS faced business model-related competitive pressures from AI even as bookings, backlog, revenues, and margins all grew. Growth was broad-based across regions, Americas (+15% YoY), EMEA (+19% YoY), and Asia Pacific (+19% YoY). Growth was across IT service management, collaboration, and analytics. AI-led software, including data, analytics, and platforms, ACV grew 24% YoY, Applications grew 11%, Collaboration tools 55%, Back-office apps 6%, and IT had 44% ACV growth fueled by M&A activity.

ISG 2026 outlook for Managed Services and IaaS: Macro uncertainty around policy and regulation continues to weigh on decision-making, prompting enterprises to defer long-term commitments. At the same time, AI is reshaping buying behavior faster than providers and pricing models can adjust. Clients are increasingly prioritizing high-impact, outcome-driven initiatives over broad-based cost reduction. Looking ahead, IT budgets are expected to accelerate in 2026 to fund AI adoption, cloud migration, cybersecurity, and the mainstreaming of GenAI-enabled features. Growth, however, is becoming more uneven across regions, with momentum largely concentrated in the Americas. For the whole of 2026, ISG is forecasting 2.1% growth for Managed Services, with strong growth in the Americas offset by weakness in Europe and Asia Pacific. While it forecasts for cloud-based XaaS to grow 20%, supported by continuing cloud migration, AI adoption, cybersecurity investment, and platform-led consumption

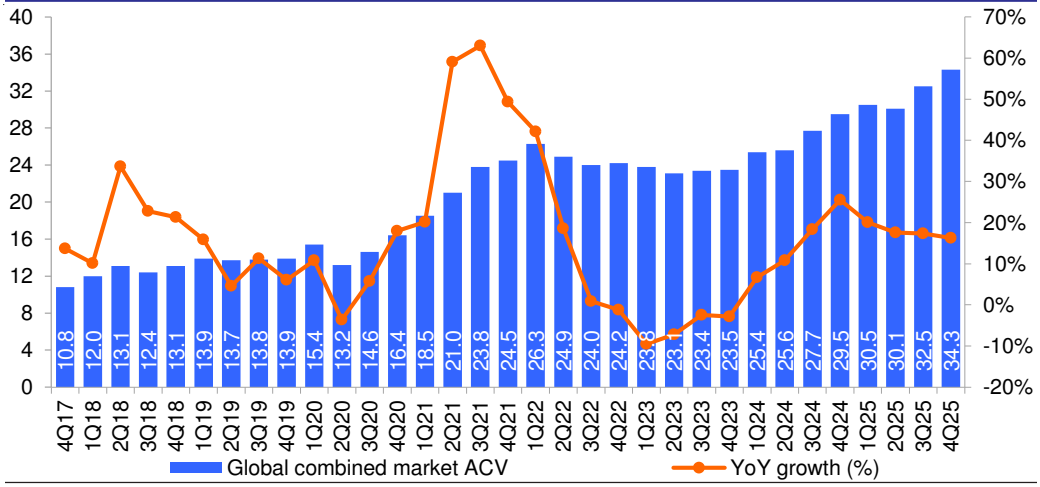
Read across for Indian IT: ISG's 4QCY25 suggest IT and business services market remained subdued, though overall in 2025 Americas grew modestly driven by strong ITO activity, a rebound in BFSI, and sustained momentum in Infrastructure—a positive read for vendors with diversified US exposure. EMEA also showed renewed traction with a strong 4Q, indicating stability and a more positive entry into 2026. The continued strength in IaaS and SaaS, underpinned by hyperscaler investments and Gen AI-driven modernization, aligns well with Indian IT's strategic shift toward cloud, AI, and platform-led services. In contrast, Managed Services remains subdued, with pricing pressure intensifying as AI-led efficiency gains heighten the focus on productivity, automation, and margin discipline to sustain profitability. Within our coverage universe HCLT, Mphasis, and Coforge remain our top picks.

Exhibit 1: Managed Services industry verticals' YoY trend



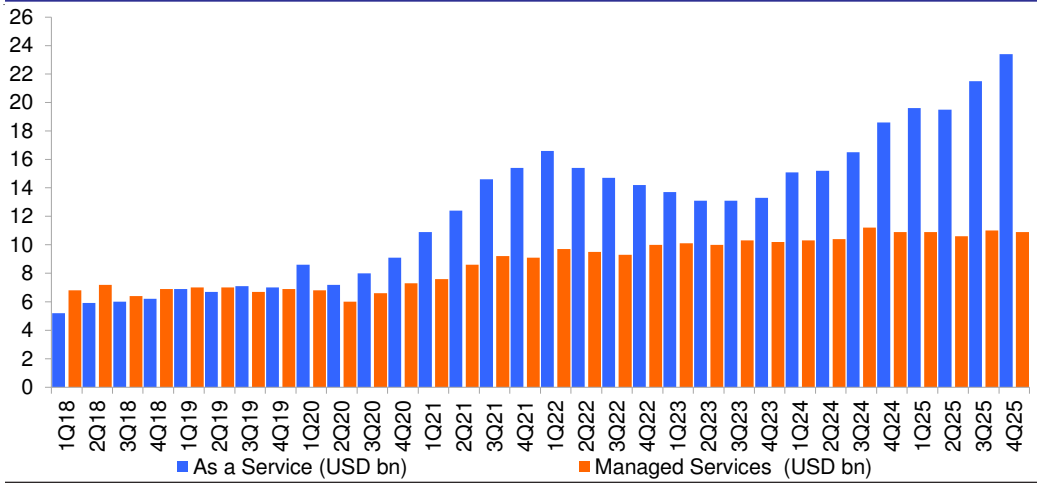
Source: ISG, Antique

Exhibit 2: Combined market annual contract value (ACV USD bn)



Source: ISG, Antique

Exhibit 3: As-a-service ACV and Managed Services ACV grows



Source: ISG, Antique

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SECTOR UPDATE

Automobiles

India electric two-wheeler industry (CY21-CY25): From disruption to consolidation

Industry overview & growth trajectory

India's electric two-wheeler (E-2W) industry has undergone a clear three-phase evolution between CY21 and CY25:

(1) Experimentation (CY21-CY22),

(2) Hypergrowth and fragmentation (CY23-CY24), and

(3) Consolidation with legacy OEM dominance (CY25).

VAHAN data (table 1) shows industry volumes scaling from a negligible base in CY21 to ~1.2-1.3 mn units cumulative over CY21-CY25, with CY24 marking as the start of the growth phase driven by FAME-II incentives, aggressive pricing by start-ups, and rapid consumer adoption. CY25, however, marks an important milestone from growth-at-any-cost to sustainable growth, reflected in moderation of players like Ola and sharp volume acceleration among legacy OEMs (TVS, Bajaj, Hero).

Structurally, E-2Ws have shifted from being urban novelty products to a mainstream mobility alternative, especially in scooters, aided by:

- Lower total cost of ownership (TCO)
- Policy support (FAME, EMPS, PM Edrive, state EV policies)
- Increasing reliability and range confidence

However, CY24-CY25 also exposed execution gaps, quality issues, and capital intensity challenges, triggering market share re-allocation.

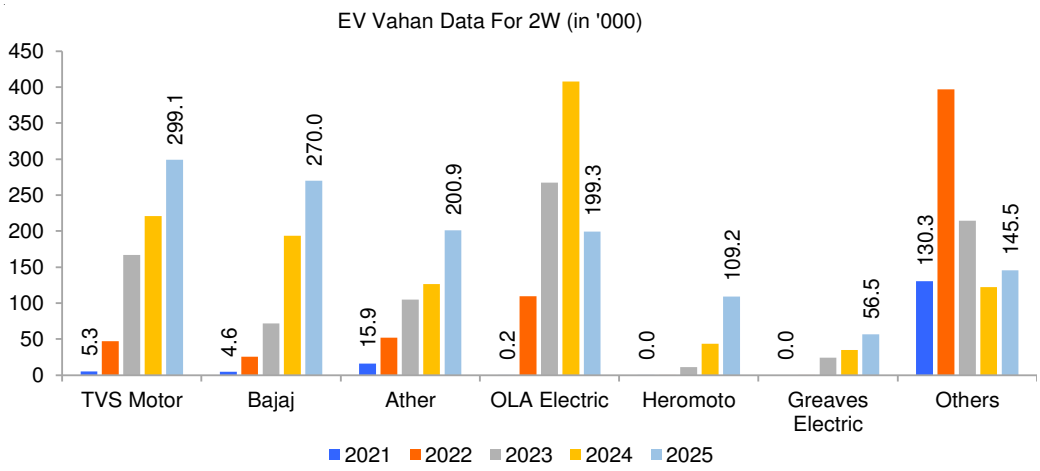
Competitive landscape: Market share re-ordering is the big story

VAHAN data points to a clear and decisive reshuffling of market leadership between CY24 and CY25, underscoring the transition underway in India's EV two-wheeler industry. Ola Electric led the market in CY24, benefiting from early mover advantage, aggressive pricing and rapid scale-up, but witnessed a sharp moderation in volumes in CY25, resulting in a rank decline from #1 to #4. In contrast, TVS Motor emerged as the market leader in CY25 with ~299k units, overtaking Ola through steady, execution-led growth rather than volatility, marking a pivotal inflection in competitive dynamics. Bajaj Auto recorded one of the strongest scale-up trajectories, rising from a negligible base of ~5k units in CY21 to ~270k units in CY25, securing rank #2 and validating its measured EV strategy. Ather Energy continued to demonstrate consistent, premium-led growth, climbing to rank #3 in CY25, while Hero MotoCorp's volumes ramped up meaningfully only from CY24 onwards, reflecting a deliberate and calibrated entry rather than a loss of strategic intent. Overall, the data clearly indicates that industry leadership is shifting from start-up-led disruption in CY22-CY24 toward OEM-led consolidation in CY25, with execution capability, distribution strength, and balance sheet depth becoming the key determinants of market share. This transition clearly indicates the industry is moving from startup-led disruption to OEM-led consolidation.

Industry transitioning to a subsidy free and stable ecosystem

India's E-2W industry has entered a post-disruption phase, where execution, balance sheet strength, and service capability trump speed. VAHAN data from CY21-CY25 clearly signals market consolidation toward legacy OEMs, with TVS and Bajaj emerging as structural winners. While start-ups accelerated early adoption, the next leg of growth will be driven by trust-led, mass-market electrification, firmly tilting the competitive balance in favor of incumbents. From an investment standpoint, EV optionality has transitioned from a call option to a core valuation driver in Indian two-wheeler OEMs.

Exhibit 1: India Electric Two-Wheeler Industry (CY21-CY25): From Disruption to Consolidation



Source: Vahan

Table 1: EV Vahan Data For 2W (in '000)

Maker	CY2021	CY2022	CY2023	CY2024	CY2025	Cumulative Total	Rank in 2024	Rank in 2025	
TVS Motor	5.3	47.2	166.6	220.8	299.1	739.0	2	1	↑
Bajaj	4.6	25.3	71.9	193.7	270.0	565.5	3	2	↑
z	15.9	51.8	104.7	126.4	200.9	499.8	4	3	↑
OLA Electric	0.2	109.4	267.4	407.7	199.3	984.1	1	4	↓
Heromoto	0.0	0.2	11.1	43.7	109.2	164.3	5	5	↓
Greaves Electric	-	0.4	24.0	35.1	56.5	116.0	6	6	↓
Bgauss Auto Pvt. Ltd.	-	2.0	11.5	18.0	22.9	54.4	7	8	↓
Pur Energy Pvt. Ltd.	11.0	15.0	7.2	5.5	17.8	56.6	11	9	↑
River Mobility Pvt Ltd.	-	-	0.1	2.5	15.3	17.9	12	10	↑
Kinetic Green Energy & Power Solutions Ltd.	-	2.1	7.8	11.5	12.6	33.9	8	11	↓
Revolt Intellicorp Pvt. Ltd.	4.7	14.9	7.0	10.0	11.0	47.6	10	12	↓
Simpleenergy Pvt. Ltd.	-	-	0.1	1.4	6.0	7.5	13	13	↓
Wardwizard Innovations & Mobility Ltd.	-	0.3	6.9	10.9	4.5	22.7	9	14	↓
Others	114.5	362.9	174.2	62.3	55.3	769.1			
Total	**156.3**	**631.4**	**860.5**	**1,149.4**	**1,280.6**	**4,078.2**			

Source: Vahan

Products launched & why they mattered?

Table 2: Electric 2W competitive product table

OEM	Model	Launch / Refresh Timeline	Approx. Price	Approx. Range (INR)	Key Features / Notes (km)	CY26E Expected Launches
TVS Motor	**Orbiter**	2025	1.0L	158	Entry EV targeting mass premium; basic connected features	Orbiter+ with improved battery (~3.5–4 kWh) & slightly premium features
	iQube (base)	2020 / refreshed '24–'25	95k	75-80	Reliable, dealer network support	iQube 2026 with larger battery & improved UI / software
	iQube ST / ST+	2024–25	1.55-1.85L	100–150	TFT, enhanced connect features	iQube ST Pro with connected navigation & better telematics
Bajaj Auto	**Chetak EV**	2020	1.0L – 1.15L	120-130	Premium execution, retro design	Chetak 2.0 with swappable battery option
	Chetak 3001	2025	1.0L	120	Value EV variant	Chetak 3002 / 350 variant with bigger pack (~3.5 kWh)
Ather Energy	**450 Standard / Plus**	2019 / ongoing	1.26L – 1.55L	120-145	Smart modes, OTA, connected	Ather 450X/Y update with larger battery (~3.7-4 kWh)
	Rizta	2024	1.10L – 1.45L	120-160	Family-oriented EV (new addressable segment)	Rizta+ with enhanced comfort and range
Ola Electric	**S1X Base / Mid / Pro**	2021	70k – 1.88L	108-320 (varies)	Aggressive pricing, direct D2C	Ola S1 Lite (budget EV)
	S1 Sport / S1 Pro+	2022–2024	1.16L – 1.88L	320 (claimed)	High-spec performance variants	Ola S1X 2026 "Sport Performance"
Hero MotoCorp	**Vida V1 / V1 Pro**	2024	1.20L – 1.50L	90-145	Hero's early EV offerings	Hero Vida 2 / Vida 2 Pro (major refresh / new platform)
	Vida V1 Plus / V1X	2025	1.30L – 1.60L	100-155	Enhanced hardware & features	Vida 2X / Vida Pro+ with better user interface & battery tech

Source: Media, Company

Legacy OEMs: Focused, scalable, reliable

TVS Motor - iQube Series (Base / S / ST)

TVS's EV success stems from a measured, OEM-style rollout rather than disruption-led scaling. The iQube portfolio was carefully tiered across base, S, and ST variants to address the mass-premium urban scooter buyer, with clear walk-ups on range, connectivity, and pricing. Crucially, TVS prioritized battery quality, software stability, and after-sales readiness from day one, avoiding the early reliability issues seen elsewhere. Its ability to repurpose a wide ICE dealer network for EV distribution and service created trust and ensured availability beyond early adopter pockets. This approach delivered linear, repeatable growth from CY22 through CY25, culminating in TVS emerging as the CY25 volume leader.

Bajaj Auto - Chetak EV

Bajaj's EV journey is a textbook case of learning-curve compression. After a cautious and slow ramp in CY21-CY22, Bajaj undertook a meaningful product refresh in CY23-CY24, upgrading the Chetak with a metal body, improved real-world range and more stable software. The brand then unlocked scale in CY25 by expanding distribution beyond metros, leveraging Bajaj's strong dealer economics and balance sheet. The combination of Chetak's legacy brand recall, tangible product quality and reliability translated into trust-led adoption, enabling Bajaj to rapidly climb to rank #2 by CY25. It the only company to have claimed EBITDA positive in the EV product portfolio.

The newly launched Chetak C2501 is positioned as a value urban commuter-priced below INR 1 lakh with a focus on core essentials rather than maximum range or performance. Its metal body and sturdy build are differentiators in the budget segment.

Hero MotoCorp - Vida V1 / V1 Pro

Hero's EV entry was deliberately late but strategically calibrated. The Vida V1 and V1 Pro targeted the urban premium commuter, prioritizing design, performance, and ecosystem integration over early volume. Hero leveraged strategic partnerships (including Ather for software insights and Gogoro for battery swapping pilots) while using its balance sheet strength to absorb early inefficiencies in distribution and service. The sharp volume ramp in CY25 indicates Hero has moved beyond experimentation and is now structurally committed to EVs, positioning itself for sustained scale rather than opportunistic participation.

Start-ups: First-mover advantage, execution volatility

Ola Electric - S1 / S1 Pro

Ola Electric was instrumental in defining the EV scooter category in India. The S1 and S1 Pro disrupted the market with aggressive pricing, high feature intensity, and a direct-to-consumer model that accelerated early adoption. However, the CY25 slowdown reflects the limits of scale without operational resilience-manifested in product quality complaints, service bottlenecks, waning subsidy tailwinds, and rising competitive intensity from legacy OEMs. VAHAN data suggests Ola's inflection is not about demand creation but execution sustainability, marking a critical strategic crossroads.

Ather Energy - 450 Series

Ather stands out as the highest-quality operator among start-ups. Its premium positioning, strong in-house software capabilities, reliable hardware, and disciplined expansion strategy have resulted in steady, predictable growth. While absolute volumes trail Ola, Ather's brand equity, customer satisfaction, and operational consistency are materially stronger, positioning it as a long-term survivor and potential consolidator in a maturing EV 2W market.

Others - Greaves, Revolt, BGauss, River, Simple

Smaller EV players continue to contribute to product innovation and niche experimentation, but remain structurally sub-scale. Constraints around limited distribution reach, narrow product appeal, and capital availability have capped their growth. As the industry consolidates, these players are more likely to remain fringe participants or acquisition targets, rather than emerge as category leaders.

Table 3: Comparative Positioning & Strategic Insights

Segment	Priority Models	Position	Key Competitive Edge
Entry Mass EV	Ola S1 Lite (est.), TVS Orbiter	Ola / TVS	Pricing + reach
Value EV Daily	TVS iQube (base), Bajaj Chetak 3001	TVS / Bajaj	Balance reliability + pricing
Balanced Urban	Ather Rizta, Hero Vida V1+	Ather / Hero	Connectivity + comfort
Premium Tech EV	Ather 450, Ola S1 Pro+/Sport	Ather / Ola	Range + feature set
Near-Future Growth	Chetak 2.0, TVS iQube 2026, Vida 2	Legacy OEMs	Dealer reach + brand trust

Source:Media, Company

Table 4: OEM Distribution Network

OEM	Approx. EV Dealer / Experience Centre Network	Service / Support Reach	Distribution Model Notes
TVS Motor Company	~900+ dealer touchpoints EV-enabled across India (iQube + Orbiter)	Dealer-based service coverage via ICE network	EV sales through converted ICE dealers + dedicated EV counters
Bajaj Auto (Chetak)	~390 exclusive Chetak dealerships + ~4,000 ICE dealer touchpoints	EV service supported via ICE dealer network	Chetak sold primarily via Bajaj dealers, with EV focus in select outlets
Ather Energy	500+ operational showrooms / experience centres (rapid expansion)	Dedicated EV service centres co-located or nearby	EV-only company with phased expansion; plans to reach ~700 by FY26
Ola Electric	~4,000+ retail touchpoints & customer experience locations	Company service network + partners	D2C + experience centre model, high footprint but variable service depth
Hero MotoCorp (Vida)	~379 dealers (EV) + ~20 VIDA hubs	Dealer network with EV service	Hero EV sold via select dealer network leveraging ICE base
Greaves Electric (Ampere)	~420 dealerships & touchpoints	EV support via partner dealers	Mid-tier EV player with broad semi-urban retail footprint

Source: Media, Company, Ather RHP

Industry Growth Outlook (CY26-CY30)

The evolution of product and go-to-market strategies clearly underscores the structural shift underway in India's electric two-wheeler industry-from start-up-led disruption in the early adoption phase to OEM-led consolidation as the market matures. Legacy players are increasingly winning not by out-innovating on features alone, but by executing reliably at scale, a decisive advantage as subsidy support normalizes and EV adoption moves beyond early adopters. Their success is structural rather than cyclical, anchored in manufacturing and supply-chain control, where incumbents benefit from established vendor ecosystems, battery sourcing discipline and localization capabilities. Equally important is their distribution and service reach, as EV buyers place growing emphasis on service assurance and uptime once penetration broadens beyond metro markets. Strong balance sheets further allow legacy OEMs to absorb warranty costs, manage recalls and iterate technology without disrupting growth trajectories, while long-standing brand trust plays a critical role in a high-involvement purchase category such as personal mobility.

Looking ahead, the industry's growth trajectory remains robust but increasingly selective. E-2W penetration is expected to rise from ~7%-8% currently to 20%-25% of the 2W segment by CY30, with scooter electrification materially outpacing motorcycles due to favorable use-cases and urban economics. The segment is likely to deliver a 25%-30% CAGR over CY26-CY30, albeit with far fewer winners than in the formative years. Incremental volumes are expected to accrue disproportionately to a handful of scaled OEMs, rather than the long tail of smaller players, reinforcing consolidation dynamics.

Legacy OEMs will be central to the next phase of EV growth. They are best positioned to drive mass adoption beyond metros, accelerate cost reductions through localization, influence policy frameworks through scale and compliance, and help shape charging and battery-swapping ecosystems. By CY28 and beyond, it is increasingly likely that 70%-80% of India's E-2W volumes will be controlled by a small cohort of players-primarily TVS, Bajaj, Hero, and Ather (potentially with promoter Hero's backing), marking a clear transition from experimentation to industrialized, large-scale EV adoption.

Players yet to meaningfully enter E-2Ws

Despite industry progress, some major ICE leaders Honda, Suzuki, Yamaha still lack material EV scale and remain under-represented in electric scooters, either due to strategic caution or execution delays. While these players have strong ICE franchises, prolonged absence from EVs risk brand dilution among younger, urban consumers may risk strategic irrelevance in the long run if delays persist. As EV adoption shifts from early adopters to the mass market, delayed entry may necessitate higher future investments to regain relevance. The industry's trajectory suggests that optionality in EVs is no longer sufficient-meaningful scale and sustained commitment are becoming prerequisites for long-term competitiveness.

Conclusion

India's E-2W industry has entered a post-disruption phase, where execution, balance sheet strength, and service capability trump speed. VAHAN data from CY21-CY25 clearly signals market consolidation toward legacy OEMs, with TVS and Bajaj emerging as structural winners. While start-ups accelerated early adoption, the next leg of growth will be driven by trust-led, mass-market electrification, firmly tilting the competitive balance in favor of incumbents. From an investment standpoint, EV optionality has transitioned from a call option to a core valuation driver in Indian two-wheeler OEMs.

Valuation Guide

Company	Reco	CMP (INR)	TP (INR)	Return (%)	M. Cap (INR bn)	M. Cap (USD bn)	Net profit (INR bn) FY26	FY27	FY28	EPS (INR) FY26	FY27	FY28	P/E (x) FY26	FY27	FY28	EV/EBITDA (x) FY26	FY27	FY28	P/BV (x) FY26	RoE (%) FY26	RoCE (%) FY26	Absolute (%) 1m	12m
ASSET MANAGEMENT COMPANY																							
Aditya Birla Sun Life AM	Buy	810	879	8	234.0	2.6	10.7	12.0	13.4	37.1	41.5	46.6	21.8	19.5	17.4	-	-	-	4.8	27.9	NA	5	5
HDFC Asset Management	Buy	2,554	3,333	31	1,093.9	12.1	29.5	34.2	39.6	69.0	80.1	92.6	37.0	31.9	27.6	-	-	-	10.7	35.3	NA	-1	25
Nippon Life India AM	Buy	864	1,087	26	550.5	6.1	15.4	18.0	20.9	24.4	28.4	32.9	35.4	30.4	26.2	-	-	-	12.0	40.4	NA	0	26
UTI Asset Management	Buy	1,076	1,339	24	138.3	1.5	7.5	9.8	10.9	67.1	77.2	85.7	16.0	13.9	12.6	-	-	-	2.6	17.6	NA	-4	-12
AUTO																							
Ashok Leyland	Hold	187	160	(14)	1,097.8	12.2	34.5	40.4	42.6	5.9	6.9	7.3	31.8	27.2	25.8	19.8	16.4	15.1	7.0	27.7	33.0	11	80
Bajaj Auto	Buy	9,580	9,900	3	2,677.4	29.6	95.7	107.9	118.5	338.3	381.8	419.2	28.3	25.1	22.9	20.8	18.1	16.1	6.6	28.2	36.0	6	12
Hero MotoCorp	Hold	5,677	5,700	0	1,135.8	12.6	51.0	54.8	59.5	255.4	274.3	298.0	22.2	20.7	19.1	17.8	16.2	14.7	4.6	23.3	30.5	-5	39
Maruti Suzuki	Buy	16,152	18,140	12	5,078.2	56.2	148.7	166.4	190.1	473.1	529.4	604.7	34.1	30.5	26.7	24.5	21.0	18.0	4.3	15.0	19.5	-1	34
Studds Accessories	Buy	533	750	41	21.0	0.2	0.8	1.0	1.2	21.4	24.5	29.7	24.9	21.7	18.0	15.6	13.9	11.7	3.6	17.6	20.1	-3	
TVS Motor	Hold	3,690	3,840	4	1,753.3	19.4	34.4	42.9	53.4	72.4	90.3	112.4	51.0	40.8	32.8	31.5	25.8	21.3	10.2	28.4	34.6	2	62
AGROCHEMICAL, CHEMICAL AND FERTILIZER																							
Bayer Cropscience	Hold	4,412	4,790	9	198.3	2.2	6.1	7.0	8.3	134.8	156.4	185.7	32.7	28.2	23.8	23.3	19.8	16.9	6.8	24.3	31.9	1	-14
Coromandel Intl.	Buy	2,321	2,610	12	684.5	7.6	22.0	28.9	32.5	74.7	98.1	110.2	31.1	23.6	21.1	18.9	14.6	12.5	4.4	20.4	28.9	0	24
Dhanuka Agritech	Buy	1,088	1,480	36	49.0	0.5	2.7	3.1	3.6	59.1	68.3	78.8	18.4	15.9	13.8	11.5	9.9	8.4	2.7	18.0	24.3	-9	-23
Paradeep Phosphates	Buy	148	230	56	153.2	1.7	10.0	10.6	13.1	9.7	10.2	12.6	15.3	14.5	11.7	9.3	9.7	8.7	2.1	15.3	14.6	-8	30
PI Industries	Hold	3,288	3,280	(0)	498.8	5.5	13.8	15.3	18.0	90.9	100.6	118.2	36.2	32.7	27.8	24.8	21.9	18.3	4.0	12.8	16.4	1	-6
Rallis India	Hold	248	280	13	48.2	0.5	1.8	2.4	3.1	9.3	12.3	15.7	26.7	20.1	15.8	12.8	9.9	7.8	2.2	11.5	15.9	-8	-14
Sharda Cropchem	Buy	829	1,360	64	74.8	0.8	5.8	6.3	7.3	63.8	70.1	81.4	13.0	11.8	10.2	7.3	5.9	4.8	2.1	19.3	24.6	-11	14
SRF Ltd	Buy	3,032	3,540	17	898.8	9.9	18.3	24.9	31.1	61.6	83.9	104.6	49.2	36.2	29.0	26.7	20.9	17.2	5.5	16.3	17.5	1	17
Sumitomo Chemical India	Buy	430	580	35	214.7	2.4	5.4	6.7	7.8	10.9	13.3	15.6	39.5	32.2	27.5	31.6	26.0	22.3	5.4	18.2	24.3	-6	-11
UPL	Buy	780	830	6	658.1	7.3	26.4	36.3	46.4	33.2	45.7	58.4	23.5	17.1	13.4	8.3	7.2	6.1	1.8	10.7	13.3	4	43
BUILDING MATERIALS																							
Apollo Pipes	Buy	290	330	14	12.8	0.1	0.2	0.4	0.6	5.1	9.3	13.6	56.5	31.1	21.4	13.6	10.1	7.7	1.4	4.6	6.9	-2	-32
Astral	Buy	1,463	1,710	17	392.9	4.3	5.3	6.8		19.6	25.2		74.7	58.1	-	38.2	31.4	-	8.4	15.5	20.3	0	-3
Cera Sanitaryware	Buy	5,097	6,700	31	65.7	0.7	2.5	2.8	3.0	192.4	213.9	232.9	26.5	23.8	21.9	19.2	16.7	15.2	3.9	17.2	21.5	-5	-26
Finolex Industries	Hold	176	210	20	108.9	1.2	5.4	6.3	6.7	8.8	10.2	10.8	20.1	17.3	16.2	15.7	13.3	12.6	1.6	9.7	11.4	5	-16
Greenlam Industries	Buy	242	280	16	61.7	0.7	0.6	1.6	3.2	2.5	6.2	12.5	98.1	39.1	19.4	23.0	16.7	11.1	4.7	12.6	12.6	-5	-11
Greenpanel Industries	Buy	217	300	39	26.6	0.3	-0.2	1.2	2.4	-1.3	9.5	19.8	-164.8	22.8	11.0	27.1	9.7	5.6	1.8	7.9	6.8	-8	-35
Kajaria Ceramics	Buy	996	1,250	26	158.6	1.8	5.2	6.0	7.2	32.6	37.9	45.4	30.5	26.3	21.9	17.9	15.6	13.1	4.5	18.4	23.9	-9	-6
Prince Pipes and Fittings	Buy	247	320	30	27.3	0.3	0.4	1.0	1.5	3.8	9.4	13.3	64.3	26.2	18.5	15.2	10.3	8.2	1.6	6.3	8.0	-3	-38
Somany Ceramics	Buy	398	590	48	16.3	0.2	0.7	1.0	1.4	17.7	23.8	34.7	22.5	16.7	11.5	7.4	5.8	4.2	1.8	11.2	16.6	-4	-32
Supreme Industries	Buy	3,485	3,850	10	442.7	4.9	8.9	11.3	13.1	70.1	89.1	103.0	49.7	39.1	33.8	30.0	24.1	21.1	6.8	18.0	22.0	2	-19
CEMENT																							
ACC	Buy	1,728	2,180	26	324.5	3.6	16.5	18.7	21.3	87.9	99.2	113.2	19.7	17.4	15.3	9.0	8.3	7.4	1.5	8.9	12.3	-2	-13
Ambuja Cement	Buy	550	690	26	1,358.4	15.0	26.4	35.6	42.1	10.6	14.3	17.0	51.8	38.4	32.4	18.5	15.1	13.0	2.2	6.0	9.5	0	2
Birla Corp	Buy	1,081	1,600	48	83.2	0.9	5.3	5.8	6.8	69.4	75.6	88.3	15.6	14.3	12.2	7.2	6.8	6.4	1.0	7.5	9.3	0	-9
Dalmia Bharat	Hold	2,177	2,370	9	408.4	4.5	12.6	12.8	14.7	67.0	68.2	78.5	32.5	31.9	27.8	12.9	12.4	11.6	2.1	6.8	8.1	5	25
Grasim Industries	Buy	2,796	3,210	15	1,902.6	21.1	4.0	8.2	13.2	5.9	12.0	19.3	473.9	233.3	144.5	121.2	84.9	64.8	3.5	1.5	2.9	0	19
Heidelberg	Hold	170	191	13	38.4	0.4	1.7	2.2	2.4	7.5	9.5	10.5	22.5	17.8	16.2	10.2	8.3	7.3	2.7	15.2	19.1	-1	-20
JK Cement	Buy	5,712	6,800	19	441.4	4.9	10.5	12.1	14.4	136.4	156.8	186.8	41.9	36.4	30.6	19.2	16.8	14.4	5.4	16.0	14.6	2	26
JK Lakshmi Cement	Hold	775	875	13	96.2	1.1	5.1	5.8	6.2	40.9	46.7	49.7	19.0	16.6	15.6	9.9	9.3	8.8	2.2	14.1	13.5	-1	-3
Nuvoco Vistas	Hold	354	450	27	126.5	1.4	5.1	4.7	4.7	14.3	13.1	13.1	24.7	27.1	27.1	9.0	8.6	8.0	1.3	4.8	6.7	-1	1
Orient Cement	Hold	169	240	42	34.7	0.4	2.9	2.0	1.6	14.2	9.6	7.8	11.9	17.6	21.7	4.8	5.6	6.4	1.6	9.2	10.2	2	-50
Shree Cements	Buy	27,550	32,400	18	994.0	11.0	22.1	26.6	31.6	612.8	737.7	875.1	45.0	37.3	31.5	17.5	15.2	13.3	4.0	11.1	15.5	6	8
Star Cement	Hold	216	260	20	87.4	1.0	3.7	3.8	4.4	9.2	9.5	10.9	23.4	22.8	19.8	10.2	9.7	8.7	2.4	11.1	14.5	-1	3
Ramco Cement	Hold	1,064	1,000	(6)	251.5	2.8	3.2	5.6	7.7	13.6	23.7	32.5	78.5	44.8	32.8	18.1	15.0	12.8	3.0	7.0	8.8	1	20
UltraTech Cement	Buy	12,255	13,750	12	3,611.3	40.0	86.3	108.9	131.8	292.9	369.5	447.4	41.8	33.2	27.4	21.5	17.7	15.0	4.1	13.5	15.6	6	15
EMS																							
Avalon Technologies	Hold	905	975	8	60.4	0.7	0.9	1.3	1.6	14.1	19.3	24.0	64.3	46.9	37.6	37.9	28.3	23.0	7.2	16.7	20.9	6	12
Cyient DLM	Buy	397	495	25	31.5	0.3	0.5	1.1	1.7	6.1	14.4	20.9	64.9	27.5	19.0	22.2	13.4	9.9	2.8	10.7	14.6	-5	-34
Kaynes Technology India	Hold	3,681	6,254	70	246.7	2.7	4.9	6.4	8.8	73.3	96.2	131.2	50.2	38.2	28.1	36.1	25.9	19.7	6.2	17.6	18.9	-12	-44
Syrma SGS Technology	Buy	706	1,044	48	136.1	1.5	2.5	3.3	4.4	13.9	18.5	25.0	50.8	38.1	28.3	32.5	23.7	17.8	5.4	15.3	16.6	-2	31
FMCG																							
Allied Blenders and Distillers	Buy	475	730	54	132.9	1.5	2.6	3.5	4.6	9.2	12.7	16.6	51.6	37.5	28.7	27.4	21.9	17.7	7.2	20.1	20.1	-24	16
Asian Paints	Buy	2,814	3,145	12	2,699.1	29.9	43.6	51.4	58.4	45.4	53.5	60.8	62.0	52.6	46.2	41.0	34.6	30.2	11.1	22.6	26.9	1	27
Bajaj Consumer Care	Buy	283	362	28	37.1	0.4	1.7	2.0	2.3	12.6	14.7	16.8	22.5	19.3	16.9	13.8	11.1	8.6	2.5	13.5	16.5	11	49
Colgate Palmolive	Hold	2,092	2,231	7	569.1	6.3	13.3	14.5	15.8	49.0	53.4	58.2	42.7	39.2	36.0	29.7	27.3	25.0	28.5	77.0	107.0	-3	-21
Dabur India	Hold	514	530	3	911.2	10.1	18.4	21.9	24.9	10.4	12.4	14.1	49.3	41.5	36.4	36.0	30.8	26.9	7.2	18.2	21.8	3	-2
DOMS Industries	Buy	2,517	3,309	31	152.8	1.7	2.4	2.9	3.6	39.9	47.9	59.2	63.1	52.6	42.5	38.3	31.3	25.2	10.3	21.5	25.2	-1	-1
Emami	Buy	502	635	27	219.1	2.4	8.7	10.1	11.2	19.9	23.1	25.7	25.2	21.7	19.5	20.6	17.4	15.2	6.3	31.2	32.7	-7	-11
Godrej Consumer	Buy	1,227	1,390	13	1,255.4	13.9	22.4	28.6	33.2	21.9	27.9	32.5	56.1	43.9	37.7	38.6	30.5	26.4	9.0	21.4	23.4	4	7
Hindustan Unilever	Hold	2,354	2,391	2	5,529.8	61.2	103.1	106.9	117.8	43.9	45.5	50.1	53.6	51.7	46.9	37.9	35.5	32.2	12.1	22.9	28.0	3	2
Honasa Consumer	Hold	288	306	6	93.7	1.0	1.4	1.5	1.8	4.3	4.6	5.6	67.5	62.4	51.5	51.3	39.5	29.8	6.4	10.8	15.7	11	17
ITC	Buy	335	445	33	4,194.1	46.4	201.2	217.0	237.3	16.1	17.3	19.0	20.8	19.3	17.7	16.4	15.2	13.9	5.4	29.3	37.4	-17	-23
Jyothy Labs	Hold	257	312	22	94.2	1.0	3.5	3.9	4.2	9.5	10.8	11.5	26.9	23.9	22.2	18.1	15.8	14.2	3.7	16.4	22.2	-10	-35
Kansai Nerolac	Hold	237	244	3	191.3	2.1	6.5	7.4	8.4	8.0	9.2	10.4	29.5	25.8	22.7	17.5	15.4	13.5	2.8	10.9	14.6	5	-2
Marico	Buy	750	900	20	973.3	10.8	18.4	23.4	28.2	14.2	18.1	21.9	52.7	41.3	34.3	39.3	31.0	25.7	16.4	44.1	49.7	1	15
Nestle	Hold	1,307	1,262	(3)	2,520.5	27.9	32.0	39.9	48.6	16.6	20.7	25.2	78.6	63.1	51.9	49.2	40.1	33.3	39.5	69.2	84.6	5	21
Patanjali Foods	Buy	544	648	19	591.3	6.5	12.3	18.7	21.6	11.3	17.2	19.8	48.2	31.6	27.4	32.3	22.0	19.1	4.5	15.0	18.6	1	-12
Radico Khaitan	Buy	2,907	3,743	29	389.3	4.3	5.9	7.9	10.3	44.0	59.4	76.7	66.1	49.0	37.9	40.3	31.5	24.8	9.8	22.1	27.2	-8	32
United Spirits	Buy	1,336	1,770	33	971.7	10.8	18.4	20.4	23.4	25.3	28.1	32.2	52.9	47.5	41.5	38.7	34.4	29.7	9.3	21.0	29.4	-8	-6
Varun Beverages	Buy	502	600	19	1,699.1	18.8	29.2	36.9	44.2	8.6	10.9	13.1	58.1	46.0	38.4	33.5	27.5	23.1	7.8	18.1	23.1	5	-13

Valuation Guide

Company	Reco	CMP (INR)	TP (INR)	Return (%)	M. Cap (INR bn)	M. Cap (USD bn)	Net profit (INR bn) FY26	FY27	FY28	EPS (INR) FY26	FY27	FY28	P/E (x) FY26	FY27	FY28	EV/EBITDA (x) FY26	FY27	FY28	P/BV (x) FY26	RoE (%) FY26	RoCE (%) FY26	Absolute (%) 1m	12m
RETAIL																							
Aditya Birla Fashion & Retail	Hold	73	75	4	89.6	1.0	-6.9	-5.8	-4.9	-5.7	-4.7	-4.0	-12.9	-15.4	-18.2	12.2	10.5	8.4	1.6	-9.9	-3.5	-2	-28
Aditya Birla Lifestyle Brands	Hold	118	133	13	143.8	1.6	2.4	3.5	5.4	2.0	2.9	4.5	58.8	41.2	26.4	10.7	9.8	8.7	7.7	20.6	19.2	-7	
Arvind Fashions	Buy	461	710	54	61.8	0.7	1.3	2.3	2.9	9.8	17.2	21.4	47.1	26.9	21.5	8.8	6.9	5.5	4.7	17.4	22.3	-10	-9
Avenue Supermarts	Hold	3,830	4,161	9	2,492.5	27.6	31.6	36.2	41.0	48.6	55.6	63.0	78.9	68.9	60.8	48.6	42.2	37.0	8.6	12.5	16.2	-1	6
Devyani International	Hold	135	142	5	166.2	1.8	-0.2	0.3	0.7	-0.2	0.2	0.5	-716.5	600.4	246.0	20.2	16.5	14.2	11.0	1.8	13.0	5	-27
Jubilant Foodworks	Buy	529	620	17	349.3	3.9	2.7	3.9	5.3	4.0	5.9	8.0	131.1	90.4	66.0	26.5	21.7	17.7	14.2	16.2	32.8	-6	-23
Kewal Kiran	Buy	494	727	47	30.4	0.3	1.3	1.6	2.0	21.7	26.4	31.7	22.8	18.7	15.6	12.4	10.3	8.4	2.8	15.2	17.5	-1	-9
Restaurant Brands Asia	Buy	69	90	30	40.3	0.4	-0.7	-0.6	-0.1	-1.3	-1.0	-0.1	-53.9	-67.6	-632.0	11.8	9.3	7.5	1.9	-2.8	5.2	8	-12
Sapphire Foods India	Hold	224	258	15	72.0	0.8	0.0	0.4	0.5	0.1	1.3	1.7	2,007.5	172.4	130.2	14.6	11.6	9.9	4.9	2.9	14.9	-2	-31
Senco Gold	Buy	333	600	80	54.5	0.6	3.1	3.6	4.2	19.2	22.2	25.8	17.4	15.0	12.9	11.4	10.2	9.2	2.2	14.5	13.6	5	-36
Shoppers Stop	Buy	389	760	95	42.9	0.5	0.5	1.1	1.7	4.2	9.8	15.2	93.6	39.9	25.6	5.9	5.1	4.2	8.7	21.8	12.2	-12	-38
Titan Co	Buy	4,222	4,500	7	3,747.8	41.5	46.0	59.5	73.7	51.9	67.0	83.0	81.4	63.0	50.8	52.5	41.3	33.9	18.9	34.1	21.5	7	27
Trent	Buy	3,932	5,700	45	1,397.8	15.5	18.5	22.4	27.5	51.9	63.1	77.5	75.7	62.3	50.8	39.0	31.9	25.5	14.5	23.3	23.5	-4	-37
Vedant Fashion	HOLD	540	620	15	131.2	1.5	4.0	4.3	5.0	16.6	17.9	20.6	32.6	30.2	26.2	18.3	16.7	14.4	6.0	20.9	29.0	-9	-55
V-Mart Retail	Buy	614	970	58	48.8	0.5	1.0	1.8	2.6	12.8	22.3	32.4	48.1	27.5	19.0	10.0	7.7	5.9	4.5	17.7	17.5	-19	-26
Westlife Foodworld	Hold	496	560	13	77.4	0.9	-0.3	0.1	0.6	-2.0	0.8	4.0	-252.2	591.2	124.3	24.7	20.0	15.8	12.4	2.1	20.9	-6	-33
INDUSTRIALS																							
ABB	Hold	4,935	5,056	2	1,045.8	11.6	17.1	19.7	23.2	80.7	93.1	109.4	61.1	53.0	45.1	47.8	41.6	35.3	11.1	22.4	30.5	-6	-22
Apar Industries	Buy	7,478	10,740	44	300.4	3.3	9.9	12.7	16.0	246.0	317.0	398.0	30.4	23.6	18.8	7.4	1.7	-1.4	4.8	22.3	33.2	-16	-26
Bajel Projects	Buy	167	270	62	19.3	0.2	0.3	1.0	1.7	2.9	8.7	15.0	57.3	19.2	11.1	19.8	9.6	5.9	2.7	15.0	16.7	0	-34
BHEL	Buy	267	349	30	931.3	10.3	16.4	32.0	48.9	4.7	9.2	14.0	56.6	29.1	19.0	35.4	20.6	14.2	3.4	11.9	25.8	-4	27
Cummins India	Buy	4,029	4,861	21	1,116.9	12.4	22.4	25.9	30.3	80.7	93.3	109.2	49.9	43.2	36.9	41.8	35.5	29.7	12.7	31.1	40.8	-10	38
Engineers India	Buy	197	251	27	110.6	1.2	4.3	5.1	6.0	6.8	8.1	9.6	28.8	24.3	20.6	21.4	17.2	13.8	3.5	16.9	18.9	1	12
GE Vernova T&D	Buy	2,796	3,596	29	715.9	7.9	10.8	13.7	17.0	42.2	53.6	66.3	66.3	52.2	42.2	48.9	38.0	30.2	17.8	40.5	56.9	-7	41
Hitachi Energy	Buy	16,937	24,770	46	754.9	8.4	10.0	12.9	21.1	225.2	290.1	472.1	75.2	58.4	35.9	57.1	40.6	25.1	13.0	24.1	33.7	-12	30
Honeywell Automation	Hold	33,550	39,581	18	296.6	3.3	5.5	7.2	8.3	622.7	814.9	944.3	53.9	41.2	35.5	42.8	31.2	26.3	5.8	15.0	15.5	-1	-18
Precision Wires India	Buy	227	305	34	41.5	0.5	1.2	1.7	2.4	6.7	9.1	13.3	34.1	24.9	17.1	18.3	14.2	10.3	4.8	20.9	28.2	-3	39
KEC International	Buy	699	928	33	186.1	2.1	9.5	14.8	18.2	35.9	55.6	68.2	19.5	12.6	10.2	10.9	7.4	5.8	2.5	21.6	24.2	-1	-29
Kirloskar Pneumatic	Buy	1,070	1,371	28	69.5	0.8	2.4	2.9	3.4	36.8	44.9	53.0	29.1	23.8	20.2	20.1	15.9	12.9	4.4	20.0	18.4	2	-22
Kirloskar Oil Engines	Buy	1,167	1,309	12	169.6	1.9	5.0	5.9	7.2	34.6	41.0	49.7	33.7	28.5	23.5	20.4	17.1	13.9	4.5	16.8	22.0	-5	23
LMW	Hold	14,234	14,549	2	152.1	1.7	1.4	3.3	5.6	130.2	307.9	523.5	109.4	46.2	27.2	85.7	32.9	18.5	4.8	10.7	14.0	-6	-13
Linde India	Hold	6,080	5,356	(12)	518.5	5.7	5.4	6.0	7.4	63.5	70.7	86.8	95.8	86.0	70.0	58.4	49.2	41.3	11.5	14.1	17.8	1	3
Larsen & Toubro	Buy	3,866	4,492	16	5,317.7	58.9	183.9	229.9	291.9	131.3	164.2	208.4	29.4	23.5	18.5	19.5	15.9	12.6	4.0	18.3	14.4	-5	10
Siemens	Buy	2,971	3,767	27	1,058.0	11.7	20.4	24.4	28.8	57.4	68.5	80.8	51.8	43.4	36.8	40.1	32.8	27.2	6.3	15.4	21.0	-6	-1
Siemens Energy India	Buy	2,364	3,416	45	841.7	9.3	13.9	18.7	22.8	39.0	52.6	64.0	60.6	45.0	36.9	42.5	33.2	27.5	16.5	38.6	55.3	-21	
Thermax	Hold	2,972	3,308	11	354.1	3.9	6.3	8.1	10.5	55.5	72.3	93.1	53.5	41.1	31.9	35.7	27.9	21.8	5.6	14.4	18.0	3	-27
Transformers & Rectifiers India	Buy	266	463	74	79.8	0.9	2.7	3.5	4.5	8.5	11.1	14.5	31.2	24.1	18.4	19.6	14.7	11.1	4.6	21.1	27.7	-9	-48
DEFENCE AND AEROSPACE																							
Bharat Dynamics	Buy	1,514	1,667	10	554.8	6.1	7.7	11.2	13.2	21.0	30.7	36.0	72.1	49.3	42.0	80.3	47.5	37.7	10.7	23.2	23.6	12	26
Bharat Electronics	Buy	418	502	20	3,052.6	33.8	59.9	71.6	81.3	8.2	9.8	11.1	51.0	42.6	37.6	37.1	30.5	26.3	11.1	28.2	28.9	8	51
BEML	Buy	1,812	2,453	35	151.0	1.7	3.7	5.1	6.9	44.2	61.6	82.7	41.0	29.4	21.9	25.1	18.5	14.2	4.2	15.1	15.3	6	1
Cochin Shipyard	Sell	1,534	1,471	(4)	403.7	4.5	5.4	9.1	11.1	20.7	34.7	42.4	74.2	44.2	36.2	58.4	33.7	26.1	6.1	14.5	18.5	-2	6
Garden Reach Shipbuilders	Buy	2,431	3,026	24	278.5	3.1	7.0	9.7	10.0	61.4	84.3	87.6	39.6	28.8	27.7	36.0	20.7	22.3	8.6	33.2	44.2	6	68
Hindustan Aeronautics	Buy	4,461	6,346	42	2,983.7	33.0	86.2	100.6	111.6	129.0	150.4	166.9	34.6	29.7	26.7	24.6	21.0	16.5	6.4	23.1	24.0	5	14
Mazagon Dock Shipbuilders	Buy	2,471	3,407	38	996.7	11.0	25.0	30.2	38.2	61.9	74.9	94.7	39.9	33.0	26.1	30.2	19.0	19.8	9.0	30.3	39.3	3	10
PTC Industries	Buy	18,065	23,005	27	270.8	3.0	1.0	3.0	6.9	65.3	197.0	460.1	276.7	91.7	39.3	134.1	58.2	26.9	15.4	18.2	19.4	3	5
Raymond	Buy	403	842	109	26.8	0.3	0.6	1.4	1.9	9.7	21.7	27.8	41.5	18.6	14.5	11.0	6.0	4.6	0.8	7.1	9.1	-9	-25
Solar Industries	Buy	12,875	16,600	29	1,165.1	12.9	17.3	22.6	27.5	191.1	249.6	303.6	67.4	51.6	42.4	43.1	33.0	27.1	14.4	32.1	39.6	8	34
Zen Technologies	Buy	1,228	1,799	46	110.9	1.2	2.1	4.2	5.5	23.7	46.8	60.8	51.8	26.2	20.2	38.5	18.6	13.8	4.7	19.5	28.0	-10	-45
CONSUMER DURABLES																							
Bajaj Elec.	Hold	436	509	17	50.3	0.6	1.0	1.7	2.2	8.9	14.9	19.1	49.0	29.3	22.8	15.6	12.0	9.8	2.6	9.3	12.4	-9	-40
Blue Star	Hold	1,812	1,690	(7)	372.6	4.1	5.8	8.9	11.3	28.1	43.5	54.9	64.5	41.6	33.0	38.6	26.7	21.1	8.9	23.5	31.4	0	-6
Crompton Consumer	Buy	255	340	34	164.0	1.8	5.0	6.8	8.9	7.8	10.5	13.8	32.8	24.2	18.5	20.3	15.1	11.4	4.0	17.6	20.8	1	-29
Eureka Forbes	Buy	567	701	24	109.6	1.2	2.0	2.6	3.4	10.2	13.6	17.5	55.5	41.6	32.3	33.6	27.0	21.7	2.3	5.6	6.7	-12	0
Havells India	Buy	1,437	1,760	22	901.4	10.0	16.7	20.5	25.3	26.7	32.9	40.5	53.9	43.7	35.5	35.2	28.5	22.7	8.0	19.9	26.3	2	-8
LG Electronics	Buy	1,392	1,941	39	944.6	10.5	22.9	27.4	31.2	33.7	40.3	45.9	41.2	34.5	30.3	27.7	23.2	19.9	9.5	30.7	41.3	-10	
Voltas	Hold	1,440	1,370	(5)	476.4	5.3	6.8	10.9	13.9	20.6	32.9	41.9	69.9	43.8	34.4	52.5	32.7	25.5	6.1	14.7	19.9	3	-9
RAILWAYS																							
IRCON International	Hold	165	159	(3)	155.2	1.7	7.5	8.1	8.6	8.0	8.6	9.2	20.6	19.1	18.0	22.2	21.8	19.6	2.1	11.6	15.3	8	-25
Jupiter Wagons	Hold	331	308	(7)	140.6	1.6	3.0	4.0	5.0	7.3	9.8	12.2	45.2	33.8	27.1	28.1	21.7	17.6	4.0	12.5	16.4	26	-33
RITES	Hold	232	280	21	111.4	1.2	4.3	5.0	5.8	9.0	10.4	12.0	25.6	22.3	19.3	13.2	11.3	9.4	4.1	18.7	25.2	3	-14
Rail Vikas Nigam	Sell	338	204	(40)	705.4	7.8	12.9	13.7	14.1	6.2	6.6	6.8	54.9	51.6	49.9	66.0	60.8	55.7	6.2	12.5	13.2	9	-18
Titagarh Rail Systems	Buy	818	1,064	30	110.1	1.2	2.6	4.9	6.6	19.4	36.2	48.9	42.2	22.6	16.7	27.6	14.9	10.9	3.4	16.2	19.6	4	-22

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Valuation Guide

Company	Reco	CMP (INR)	TP (INR)	Return (%)	M. Cap (INR bn)	M. Cap (USD bn)	Net profit (INR bn) FY26	FY27	FY28	EPS (INR) FY26	FY27	FY28	P/E (x) FY26	FY27	FY28	EV/EBITDA (x) FY26	FY27	FY28	P/BV (x) FY26	RoE (%) FY26	RoCE (%) FY26	Absolute (%) 1m	12m
INFRASTRUCTURE																							
Ahluwalia Contracts	Hold	896	1,090	22	60.0	0.7	2.9	3.3	4.1	42.6	48.6	60.5	21.0	18.4	14.8	10.8	8.8	6.9	2.5	14.5	23.1	-6	5
Ashoka Buildcon	Hold	147	217	48	41.4	0.5	2.8	4.0	4.9	10.0	14.1	17.6	14.8	10.5	8.4	8.3	5.9	4.9	0.9	8.8	13.8	-16	-49
Dilip Buildcon	Hold	473	458	(3)	76.9	0.9	1.9	2.6	3.6	11.6	15.8	22.1	40.7	30.0	21.4	10.4	9.6	8.4	1.2	4.1	9.0	7	12
HG Infra Engineering	Buy	695	1,291	86	45.3	0.5	4.9	5.7	6.8	75.1	87.2	103.6	9.3	8.0	6.7	3.1	2.4	1.8	1.2	15.6	19.2	-8	-50
IRB Infra	Buy	42	62	47	252.4	2.8	9.1	10.1	11.6	1.5	1.7	1.9	27.8	24.9	21.7	10.4	9.8	9.1	1.2	4.9	5.4	1	-20
KNR Constructions	Hold	142	179	26	39.9	0.4	1.9	2.4	3.2	6.9	8.6	11.4	20.5	16.4	12.4	10.3	8.7	6.0	0.9	5.7	8.1	-2	-56
NCC	Buy	150	262	75	94.2	1.0	7.1	9.6	12.3	11.3	15.3	19.6	13.3	9.8	7.7	5.8	4.7	3.9	1.1	11.5	19.8	-5	-39
PNC Infratech	Buy	241	378	57	61.7	0.7	5.3	6.4	7.6	20.8	24.9	29.8	11.6	9.6	8.1	5.2	4.7	3.8	0.9	10.2	13.8	-6	-21
PSP Projects	Buy	829	881	6	32.9	0.4	1.5	1.9	2.7	38.5	48.9	68.6	21.5	17.0	12.1	11.4	9.2	6.9	2.2	13.5	17.1	-6	26
Welspun Ent.	Hold	457	509	11	63.2	0.7	3.5	4.2	5.0	25.7	30.4	36.8	17.8	15.0	12.4	13.6	10.9	8.6	1.9	13.1	18.7	-10	-25
IT																							
Cyient	Buy	1,176	1,475	25	130.6	1.4	6.2	7.1	8.0	55.9	64.7	72.1	21.0	18.2	16.3	11.6	9.6	8.5	2.1	11.5	14.4	2	-33
Birlasoft	Hold	420	405	(3)	116.9	1.3	4.4	5.8	6.5	16.1	21.1	23.8	26.1	19.9	17.6	15.1	13.3	11.3	2.8	14.8	20.2	-2	-21
FirstSource Sol.	Buy	320	420	31	223.0	2.5	7.6	8.9	10.3	10.8	12.6	14.6	29.7	25.5	21.9	16.0	13.4	11.5	4.6	18.8	14.4	-7	-17
HCL Tech	Buy	1,669	1,825	9	4,527.8	50.1	170.4	210.6	223.9	65.2	76.4	80.9	25.6	21.8	20.6	15.4	13.6	12.6	6.6	30.4	39.5	1	-7
Infosys	Hold	1,600	1,780	11	6,646.6	73.6	283.2	315.2	331.8	68.3	76.1	80.1	23.4	21.0	20.0	15.4	13.2	12.1	5.8	28.8	37.0	0	-17
LTI Mindtree	Buy	6,031	6,550	9	1,788.0	19.8	53.9	61.2	68.6	182.1	206.9	231.8	33.1	29.1	26.0	23.5	19.8	17.3	6.1	22.2	30.4	-3	1
L&T Technology Services	Hold	4,244	4,300	1	449.8	5.0	13.2	15.4	18.5	121.2	145.5	174.2	35.0	29.2	24.4	21.6	18.4	15.2	6.4	22.9	28.8	-8	-19
Mphasis	Buy	2,789	3,450	24	531.4	5.9	18.9	21.8	25.2	99.5	114.6	132.4	28.0	24.3	21.1	17.4	15.2	12.8	4.9	20.7	26.4	-3	-1
Coforge	Buy	1,682	2,100	25	563.4	6.2	15.5	18.9	21.8	41.8	55.1	63.5	40.2	30.5	26.5	19.3	15.7	13.7	6.8	24.5	26.3	-10	-4
Persistent Sys	Hold	6,274	5,625	(10)	989.7	11.0	18.7	22.5	26.4	120.8	145.6	170.5	52.0	43.1	36.8	35.7	29.5	24.9	11.0	27.8	36.5	0	3
Quess Corp	Buy	211	300	42	31.5	0.3	2.1	2.5	3.0	14.4	16.8	20.3	14.7	12.6	10.4	8.6	7.8	6.6	2.6	21.0	21.1	1	-33
TCS	Buy	3,193	3,450	8	11,550.7	127.9	518.1	570.6	613.6	130.7	157.7	169.6	24.4	20.2	18.8	15.6	14.2	13.2	9.6	50.5	62.0	0	-23
TeamLease	Buy	1,514	2,150	42	25.4	0.3	1.5	1.8	2.1	86.6	107.4	124.2	17.5	14.1	12.2	12.2	9.5	7.5	2.1	15.8	17.1	-6	-44
Tech Mahindra	Hold	1,589	1,575	(1)	1,556.3	17.2	51.5	63.7	68.3	58.1	71.8	77.0	27.4	22.1	20.6	17.0	14.7	13.7	5.7	25.4	37.2	1	-6
Wipro	Hold	260	280	8	2,728.7	30.2	137.4	147.3	158.6	13.1	14.0	15.1	19.8	18.5	17.2	12.6	11.6	10.6	3.0	16.5	19.5	0	-10
Zensar Technologies	Hold	710	840	18	161.4	1.8	7.4	8.1	9.1	32.0	35.2	39.7	22.2	20.1	17.9	15.5	13.4	11.4	3.3	17.0	22.8	-3	-7
METALS & MINING																							
Adani Ports & SEZ	Buy	1,430	1,773	24	3,089.0	34.2	133.8	156.1	170.0	61.9	72.2	78.7	23.1	19.8	18.2	15.8	13.9	12.5	3.5	19.2	16.0	-5	24
APL Apollo Tubes	Buy	1,935	2,269	17	537.1	5.9	11.6	15.4	19.7	41.9	55.5	70.9	46.2	34.8	27.3	31.2	23.7	19.0	8.2	26.3	32.4	12	25
Hindalco Industries	Hold	955	822	(14)	2,146.9	23.8	124.2	139.6	158.1	55.8	62.8	71.1	17.1	15.2	13.4	8.7	8.1	7.3	1.4	9.7	11.8	14	59
Hindustan Zinc	Hold	654	473	(28)	2,764.2	30.6	100.8	120.4	122.9	23.9	28.5	29.1	27.4	23.0	22.5	15.5	13.3	12.8	16.9	77.4	59.3	15	44
Hi-Tech Pipes	Buy	85	122	43	17.3	0.2	1.1	1.5	1.8	5.5	7.6	8.7	15.6	11.2	9.8	9.3	7.3	6.5	1.2	10.8	14.1	-9	-40
Indian Hume Pipe	Buy	395	487	23	20.8	0.2	1.0	1.2	1.4	19.3	22.8	25.7	20.5	17.3	15.4	11.6	10.2	9.2	1.3	8.0	10.7	-2	14
Jindal Steel	Buy	1,041	1,171	12	1,061.6	11.8	58.1	78.5	105.9	57.4	77.6	104.7	18.1	13.4	9.9	9.6	7.7	5.8	1.7	13.6	14.5	3	13
JSW Steel	Hold	1,182	942	(20)	2,890.0	32.0	118.1	149.3	158.3	48.5	61.3	65.0	24.4	19.3	18.2	10.9	9.5	9.0	2.9	15.9	14.1	9	30
JTL Industries	Buy	70	86	23	28.2	0.3	1.0	1.5	2.5	2.6	3.8	6.4	26.6	18.5	11.0	19.1	13.7	8.5	1.9	10.7	14.3	15	-33
Kirloskar Ferrous	Buy	453	659	46	74.6	0.8	4.1	6.3	7.6	25.0	38.4	46.2	18.1	11.8	9.8	8.9	6.7	5.7	1.7	15.6	17.5	-1	-23
MOIL	Buy	349	411	18	71.0	0.8	3.3	6.4	8.7	16.2	31.4	42.5	21.6	11.1	8.2	11.9	6.1	4.2	2.1	20.6	28.0	7	-3
NALCO	Buy	374	280	(25)	686.1	7.6	47.0	46.8	50.9	25.6	25.5	27.7	14.6	14.7	13.5	9.1	8.8	7.9	2.8	20.5	26.9	35	88
NMDC	Buy	84	91	9	737.2	8.2	74.5	81.5	88.8	8.5	9.3	10.1	9.9	9.0	8.3	6.8	6.1	5.5	1.9	22.3	27.4	9	28
SAIL	Hold	152	129	(15)	629.6	7.0	39.0	52.3	55.9	9.4	12.7	13.5	16.1	12.0	11.3	8.1	7.0	6.6	0.9	8.1	8.6	18	42
Tata Steel	Buy	189	199	5	2,362.6	26.2	106.9	146.1	171.1	8.6	11.7	13.7	22.1	16.2	13.8	8.9	7.6	6.8	2.1	13.6	14.2	11	48
Venus Pipes	Buy	1,131	1,617	43	23.4	0.3	1.1	1.6	1.9	53.7	76.6	93.7	21.1	14.8	12.1	12.7	9.8	8.2	2.9	21.9	24.2	-8	-20
Vedanta	Hold	676	517	(23)	2,642.4	29.2	152.4	214.1	243.9	39.0	54.8	62.4	17.3	12.3	10.8	6.7	5.5	5.0	5.7	49.2	31.2	19	50
OIL & GAS																							
BPCL	Buy	357	522	46	1,548.4	17.1	240.5	207.2	183.3	55.4	47.8	42.3	6.4	7.5	8.4	4.5	5.1	5.9	1.4	20.4	20.5	-3	34
GAIL	HOLD	165	170	3	1,086.0	12.0	75.2	87.1	90.4	11.4	13.2	13.7	14.4	12.5	12.0	10.0	8.5	8.2	1.4	11.2	12.0	-2	-9
Gujarat Gas	Hold	415	420	1	285.3	3.2	12.3	12.7	13.6	17.9	18.4	19.7	23.1	22.5	21.0	14.4	13.7	12.7	2.9	13.2	16.1	7	-15
HPCL	Buy	440	692	57	936.6	10.4	160.7	134.9	133.9	75.5	63.4	62.9	5.8	6.9	7.0	5.2	5.9	5.9	1.4	21.6	15.4	-5	23
IGL	Sell	181	161	(11)	253.9	2.8	14.3	17.2	14.6	10.2	12.3	10.4	17.8	14.8	17.4	11.0	8.8	10.1	2.2	15.8	20.1	-1	-9
Indian Oil Corp	Buy	159	197	23	2,247.5	24.9	282.3	280.0	256.8	20.0	19.8	18.2	8.0	8.0	8.8	6.2	6.1	6.0	1.1	13.9	12.7	-5	25
Mahanagar Gas	Hold	1,048	1,015	(3)	103.6	1.1	9.1	8.4	7.9	92.3	84.6	79.7	11.4	12.4	13.2	5.0	5.3	5.4	1.5	12.3	15.6	-6	-19
Oil India	Buy	458	532	16	745.0	8.2	46.7	59.2	68.9	28.7	36.4	42.3	15.9	12.6	10.8	10.4	8.6	7.3	1.4	11.8	13.1	14	-3
ONGC	Buy	248	330	33	3,122.8	34.6	321.6	320.4	327.7	25.6	25.5	26.1	9.7	9.7	9.5	4.9	4.6	4.3	0.9	9.3	11.3	7	-6
Petronet LNG	Buy	286	350	22	429.4	4.8	40.5	41.3	43.7	27.0	27.6	29.1	10.6	10.4	9.8	6.2	6.2	6.2	1.8	18.0	21.1	8	-13
Reliance Industries	Buy	1,459	1,645	13	19,741.8	218.5	826.4	889.0	970.4	61.1	65.7	71.7	23.9	22.2	20.3	11.0	9.7	8.5	1.9	8.8	9.8	-5	15

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Valuation Guide

Company	Reco	CMP (INR)	TP (INR)	Return (%)	M. Cap (INR bn)	M. Cap (USD bn)	Net profit (INR bn) FY26	FY27	FY28	EPS (INR) FY26	FY27	FY28	P/E (x) FY26	FY27	FY28	EV/EBITDA (x) FY26	FY27	FY28	P/BV (x) FY26	RoE (%) FY26	RoCE (%) FY26	Absolute (%) 1m	12m
PHARMA & HEALTHCARE																							
Alkem	Hold	5,831	5,355	(8)	697.1	7.7	24.0	27.2	31.0	200.6	227.2	259.6	29.1	25.7	22.5	24.0	20.5	17.9	4.4	18.4	23.3	3	13
Alembic Pharma	Buy	790	1,275	61	155.3	1.7	6.6	9.1	11.0	33.5	46.1	55.9	23.6	17.1	14.1	13.9	10.7	9.0	2.5	15.2	17.5	-7	-21
CIPLA	Buy	1,435	1,875	31	1,158.7	12.8	41.2	53.2	58.9	51.0	65.9	73.0	28.2	21.8	19.7	17.7	13.6	11.9	3.1	14.8	20.6	-4	0
Concord Biotech	Buy	1,351	1,520	13	141.3	1.6	3.6	4.9	6.3	34.4	46.7	60.4	39.3	28.9	22.4	29.2	21.6	16.6	6.0	22.2	28.7	-2	-40
Divi's Laboratories	Hold	6,356	6,575	3	1,687.2	18.7	24.7	30.5	36.5	93.0	114.7	137.5	68.4	55.4	46.2	48.5	38.8	32.0	9.0	17.2	22.3	0	7
Dr Reddys	Sell	1,187	1,110	(6)	990.3	11.0	37.1	41.7	48.8	44.5	50.0	58.5	26.7	23.7	20.3	15.2	13.3	11.5	2.5	10.9	14.0	-7	-9
JB Chemicals	Hold	1,895	1,790	(6)	296.9	3.3	7.6	9.2	11.5	49.0	58.8	73.8	38.7	32.2	25.7	25.1	21.2	16.8	3.3	21.8	28.1	6	6
Laurus Labs	Hold	1,091	810	(26)	588.7	6.5	6.6	9.2	15.8	12.2	17.1	29.2	89.3	63.9	37.3	39.8	31.5	22.4	10.0	16.9	17.8	9	96
Lupin	Buy	2,196	2,450	12	1,003.1	11.1	37.5	41.5	48.0	82.1	90.8	105.2	26.7	24.2	20.9	16.7	15.2	12.8	4.2	18.7	22.0	5	5
Mankind Pharma	Buy	2,244	3,070	37	926.5	10.3	19.5	25.8	32.7	47.1	62.5	79.3	47.6	35.9	28.3	26.0	21.6	17.7	4.9	14.7	15.1	7	-12
Shilpa Medicare	Buy	294	600	104	57.5	0.6	2.4	3.9	5.9	12.3	20.0	30.0	23.9	14.7	9.8	12.4	9.0	6.5	1.9	14.0	17.6	-10	-26
Torrent Pharma	Buy	4,004	4,310	8	1,355.0	15.0	25.4	25.1	34.0	75.0	68.1	92.3	53.4	58.8	43.4	31.3	22.5	19.2	6.8	16.1	17.7	6	26
Zydus Life Science	Buy	884	1,255	42	889.3	9.8	43.5	40.2	53.3	43.2	40.0	53.0	20.4	22.1	16.7	13.2	12.7	9.5	3.0	14.1	16.2	-3	-11
HOSPITALS & DIAGNOSTICS																							
Dr Lal Pathlabs	Sell	1,410	2,670	89	236.3	2.6	5.2	6.0	6.8	61.6	71.1	81.5	22.9	19.8	17.3	28.8	24.8	21.2	20.7	22.3	28.7	0	0
Metropolis Healthcare	Sell	1,885	1,655	(12)	97.7	1.1	1.8	2.2	2.7	35.2	43.1	51.5	53.6	43.7	36.6	25.4	21.2	18.1	5.8	14.0	18.3	-1	0
Vijaya Diagnostic Centre	Hold	995	1,000	1	102.2	1.1	1.8	2.4	3.2	17.6	23.1	31.0	56.5	43.1	32.1	31.6	25.4	19.5	4.4	22.3	24.7	2	-12
REALTY																							
Arvind SmartSpaces	Buy	577	819	42	26.4	0.3	0.7	0.9	1.1	17.3	20.2	26.8	33.3	28.5	21.5	18.5	14.2	11.9	3.2	12.0	14.2	-5	-27
Brigade Enterprise	Buy	842	1,346	60	206.0	2.3	8.1	12.0	15.6	35.2	52.3	67.8	23.9	16.1	12.4	12.3	9.4	7.6	13.5	17.1	16.3	-2	-26
Aditya Birla Real Estate	Buy	1,533	2,820	84	171.2	1.9	-0.6	0.3	11.4	-5.0	3.1	102.2	-309.2	501.3	15.0	94.5	69.1	12.0	4.7	0.9	2.0	-10	-26
DLF	Buy	651	933	43	1,611.6	17.8	50.9	72.1	82.6	20.6	29.1	33.4	31.7	22.3	19.5	62.3	49.0	43.2	2.9	14.1	6.6	-6	-12
Godrej Properties	Buy	1,871	2,723	46	563.7	6.2	15.2	33.0	44.9	50.4	109.7	149.1	37.1	17.1	12.6	82.1	65.6	52.7	2.5	16.1	15.5	-8	-21
Kolte Patil	Buy	375	494	32	33.3	0.4	0.6	0.8	0.9	7.9	11.2	11.5	47.5	33.6	32.5	23.0	18.1	17.6	3.1	9.6	11.6	-2	22
LODHA Developers	Buy	1,059	1,588	50	1,057.5	11.7	30.5	36.0	38.4	30.5	36.1	38.5	34.7	29.3	27.5	23.0	19.7	18.1	3.9	14.4	16.3	-2	-6
Nexus Select Trust	Buy	163	189	16	246.5	2.7	8.8	10.6	11.8	5.8	7.0	7.8	28.2	23.2	21.0	14.2	13.6	12.2	1.9	8.0	9.4	0	17
Oberoi Realty	Buy	1,648	2,269	38	599.4	6.6	31.0	35.6	40.6	85.2	98.0	111.7	19.4	16.8	14.8	14.6	12.5	10.6	2.7	17.3	19.7	1	-16
Phoenix	Buy	1,868	2,307	23	668.1	7.4	11.8	15.5	17.7	33.1	43.3	49.4	56.5	43.1	37.8	27.8	23.1	20.6	5.4	13.1	12.1	5	13
Prestige Estates	Buy	1,500	1,984	32	646.2	7.2	7.4	14.7	14.0	17.1	34.1	32.5	87.6	43.9	46.2	29.1	19.9	19.7	3.7	8.3	9.3	-8	3
Sobha	Buy	1,549	2,399	55	165.7	1.8	3.2	6.1	8.6	29.7	57.3	80.4	52.1	27.1	19.3	26.2	15.8	10.2	3.0	11.8	16.5	6	20
Sunteck Realty	Buy	424	562	33	62.1	0.7	2.8	2.4	2.7	19.4	16.6	18.6	21.9	25.5	22.7	17.6	20.9	18.4	1.7	6.9	8.7	6	-8
TELECOM																							
Bharti Airtel	Buy	2,023	2,409	19	12,163.8	134.6	302.4	453.4	571.5	50.5	75.7	95.4	40.0	26.7	21.2	11.4	9.1	7.6	7.2	29.9	23.6	-4	24
TEXTILE																							
Arvind	Hold	305	334	10	80.0	0.9	3.6	4.8	6.1	13.8	18.4	23.4	22.1	16.6	13.0	10.6	8.8	7.3	1.7	11.0	12.9	-4	-24
KPR Mills	Hold	859	1,062	24	293.6	3.2	8.9	11.8	14.1	25.9	34.7	41.2	33.2	24.8	20.8	22.5	17.1	14.5	4.5	19.3	25.1	-12	-12
Nitin Spinners	Buy	327	420	29	18.4	0.2	1.4	2.1	2.7	25.7	36.6	47.4	12.7	8.9	6.9	8.0	6.8	5.1	1.1	13.4	12.0	3	-18
SANATHAN Textiles	Buy	428	551	29	36.1	0.4	2.0	3.0	4.8	23.3	35.4	56.5	18.4	12.1	7.6	12.8	8.6	5.8	1.6	13.9	12.6	-5	19
Vardhman Textile	Buy	421	407	(3)	121.8	1.3	8.3	9.7	11.3	29.1	34.2	39.8	14.5	12.3	10.6	10.6	8.6	7.2	1.1	8.8	10.4	-6	-13
Welspun Living	Hold	126	126	1	120.6	1.3	3.4	7.2	9.0	3.6	7.5	9.4	35.1	16.7	13.4	15.5	9.7	8.0	2.2	13.2	14.0	-7	-17
UTILITIES																							
Adani Power	Buy	143	187	31	2,753.3	30.5	113.9	120.0	136.0	5.9	6.2	7.1	24.2	23.0	20.2	14.8	13.6	12.2	3.5	16.3	16.2	-2	27
CESC	Buy	157	205	30	208.2	2.3	16.5	17.7	19.2	12.4	13.3	14.4	12.7	11.8	10.9	8.3	8.0	7.3	1.5	13.3	10.7	-8	4
COAL India	Buy	432	433	0	2,663.5	29.5	327.7	342.9	375.1	53.2	55.6	60.9	8.1	7.8	7.1	5.1	4.6	4.0	2.0	27.2	34.2	13	14
Indian Energy Exchange	Hold	139	155	11	124.3	1.4	4.8	5.2	5.9	5.4	5.8	6.6	26.0	23.9	21.2	20.2	18.1	15.7	8.5	38.2	50.1	-1	-19
JSW Energy	Hold	495	581	18	864.5	9.6	20.8	25.7	29.4	11.9	14.7	16.8	41.5	33.5	29.4	13.9	12.8	12.2	2.7	8.5	8.4	3	-13
NHPC	Hold	81	85	4	816.6	9.0	38.3	50.9	60.9	3.7	5.0	5.9	21.8	16.4	13.7	22.8	17.3	14.5	1.9	11.8	5.6	7	3
NTPC	Buy	349	423	21	3,385.1	37.5	208.0	220.5	233.9	21.4	22.7	24.1	16.3	15.4	14.5	10.4	10.0	9.5	1.8	12.2	9.1	9	7
Power Grid	Hold	258	290	12	2,402.8	26.6	161.6	176.1	194.2	17.4	18.9	20.9	14.9	13.6	12.4	8.7	8.2	7.9	2.2	16.9	13.1	-1	-13
SJVN	Hold	79	97	23	309.3	3.4	11.2	14.1	15.2	2.8	3.6	3.9	27.7	22.0	20.3	20.8	16.5	16.4	2.1	9.5	5.2	9	-19
Torrent Power	Hold	1,345	1,314	(2)	677.8	7.5	26.6	30.7	35.0	52.7	60.9	69.5	25.5	22.1	19.4	13.8	12.7	11.8	3.2	15.1	12.9	5	-10
Tata Power	Buy	367	467	27	1,174.0	13.0	56.8	66.5	77.4	17.8	20.8	24.2	20.7	17.6	15.2	10.3	9.8	9.3	2.4	13.8	9.6	-3	0
TRAVEL & LEISURE																							
Indian Hotels	Hold	689	775	12	981.4	10.9	19.1	21.8	26.6	13.4	15.3	18.7	51.4	45.1	36.9	30.7	25.7	21.4	6.8	16.0	17.2	-5	-15
Chalet Hotels	Buy	882	1,210	37	192.9	2.1	4.9	6.6	8.1	22.7	30.4	37.2	38.9	29.0	23.7	22.4	17.8	14.7	4.4	16.4	14.3	0	0
Samhi Hotels	Buy	189	260	37	41.8	0.5	1.5	2.3	3.1	7.8	11.7	15.0	24.4	16.2	12.6	11.9	9.4	8.0	2.1	12.2	13.5	0	0
Yatra Online	Buy	161	230	43	25.3	0.3	0.6	0.9	1.1	3.9	5.9	7.3	41.3	27.4	22.1	25.3	17.9	14.3	2.7	10.3	12.2	-10	52
MIDCAP DIVERSIFIED																							
CCL Products	Buy	959	1,230	28	128.1	1.4	3.4	4.8	6.1	25.4	36.2	45.8	37.8	26.5	21.0	21.5	17.3	14.5	4.9	20.0	17.1	-2	50
EPL	Buy	207	240	16	66.3	0.7	4.1	4.8	5.5	12.7	15.0	17.2	16.3	13.8	12.0	7.2	6.4	5.6	2.3	17.7	22.1	-4	-12
Ganesha Ecosphere	Buy	742	1,480	99	19.9	0.2	0.4	1.4	1.7	13.3	52.9	65.3	55.7	14.0	11.4	17.9	10.5	7.1	1.4	10.5	10.2	-19	-58
Gravita India	BUY	1,613	2,140	33	119.1	1.3	4.2	5.0	5.5	57.5	67.1	75.1	28.1	24.0	21.5	23.0	19.1	16.7	4.1	18.6	21.3	-13	-26
Mold-Tek Packaging	Buy	587	840	43	19.5	0.2	0.8	1.0	1.2	22.8	29.8	37.4	25.7	19.7	15.7	12.3	10.2	8.4	2.5	13.3	11.8	2	4

Valuation Guide

Company	Reco	CMP (INR)	TP (INR)	Return (%)	M. Cap (INR bn)	M. Cap (USD bn)	Net profit (INR bn) FY26	FY27	FY28	BVPS (INR) FY26	FY27	FY28	P/BV (x)* FY26	FY27	FY28	NNPA Ratio (%) FY26	FY27	FY28	P/E (x) FY26	RoE (%) FY26	RoA (%) FY26	Absolute (%) 1m	12m
FINANCIALS																							
Axis Bank	Buy	1,299	1,440	11	4,033.1	44.6	242.8	313.6	354.3	628.5	726.0	836.2	1.9	1.6	1.4	0.4	0.3	0.3	12.8	14.9	1.6	6	25
Bank of Baroda	Buy	308	325	6	1,591.2	17.6	193.2	211.2	250.2	266.7	299.4	338.0	1.2	1.0	0.9	0.5	0.5	0.5	7.5	14.4	1.0	9	34
Canara Bank	Buy	154	170	11	1,395.9	15.5	206.9	211.4	236.5	121.2	139.9	160.7	1.3	1.1	1.0	0.4	0.4	0.3	6.6	17.9	1.1	5	58
City Union Bank	Buy	277	280	1	205.2	2.3	13.4	15.4	18.0	144.1	163.0	185.5	1.9	1.7	1.5	0.7	0.7	0.7	13.3	13.5	1.6	2	61
DCB Bank	Buy	186	200	7	60.0	0.7	7.2	8.3	10.0	190.0	214.1	243.2	1.0	0.9	0.8	1.1	1.1	1.1	7.2	12.8	0.9	12	62
Equitas SFB	Buy	69	75	8	79.0	0.9	0.1	6.9	9.3	53.3	59.4	67.5	1.3	1.2	1.0	0.8	0.8	0.8	11.4	10.8	1.1	19	-6
Federal Bank	Buy	247	270	9	607.6	6.7	40.1	48.8	60.0	153.2	171.1	195.6	1.6	1.4	1.3	0.5	0.5	0.5	12.8	11.9	1.2	-6	26
HDFC Bank	Buy	925	1,150	24	14,237.7	157.6	741.7	850.1	1,005.3	354.9	397.4	469.0	2.3	2.0	1.7	0.3	0.3	0.3	16.7	14.7	1.9	-7	12
ICICI Bank	Buy	1,418	1,670	18	10,143.0	112.3	509.1	592.6	676.7	469.4	536.9	612.0	2.5	2.1	1.8	0.4	0.4	0.4	17.0	16.3	2.4	4	14
IndusInd Bank	Hold	945	780	(17)	735.8	8.1	9.1	48.4	64.1	835.8	897.9	968.5	1.1	1.1	1.0	0.5	0.5	0.5	15.2	7.2	0.8	12	-3
Karur Vysya Bank	Buy	267	285	7	257.9	2.9	21.2	23.7	27.2	142.8	164.0	188.7	1.9	1.6	1.4	0.2	0.1	0.1	10.9	16.0	1.6	9	45
Kotak Mahindra Bank	Buy	421	2,510	496	4,187.1	46.3	141.1	182.3	217.4	640.5	728.7	834.0	-0.1	-0.1	-0.2	0.3	0.3	0.3	4.6	13.4	2.2	-4	17
Punjab National Bank	Hold	129	135	5	1,478.9	16.4	169.5	216.7	251.4	115.4	130.5	148.0	1.1	1.0	0.9	0.5	0.4	0.3	6.8	15.3	1.0	10	28
State Bank of India	Buy	1,028	1,105	7	9,492.3	105.1	789.6	834.0	926.6	503.2	575.5	655.8	1.6	1.3	1.1	0.4	0.3	0.3	11.4	16.0	1.1	7	34
South Indian Bank	Hold	42	42	(1)	111.1	1.2	13.6	14.5	15.9	41.9	46.8	52.2	1.0	0.9	0.8	0.5	0.5	0.5	7.6	12.5	1.0	8	59
Ujjivan Small Bank	Buy	59	65	11	114.4	1.3	5.5	9.6	13.4	34.3	39.2	46.2	1.7	1.5	1.3	0.6	0.5	0.4	12.0	13.4	1.5	9	71
Union Bank of India	Buy	179	200	11	1,368.5	15.1	176.5	189.2	193.4	159.3	179.1	199.3	1.1	1.0	0.9	0.5	0.4	0.3	7.2	14.7	1.1	17	63

**Adjusted for subsidiaries*

Company	Reco	CMP (INR)	TP (INR)	Return (%)	M. Cap (INR bn)	M. Cap (USD bn)	Net profit (INR bn) FY26	FY27	FY28	BVPS (INR) FY26	FY27	FY28	P/BV (x)* FY26	FY27	FY28	NNPA Ratio (%) FY26	FY27	FY28	P/E (x) FY26	RoE (%) FY26	RoA (%) FY26	Absolute (%) 1m	12m
NBFCs																							
Cholamandalam Invest.	Buy	1,690	1,570	(7)	1,425.9	15.8	50.9	64.3	75.5	339.3	413.1	499.7	5.0	4.1	3.4	2.9	2.6	2.6	22.1	0.2	2.3	-2	32
L&T Finance	Buy	296	243	(18)	740.4	8.2	32.1	39.5	49.0	112.1	124.0	138.7	2.6	2.4	2.1	0.0	0.0	0.0	18.7	0.0	0.0	-2	108

Company	Reco	CMP (INR)	TP (INR)	Return (%)	M. Cap (INR bn)	M. Cap (USD bn)	VNB (INR bn) FY26	FY27	FY28	EVPS (INR) FY26	FY27	FY28	P/EV (x) FY26	FY27	FY28	P/VNB (x) FY26	FY27	FY28	RoEV (%) FY26	Absolute (%) 1m	12m
Insurance																					
HDFC Life Insurance	Buy	743	890	20	1,603.5	17.7	43.1	50.4	58.8	288.0	331.5	381.3	2.6	2.2	1.9	22.2	17.1	12.8	15.7	-3	16
ICICI Prudential Life Insurance	Buy	669	790	18	968.9	10.7	26.0	29.4	33.0	374.4	421.8	475.1	1.8	1.6	1.4	17.1	12.8	9.1	12.9	5	3
LIC of India	Buy	827	1,100	33	5,228.9	57.9	112.4	123.9	135.8	1,344.6	1,471.2	1,611.0	0.6	0.6	0.5	NA	NA	NA	10.5	-3	-2
Max Life Insurance*	Buy	1,649	2,085	26	569.1	6.3	24.9	29.2	34.2	730.0	850.8	1,000.1	3.5	3.0	2.6	24.9	19.5	14.9	17.5	-1	55
SBI Life Insurance	Buy	2,069	2,250	9	2,074.7	23.0	67.7	77.1	87.3	819.9	960.6	1,121.5	2.5	2.2	1.8	18.5	14.4	10.9	17.5	2	37

**Valuations after factoring 20% holdco discount*

Events Calendar

Jan/Feb 2026

Monday	Tuesday	Wednesday	Thursday	Friday	Saturday	Sun
12 Jan	**13 Jan**	**14 Jan**	**15 Jan**	**16 Jan**	**17 Jan**	**18 Jan**
		HDFC Asset Management Infosys	HDFC Life Insurance L&T Technologies Nuvoco Vistas South Indian Bank	Reliance Industries Tech Mahindra Wipro	HDFC Bank ICICI Bank JK Cement	
19 Jan	**20 Jan**	**21 Jan**	**22 Jan**	**23 Jan**	**24 Jan**	**25 Jan**
BHEL Havells India LTI Mindtree	Cyient DLM GUJARAT GAS Persistent system	Bajaj Consumer Dr Reddys Laboratories UTI Asset Management	Aditya Birla Sun Life AMC Coforge Cyient Mphasis Ujjivan Small Bank	Cipla Godrej Consumer IndusInd Bank JSW Steel	UltraTech Cement	
26 Jan	**27 Jan**	**28 Jan**	**29 Jan**	**30 Jan**	**31 Jan**	**1 Feb**
Axis Bank	Asian Paints Emami Sumitomo Chemical	Bharat Electronics TVS Motor	Adani Power Apar Industries Blue Star Dabur India Nippon Life India AM	Bajaj Auto Cholamandalam Invest. Dr Lal Pathlabs Nestle		
2 Feb	**3 Feb**	**4 Feb**	**5 Feb**	**6 Feb**	**7 Feb**	**8 Feb**
Honeywell Automation Thermax	Kansai Nerolac	Cummins India Emami NHPC Ltd	Bharti Airtel NCC Ltd.	Crompton Consumer Shree Cement		
9 Feb	**10 Feb**	**11 Feb**	**12 Feb**	**13 Feb**	**14 Feb**	**15 Feb**
		Max Life Insurance	Hindalco Industries			

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